

Tilaknagar Inds (TI)

Conference call transcripts, oldest-first. 12 call(s). Generated 2026-06-08.

Call: Aug 2023

August 14, 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalai Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra-Kurla Complex, Bandra (East),
Mumbai-400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements)
Regulations, 2015 - Transcript of earnings conference call held for Q1FY24 results

Dear Sir/Madam,

With reference to our letter dated August 03, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Wednesday, August 09, 2023 to discuss the Q1FY24 results.

The same is available on the website of the Company at www.tilind.com .

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Abhinav Gupta
Chief Financial Officer

Encl: a/a

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"Tilaknagar Industries Limited
Q1 FY24 Earnings Conference Call "
August 09, 2023

MANAGEMENT : MR. AMIT DAHANUKAR – CHAIRMAN AND MANAGING
DIRECTOR – TILAKNAGAR INDUSTRIES LIMITED
MR. ABHINAV GUPTA – CHIEF FINANCIAL OFFICER –
TILAKNAGAR INDUSTRIES LIMITED
MR. AMEYA DESHPANDE – PRESIDENT - STRATEGY
AND CORPORATE DEVELOPMENT – TILAKNAGAR
INDUSTRIES LIMITED

MODERATOR : MR. NIKUNJ JAIN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of

Tilak nagar Industries Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Nikunj Jain from Orient Capital. Thank you and over to you, sir.

Nikunj Jain: Thank you, Carol. Good morning, ladies and gentlemen. I welcome you to discuss this quarter's business performance, we have from the management, Mr. Amit Dahanukar , Chairman and Managing Director, Mr. Abhinav Gupta, Chief Financial Officer and Mr. Ameya Deshpande, President - Strategy and Corporate Development.

So before we proceed with the call, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risk and uncertainty. For more details, kindly refer to the investor presentation and other filings that can be found on the company's website.

So without further ado, I would like to hand over the call to management for their opening comments and then we will open the floor for Q&A. Thank you and over to you, sir.

Amit Dahanukar: Good morning, everyone. I extend a warm welcome to all of you on our earnings conference call. First and foremost, I want to express my gratitude to each one of you for joining this call and for your continued support throughout our journey. Additionally, I extend a hearty welcome to those who are exploring our company for the first time.

For the benefit of those who are new to our company, our company was established by my great grandfather, Sri Mahadev L. Dahanukar in 1933, as Maharashtra Sugar Mills. The company was founded as a manufacturer of sugar and related products. Over time, we stopped the sugar business and for the past almost 50 years, have been manufacturing and selling IMFL brands in India and abroad. Our manufacturing footprint extends to 12 states through 20 units, 4 owned and 16 on contractual arrangements. We sell our products across 14 civil states within India along with sales to canteen stores department, paramilitary forces and international markets of Middle East, Africa and Southeast Asia.

We are a brandy first company with 90% of all our volumes coming from brandy. Brandy is the second largest spirits category in IMFL, only after whiskey and enjoys a 20% -plus volume share. Our flagship brand Mansion House Brandy is the largest selling brandy in India as per IWSR. It was also voted as the second fastest growing spirits brand and fastest growing brandy brand globally by Drinks International as a part of the Millionaire's Club 2023 publication.

FY23, also saw one of our other brandy brands, Courier Napoleon Brandy, becoming a millionaire brand.

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Both the brands grew 40% -plus in FY23 and have continued the momentum with similar growth in Quarter 1 FY24 as well. In terms of our way ahead, our turnaround journey is going very well. We have reduced our gross debt from a peak of almost INR1,200 crores in March 2019 to INR239 crores as of June 2023.

We have continuously increased our market share over the past few years, something which has been possible due to our sustained efforts on profitable growth and focus on cash flows. Lastly, before I hand over to my colleagues, I would like to speak a little bit about our marketing initiatives.

As I mentioned earlier, Brandy enjoys a 20% plus share of IMFL market, however its share of voice is very low in comparison to other IMFL categories. This stems from the fact that

here has

been very little investments made by industry players in the Brandy category. Given our leadership position in Brandy, we have now taken up the mantle to change this and invest more in marketing and communication.

We have introduced our new proposition for Mansion House Brandy, "A Warm Welcome ", which is an earnest invitation to experience the exceptional. The communication can be accessed on our social media channels. Beyond the realm of product attributes, "A Warm Welcome " embodies the essence of human warmth, inclusivity, and connection. Our aim is to create well -defined category codes for brandy on the communication side, as well as continue our focus on innovations in brandy.

Our Flandy range, India's first premium -flavored brandy, being a case in point. Flandy was launched in FY23 in Telangana and Puducherry and we have received a very encouraging response from the trade and consumers. In June, we also launched Flandy in Andhra Pradesh and are now looking at launching in a few more states.

Another key initiative is the re -launch of our Blue Lagoon brand, an entry -level gin. The brand

is undergoing a radical and disruptive renovation, which also includes the launch of a few more exciting flavors.

I now invite Ameya Deshpande, our President - Strategy and Corporate Development and Abhinav Gupta, our CFO, to share further insights on our Quarter 1 FY24 business performance and the company's future endeavors.

Ameya Deshpande: Thank you, Boss. Welcome, all, to the call. On the business front, we have grown our volumes for Quarter 1 by 42.4% at 25 lakh cases compared to 18 lakh cases in Q1 FY23. This growth has been led by both our millionaire brands, Mansion House Brandy and Courier Napoleon Brandy. This growth in Q1 is on the back of high growth seen in FY23, in which we grew by 43% compared to the overall IMFL industry growing by around 12%.

We have consistently been increasing our market share over the past six years. What makes this even more interesting is that more than 80% of our volumes are in the Prestige and Above segment.

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On the brandy strategy side, our aim is to make brandy more aspirational and youthful; and Flandy is a step in that direction. But Flandy is just the beginning in our innovation drive for brandy. We are currently working on some more innovations in the premium range and hope to showcase the same to you very soon.

This aim of making brandy more aspirational and youthful is especially important given that 10 million legal drinking age people get added in India every year. This segment of consumers is more experimental and seeking new and unique experiences and is not biased towards a particular category.

But while brandy will majorly contribute to our growth in the short to medium term, we are also looking at diversifying and increasing our share in other categories as well, all in the Prestige and Above segment. The strategy will hold us in good stead when it comes to regional diversification.

In order to help us in achieving our continuing strategic priorities of promoting brandy, achieving profitable growth in volumes and market share, and generating steady free cash flows, we had to ensure that we were adequately capitalized. And towards this, we have raised INR311 crores through three preferential issues in the last 18 months. The last of the balance amount to be received through conversion of warrants has now been received in Q1 FY24.

With that, I now invite Abhinav Gupta, our CFO, to give an update on the financial results for Q1 FY24. Abhinav, over to you.

Abhinav Gupta: Thank you, Ameya, and welcome everyone to our call. This quarter we have reported a net revenue of INR304 crores, which is a growth of 32% Y-o-Y. Our sales realization per case has also improved to around INR1,250 per case, as compared to around INR1,157 per case

last year.

This is on account of our premiumization strategy, our state mix as well as the recent price increase which we have got in the Telangana market.

Our EBITDA has grown by 77% Y-o-Y to INR38 crores from INR22 crores last year. Our gross debt as on June 30, is INR239 crores and our net debt is INR136 crores. Owing to the continuous reduction in debt, our interest costs have reduced from INR13.3 crores last year to INR6 crores in this quarter. We have been continuously reducing our debt and I am happy to share that currently we are in final stages of refinancing our EARC debt from a reputed private sector bank. The EARC terms had a bullet repayment of around INR150 crores as on March 31, 2024. This refinancing helps us in managing our cash flows in a better way and provides us entry into the regular banking channels.

With this, I would now like to open the call for Q&A.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-answer session. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: Yeah, thanks. My first question is on the 20% share of the brandy in the overall market. In the last five years, how has been this 20% and for you, what will be the key states and how has been

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the market share in the last few years, given company has gone through a lot of transformation, restructuring of the debt and all this. If you could tell us how the market share has also moved in the key states, which are the key states?

Ameya Deshpande: Sure. So basically yes, like you mentioned currently, we are at around 20% of the brandy market

in states excluding Tamil Nadu ; including Tamil Nadu if you look at it, we are around 10% market share of brandy. This has been growing on a consistent basis over the past five years to six years . So basically, in FY23, while we closed at 20%, FY '22 itself was around 18%. So we gained about 200 basis points in the last 12 months itself.

When you look at this from a five year perspective, this has grown from around 14% to 15% to 20% growth. As a percentage of IMFL as well, if you look at the same states, we used to be around 2% -odd as of FY17, which as it stands in FY23, we are a 4.3% holder.

Abneesh Roy: My second question is on the other parts of the spirits market, IMFL market. So what is your thought process on say, whiskey and vodka, because we are seeing good growth there also. So what will be your medium long term strategy on these segments?

Amit Dahanukar : So Abneesh, I think the short to medium term strategy does revolve around consolidating our position as leaders in the brandy category. As we had mentioned in our earlier remarks, there are some innovations which have already been introduced and some further more introductions are planned in the near future. So we would certainly look at strengthening our position in the brandy space in the short to medium term.

But certainly medium to longer term I think, there would be opportunities which we would be willing to explore outside the brandy space also. In my opening remarks I also did talk about Blue Lagoon Gin which is an entry level gin which we have a disruptive packaging now in place and it is just being rolled out across a few eastern – northeastern geographies as we speak.

Abneesh Roy: And last question essentially in terms of the disruptive which you mentioned on the gin in terms of packaging, if you could elaborate. And second, what would be the key raw materials for you and what is the trend in terms of FY24 on these two key raw materials?

Amit Dahanukar : So, on the packaging, it would be difficult for me to really mention on the call. I think visually if you can, the investor presentation is up , you can perhaps have some visual slide over there as for the brand's appeal. And as far

as the commodity prices go, I think Ameya will take a stab at that.

Ameya Deshpande: Yeah. So, Abneesh, basically two key raw materials for us . Like for any other Alcobel player out there, any other spirits player out there. So, ENA and glass ; so essentially when you look at our cost of goods sold, they usually are anywhere between 50% to 55% -56% of net revenues. A great part of this is between Glass and ENA itself.

In terms of, I believe your question was around what is our expectation on the commodities .

Yeah, so see, it is a volatile scenario right now. While we did see a little bit of softening that was happening on the commodity side . Unfortunately, see, ENA is something which is quite volatile right now . So with the entire FC I situation and all of that. So for the extreme short term, say, till Tilaknagar Industries Limited

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September, October, we do see some pressure on that side. Having said that, on the glass front, we are seeing some softening which is happening. We have seen Soda Ash prices coming down and that will surely have some impact, some positive impact for us.

Abneesh Roy: So, a quick follow -up on this, on the glass, because the supply demand mismatch is there. The expectation is that by till Q4, no big correction will happen. And second on ENA, you did elaborate a bit, but could you talk about how difficult is the supply given there has been some embargo in terms of initially rice, broken rice not being used, etcetera. So, how difficult is the supply and currently the numbers in terms of ENA, how much will it be higher versus the average of Q1, some insights?

Ameya Deshpande : So see for the moment we are seeing it at somewhere around 0.7%, to 0.8% that is what we are looking at around INR2 to INR3 rupees per litre of ENA that's the impact that we seem to be seeing right now, but obviously still early days right on that one. In terms of the glass cost, obviously, it's not going to be commensurate to the – the reduction is not going to be commensurate to the increase that we saw.

So last year we saw an increase at the beginning of the financial year. We again saw it in the mid of the financial year around October, November. So, there were some significant price increases over there. As of now, whatever little softening that we have seen will have a positive impact compared to Q4. But having said that, yes, they are not back to Q1 levels.

Abneesh Roy: And this INR2 to INR3 on ENA is on what base you are saying, this increases on what base?

Amit Dahanukar : So, this would be around INR67 odd, INR65 to INR67.

Abneesh Roy: Okay, thanks. That's all from me. Thank you.

Moderator: Thank you. The next question is from the line of Harsh from Reliance Securities. Please go ahead.

Harsh: Hello, sir. Sir, I would like to understand the competitive intensity within the market and how we are focusing on protecting our market shares?

Amit Dahanukar : So, the competitive intensity, of course, is there as it would be in any FMCG category. But as I

had mentioned now, we also have an aggressive digital campaign which we have launched with a 360 degree of communication strategy which is in place across all touch points. We, being the leaders in the brandy, I think we are in a pole position. We are in a very strong position. I think the onus is now up to us to grow this category and the share of voice which has historically been very low for this brandy category, we really want to take this forward and therein lies the opportunity for us.

Harsh: Okay, and sir what are we doing to protect our market share?

Amit Dahanukar : So our market shares, as Ameya also has elaborated earlier, they have grown steadily over the past couple of quarters. We're seeing good traction, good momentum in our brands. I see that even in the next coming quarters, this should continue.

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Harsh: Okay.

Amit Dahanukar : Essentially, to protect the market share, I think our communication touch points, which I mentioned about earlier, I think that will only strengthen it. I think both the brands which we have in the brandy space, Mansion House Brandy and Courier Napoleon Brandy, they're iconic brands. So, the idea is to further strengthen and consolidate them for them to go from strength - to-strength.

Harsh: Okay, sir. So thank you.

Moderator: Thank you. The next question is from the line of Harsh from HDFC Securities. Please go ahead.

Harsh: Yeah, thanks for the opportunity and congratulations Mr. Amit and team on great turnaround over past couple of years. And just to start with, if you could give us broad state-wise revenue mix, what are the new territories that we have entered or planning to enter and do we see getting a breakthrough in Tamil Nadu market in near term?

Ameya Deshpande : Hi, Harsh. So, Harsh, the thing is that we don't give specific state level breakups but having said that given that we are a brandy first company almost 90% of our volumes come from brandy, it's quite obvious that as of now South India is a predominant contributor to our volumes, so South India contributes around 85% of all our volumes.

Harsh: Right.

Ameya Deshpande : But within that, won't get into details of each state as such, but in terms of the larger states, obviously, Telangana, Karnataka, Kerala, Andhra, these are the large states for us. Tamil Nadu is one where we are still, we haven't really pushed the ante on that one completely. We do operate in Tamil Nadu but that is on a royalty model as of now.

Harsh: Right, also if you could you know just throw some light on pricing scenario in these markets. I think we got one hike in Telangana recently. So do we expect to receive any further hikes in any of our markets? And what could be our gross margin trajectory over the next few quarters?

Ameya Deshpande : Sure, sure. So see, you rightly mentioned that Telangana, we have received a price hike. So that if I'm to just quantify it, would be somewhere around INR18 to INR20 on a blended basis per case. In terms of the other states, see, Kerala, as of now, no price increases that we are seeing. However, in December, we had the turnover tax, which was removed so that in a way had a positive impact without giving us a price increase it kind of increased our contributions with the turnover tax going away. In terms of the other states like let's say Karnataka frankly no price hike it's a free market from pricing perspective so as a brand owner it is our call to be taken but we don't see anything changing over there as of now.

In terms of our margins, frankly see margins are also dependent upon the state mix and the brand mix to a great extent. So, fair to assume that at the current stage, you should be expecting somewhat similar margins. We have closed this quarter at 50% margins, but please bear in mind that this is also an account of state and brand mix.

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So you can take anywhere between what you've seen over the past couple of quarters, that would be the kind of margin that you would be looking; increase that for the INR20 -- INR18 to INR20 per case that I've spoken about for Telangana, that would be the kind of range that you should look at from a margin perspective.

Harsh: Right, and specifically, if I may say, brandy has generally been considered as a grandfather's drink, right? We have launched very interesting products like flavored brandy and all. So what kind of response are we getting to our innovation portfolio? And have we been able to draw a younger audience? And any specific marketing initiatives that you may want to highlight?

Amit Dahanukar : So yes, the flavored brandy or what we are calling it as Flandy, that is a recent produ

ct innovation

which we had just launched last year. We started with two markets of Puducherry and Telangana and the response has certainly been encouraging. There is a good amount of repeat business which is coming in and of course we don't expect an overnight change. These will be sustained efforts over a period of time but certainly we believe as a company we are taking the steps in the right direction to appeal to or rather aspire to attract a younger group of consumers.

And plus, it is at a premium to Mansion House. So also it's blending in with our premiumization strategy of launching products at higher price points. And it's an option for the existing Mansion House consumers also to try. So currently those very early days, we do see some customers coming in from flavored category where there are some customers are the Mansion House customers also who occasionally like to try Flandy.

Ameya Deshpande : And just to add to that Harsh, bear in mind that Flandy currently is present in Pondicherry and Telangana, and we had the benefit of a product like Flandy coming into our portfolio for half a year. This will be the first FY24 will be the first year in terms of full impact.

Harsh: And we are the only ones in this specific product category?

Amit Dahanukar : Yes, we are the only ones in Asia, I believe in this particular product category.

Harsh: Right, right. And in recent times, Amit, we have done a lot of hiring at senior level, you know, can you please throw some light on that, wanted to understand what our key focus area over near and long term.

Amit Dahanukar : So the hiring essentially, you know, has not only I think the senior management is perhaps more visible because that's what has been communicated in our investor presentations, etcetera, but the team building exercise has been going on for a long time now. It's almost three, four years. Gradually we've built on our team as we moved away from a company which was undergoing stress, undergoing restructuring, and towards a company which is now oriented towards looking at growth going forward. You know, the set of people which we needed also changed.

And I think we've been fortunate enough to bring those specialists on board with us now, and I think they have been part of the journey and instrumental in bringing the results which we have been seeing over the past few quarters. So across senior management, we have professionals having industry expertise, having domain expertise, having functional expertise, and that is only Tilaknagar Industries Limited

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added value to the company. And we'll continue to look out and evaluate fresh talent to meet our aspirations over the next three to five years. So we are in the midst of the team building process.

Harsh: Right and just one strategic question you know Amit over say last 10 to 15 years it has been quite a journey you know from super growth to no growth and then you know turn around over past two three years so maybe if you could you know help us understand what were your key learnings from the phase that the company went through and how do we see things going forward?

Amit Dahanukar : So I think the key learning for me as a promoter, CEO, I think the earlier growth, the super growth which you mentioned that was on back of leverage, I think it was leveraged growth but unfortunately there were a couple of things in succession which went wrong, which resulted in stress and then subsequently the company accounts becoming NPA with the banks. Then of course there was the restructuring exercise and then the capital which we have raised over the past two years, I think now I think our growth, as you would also be seeing it, based on internal cash flow and equity infusion. So as we have grown, last year the growth was around 40% and even this first quarter revenue growth has been somewhere in that range of 40%. The leverage has

come down along with that. So the growth has not come with leverage. I think the growth has happened and consequently we have also de-levered the company.

The gross debt and net debt numbers have come down quarter on quarter, and which has resulted in the finance costs also going down. So this is helping us free up our cash flows to invest more behind working capital, more invest behind our business. So I think the key learning probably would be the re, you know, that the leverage part just went out of control. And I think now we are moving towards an era where we would be near net debt free. I think that's the guidance which I have given in the past also, say over the next four to six quarters, we would like to be near net debt free. Net debt free, net debt zero.

Harsh: Good to hear that, congratulations once again, and I'll come back in queue for the follow up.

Moderator: Thank you. The next question is from the line of Chintan Mehta from Lloyds. Please go ahead.

Chintan Mehta: Hi, sir. First of all, congratulations to the whole team for the very good setup and strong numbers. Your presentation highlights all the key aspects what we require. Sir, one of the statements you have made is that NSR has increased to 1,249, that's almost a INR100 higher, and you attributed to state, price and the brand mix. We want to understand, I don't know whether it will be the right platform to ask, but say next three years, when we say go you know, we go ahead, the state price and the brand mix will obviously change.

We want to understand that what will be the paramount factor which will lead to further improving NSR going ahead, whether it will be more of a state mix change, whether it will be price or whether it will be a brand mix change. And second question being, sir, you know, saying that 1,249 is our average realization, which already signifies that we are selling more of a super premium product. Want to understand at what super premium prices sweet spot for brandy pricing bid comes to. I'm looking on a three years perspective, say for example, when you say
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thousand and above is super premium, say next three years, what could be the sweet spot in terms of pricing for super premium going ahead?

Ameya Deshpande : Yeah, so, Chirag, Ameya here. So see, the thing is that the price is a, what plays a big role in this entire thing is also the state mix like you mentioned now in terms of what is the sweet spot for pricing of brandy. See currently brandy you're looking at the right price point currently but what needs to be looked at over here is that we are still not in the super premium, or rather we don't have that big a contribution from super premium brandy brands.

Mansion House Brandy is anywhere in the semi-premium to premium segment. So that obviously, and the price of Mansion House Brandy has a big bearing or is the key determinant of our NSR as well given the fact that it is at most 80% of our volumes. As we go ahead, see Whiskey, unlike Whiskey, Brandy has got only some 4 segments as such pricing segments. You will have your super premium, you will have your premium, semi premium, deluxe and the regular or cheap kind of segment.

Unlike say something like a whiskey where you will have certain price segments which come in between as well. Now our entire thrust from an innovation perspective on the brandy front is to keep creating categories within these ; within that premium or semi premium range going up to super premium and that is where you will see some kind of Incremental NSR growth that will come in for us.

That is not going to be the only thing obviously because there will be at some point in time for the price increases that will happen. The state mix will change but surely brand mix will also play a very important role very difficult to quantify how much will be what but but we are

at a

good space right now in terms of our NSR that's what I could say

Chintan Mehta: Right, So I want to understand that from say directionally, according to the management what could be the key levels which we are banking more on our overall value creation in terms of say, products, so whether it is new product or the states, let us rule out the prices for time being. So when you say that the brand mix or the state, what will be the more in terms of categorizing to say, near term or a longer term? So will it play a more pivotal role, sir?

Amit Dahanukar : So it will be both brands and also in terms of state, I think it will be a function of the price increases which we are able to drive, say, over the next three years. And the new product introductions which we have in terms of our portfolio, for example, Flandy is premium to Mansion House. If we sell more of Flandy, obviously, it is going to have a positive impact on our NSR. So, I think over the next three years, I think that would be our outlook.

Chintan Mehta: Okay, understood. And the last question, sir, you have somewhere mentioned that now the debt has been resected and there is an equity infusion as well. Now, when we see the latest quarter, we have INR6 crores of interest cost and INR176 crores gross debt, which translates into 13.6 kind of interest cost per annum. So I want to understand that whether any scope of further interest reduction or rate reduction is on the anvil, not bearing that we will repay debt and I am just trying to understand the interest covenants, whether there is a rate reduction possible in the going future
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due to improvement of profitability obviously and the cash and equity coming in. So there could be some better bargaining rates for us in the anvil?

Abhinav Gupta : Yeah, so Chintan, if you see our finance cost has been continuously coming down and last year it was INR40 crores and we are estimating that between INR25 crores to INR27 crores it should be this year. Now since the debt is continuously coming down definitely the finance cost is going to be coming down going forward in future also.

Secondly, we are not going to do any leveraged expansion or which is on anvil. As of now whatever refinancing we had to do for E ARC debt, that has been in advanced stages and very soon we will close it out. So since we are not expecting any leverage growth going forward, we are hopeful that as the rating of the company increases, in fact one of the next points for us is to get a credit rating for the company after the seed financing is done. So that will also help in

reducing our finance costs further down. So both these things in tandem, debt coming down and the interest cost also as a result of good rating coming down to further drive down the finance costs.

Chintan Mehta: Super, understood. Thanks, that's it from my side. I'll be back in the queue if I have questions. Thanks a lot.

Moderator: Thank you. The next question is from the line of Simar from Negen Capital Services. Please go ahead.

Simar: Yeah, thank you. Hi. Good afternoon, everyone. So my first question is, so brandy is just contributing highest amongst your product portfolio in terms of volumes, but how much does it contribute in terms of value? And to extend upon my question, can you provide a break-up of your product portfolio in the three segments in terms of both value and volume?

Ameya Deshpande : So Simar, see, in terms of value, it does contribute more than 80% because we have our entire brandy portfolio is P&A to a great extent, or rather the non-branding would be in that lower prestige kind of or popular kind of segment right so thereby most of our around 85 %-plus of our revenues would be in the in the branding side in terms of volumes.

After branding, our significant contributors are rum. Rum is our second largest category through

Madiraa which is our popular rum. Followed by whiskey and now gin to pick up very soon.

Simar: Got it. So what is your blended capacity utilization across the four manufacturing units?

Ameya Deshpande : So we are at a near full capacity at two of our units. So that is Prag, which is at Andhra and Vahni, which is at Karnataka. I can just give those numbers as well. So, Vahni is somewhere around 6 lakh cases per annum. Sorry, Prag is around 6 lakh cases per annum and Vahni would be somewhere around 7 lakh to 8 lakh cases per annum. Shirampur would be approximately 50% or rather 40% with our own bottling and a further through any tie-ups that we could have. And PunjabExpo is frankly, not as well utilized as it could be. It is used predominantly for our CSD business.

Simar: Okay, so how much do you think your revenues can contribute to defence, exports and domestic?

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Ameya Deshpande : So, defence contributes approximately 7%, 7% to 8% of our total volumes. The rest is civil.

Simar: One last question if I can squeeze in. So, the top three states contributing the revenue and what would be the breakup for that? The reason I'm asking you is Karnataka recently did a duty hike. What would be the impact on your business?

Ameya Deshpande : See, firstly on the first part of your question, what would be the breakup of our top three states, unfortunately Simar, that's something that we don't provide. But just to take the second one, in terms of the impact of Karnataka duty hike. Currently, very early to say. It's just been a couple of weeks. I think we'll have more clarity as time goes by. Obviously, in the short term, there could be some, there will be some impact on volumes, but then it comes down to under trading or rather people moving down or moving up, but right now too early to speak about this.

Simar: All right sir, thank you for you to interacting with us and I hope to see which of interactions and like going forward.

Ameya Deshpande : For sure, Simar.

Moderator: Thank you. The next question is from the line of Addhyayan from Arihant. Please go ahead.

Addhyayan: Thank you for taking my question. I just wanted to know what are your refinancing costs? And also another question, how much volume growth are you expecting this year?

Amit Dahanukar : So the refinancing cost will be at 13% and the growth projected for this year will be in the mid-teens.

Addhyayan: Okay, thank you sir.

Moderator: Thank you. The next question is from the line of Rushil from Pioneer Wealth Management. Please go ahead.

Rushil: Yes sir, my question is -- first of all congratulations for the great number. My question is, what is the working capital days are we targeting in the future?

Ameya Deshpande : Yes, sure. So in terms of working capital days, Rushil, we are looking at somewhere around 43 days odd on gross sales perspective, on gross revenues perspective. That is what our net working capital days is. Frankly, if you ask me, if the question is, is that going to improve significantly? I would say that, we are at an optimum level, when it comes to our net working capital days, it's in line with our peers as well. So I wouldn't say anything beyond that. We are at a comfortable position right now.

Rushil: So currently like, we are having a short-term debt also. Am I just understanding is that, we are saying that, we'll be the net debt in FY 25? I just wanted to understand, what will trigger the cash flow more than for working capital also, we might not require the money and we'll be the net debt free?

Ameya Deshpande : So the thing is, if I could just get some clarity from your end. The short term debt that you're talking about, what debt are you speaking about? That would be just the current maturities if you look at the b

alance sheet, that would just be the current maturities and a great part of that would be the E ARC term loan itself. Now the moment, we actually end up doing the refinancing, one of the reasons for also doing the refinancing is that, it provides us with certain flexibility in terms of our cash flow management. As you know, as it stands, INR176 crores is a balance of E ARC debt as of 30th June. This would be repayable over a nine -month perspective. So the moment, we get this refinanced, obviously our cash flows do get a bit more easier to manage. Having said that, we wouldn't have faced any issues, but since, we are in this situation, in th is better situation, yes, we are able to manage our cash flows better this way.

Abhinav Gupta : It provides you an entry into regular banking channels also. And if you see the sort of EBITDAs, we are generating over a couple of years, this INR176 crores of EARC debt, it's easily, we would be most probably be prepaying the debt. We have got a higher tenor debt, which we have got through refinancing, but hopefully we will be able to sort of prepay a quite a bit of that. And secondly, we will not be refinancing the entire, as of now, the entire INR176 crores. We already have a good cash position. So the refinance amount will be lower than INR176 crores here.

Rushil: Okay, sir. And sir, the last question is that, related on the working capital, sir, can you give us the ballpark number, what can be the working capital in terms of, percentage of net sales or gross sales?

Ameya Deshpande : So that's what we mentioned? The net working capital, we'll mention it in terms of days, would be around 43 days of gross revenue.

Rushil: Okay, sir. Thank you, sir.

Moderator: Thank you. The next question is from the line of Sunny Gosar from MK Ventures. Please go ahead.

Sunny Gosar: Yes, thanks for taking my question and congratulations on a fantastic turnaround over the last few y ears and a strong performance in the last few years.

Moderator: Mr. Gosar, I'm so sorry to interrupt. May I please request you to speak a bit louder?

Sunny Gosar: Yes, congratulations on a fantastic set of numbers and the turnaround over the last few years. I have a couple of questions. So first is that, we have in the last two years seen a very strong growth in the brandy category and gain market share. So in the existing markets, how much further scope do you see to gain market share and outgrow the industry? And till when do you think that, we'll be able to continue this momentum of outperforming the industry? And once this growth level stabilize to say more normalized levels are in line with the brandy category, where do we see the new growth driver s coming from?

Amit Dahanukar : So Sunny, I would like to respond. We know, when we look at the brandy category, at least the way we view it is not brandy industry as whole. When we're looking at our business, we view across price point. So, while Mansion H ouse maybe at say INR200 in particular market, that brandy category over there might be limited, but we look at, when our addressable market is

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there, we look at across price point and one level below and one level above. So, that is addressable market to us in terms of, our marketing and sales and distribution strategy. So, it's not only the brandy category, which we're looking at. We would, of course, like to cannibalize from other segments and other price points also. As I had mentioned earlier also that, initially the short to medium term strategy would revolve around brandy and gin. As the company's position, financial position becomes stronger, we have much stronger operating cash flows and free cash flows that would allow us to invest behind other erneling categories also.

Sunny Gosar: Sure, that's quite detailed. And in terms of growing the brandy category in non -Southern states, so wh

at's your outlook there and do you see that, this can potentially be a large market say, somewhere in North India, whe re brandy penetration is virtually negligible and are we taking any efforts towards that?

Amit Dahanukar : So we have taken initial efforts, to move beyond South, immediately it was East and Northeast and Sikkim is one such market in December of last year. I believe, we were the largest selling brand over there, more than whiskey also. Of course, December might be seasonal, but it certainly goes to show the strength of the brand that in a state like Sikkim, Mansion House was

the number one selling brand across categories.

So again, early days, it will take time. Regarding North and the West, it would be early days.

There's a lot more to be done within the Southern geographies itself, and then East and Northeast would be other markets to focus on in the short term.

Ameya Deshpande: And Sunny, just to add to that, what is really important over here is product diversification as well.

When you look at newer regions, it kind of becomes a little important to also expand your basket of products that you go out with. And that is where the entire thought process of Blue Lagoon also comes in. We've launched it in Northeast, just very, very recently and soon to expand into more. So the more options that you provide as a part of a basket, it helps more because it kind of feeds into the demand for brandy as well. Because whatever said and done, South is the major region for brandy for it to be seeded into a newer region, you will need to provide some more options as a part of your basket.

Sunny Gosar: Right. And as you see growth in say, new brand, new states, I believe your marketing spend will have to go up. So if you can give some context in terms of, what is your current A&SP spend as a percentage of revenue and say over the next one year to two years, what's the budget in terms of outlook in terms of percentage of A&SP spend as a percentage of revenue basically?

Amit Dahanukar: So Sunny, A&SP spends will definitely increase going forward in this current financial year and also the next. The company's approach was very conservative earlier on, since we were going through consolidation phase. But as we have moved from consolidation to growth, A&SP spends will definitely start increasing as we invest behind the category. Just recently, we have launched a digital campaign. In fact, our proposition for the Mansion House brand, "The Warm Welcome" is now out and it's live.

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For Mansion House, the proposition is "The Warm Welcome" and for Flandy, it is "Welcome The Now". So, as we start setting the category codes for Brandy, which is our endeavor as a Brandy first company, we will see the A&SP spends increase over the next quarters. And also new products like Blue Lagoon Gin, they are also the products which we will be investing behind, so A&SP spends will increase.

Sunny Gosar: Sure. And that's broadly needed from a branded FMCG kind of a company, but do you have any particular percentage in mind in terms of a budget or as of now, this is still under evolution?

Amit Dahanukar: So Sunny, see it is still under evolution. We do know a sweet spot at our end. Unfortunately, too early for us to speak about it. But having said that, one needs to consider when we look at A&SP reinvestment rates. There are two very key factors to it. One is the kind of states that you're operating in. Where marketing is allowed, not allowed. And secondly, also the kind of category that you are in.

The level of hyper intensity that something in terms of marketing spends, like that a category like whiskey requires is much different than what a brandy will require. So that also needs to be taken into consideration. Unfortunately, not in a position to quantify, what these re

investment

rates are on the A&SP side, but in terms of a trajectory, yes, they will increase from where we stand today.

Sunny Gosar: Sure. And if I may, I would like to squeeze in one last question. So you mentioned about premiumization of the portfolio. So currently more than 80% - 85% of the portfolio is in the P&A category. So if you can give some context in terms of the brandy category, are there sizable volumes that happens at a price point, which is above Mansion House and like say, in a whiskey category, we have something like a Single malt or a Blended malt. Is there scope to premiumize the brandy category on those lines and is the company thinking anything about it?

Amit Dahanukar: So Sunny, certainly the company is thinking in that direction. It would be premature to make specific comments regarding particular brands, which we may have in the pipeline, but two things, which I could mention, which are already out in public domain, that is Flandy, which is at a 25% premium to Mansion House, and similarly, we had launched a premium variant of Mansion House in Tamil Nadu as well. Mansion House Reserve, which is at a 25% premium price point.

So we are making strides in that direction. Premiumization is not an overnight event, it's a long-term journey and we have made the initial steps in that direction, which can be evidenced through the fact that, the NSR also has steadily increased quarter on quarter.

Sunny Gosar: Great, great. Thank you for all the detailed answers and all the best for the future.

Moderator: Thank you. The next question is from the line of Harshal Mehta from ICICI Securities. Please go ahead.

Harshal Mehta: Hi, sir. Sir, of this 80 million cases market, 85 million cases market, what would be our addressable market and at what pace it is going and maybe what is our market share in that?

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Amit Dahanukar : So, the addressable market, I think, out of that 80 million which you have mentioned is around 40 million to 45 million and that has been growing in maybe below double digit, lower teens.

Harshal Mehta: And so our market share will be roughly like 25%?

Ameya Deshpande : Yeah. So, we are a 20% market share holder in the Brandy segment – in the Brandy category without Tamil Nadu. With Tamil Nadu we are 10%, but just to give a basic idea of the markets that we are present in are 5 -6 key markets in the South excluding Tamil Nadu, actually Brandy has shown some decent growth.

Obviously, we've had a pretty big role to play in that overall category growth, but Brandy actually grew around 20% in FY23 on an annual basis in the key states of Telangana, Karnataka, Kerala, Andhra, Puducherry, as compared to overall IMFL growth of around 10.5% or 11% in those states.

Harshal Mehta: Coming back to your debt levels, it has come down quite a bit from March levels. So, now with this kind of a growth, I mean, since we expected to go to nil like in March 25. So, will it like relatively remain at similar levels and then probably move down next year. I mean, given the kind of growth what we are expecting in this and probably the...

Abhinav Gupta : So, I think the net debt level will be below INR100 crores, that is what we feel in this financial year and then it will move to sort of net debt free by next year.

Harshal Mehta: Sure, sir and sir what are the major line items in your other expenses, are there any scope of improvement in those?

Ameya Deshpande : So, see the major line items in the other expenses would be something like contractual bottling fees that we have you'll have freight outwards which is also there you'll have selling and distribution expenses, so on and so forth.

In terms of any improvements again that's a function of the state mix as well that we have because there are different contractual bottling rates that exist across different units, which

which

obviously are across states and so on and so forth, similarly from a selling and distribution perspective so on and so forth.

So, it is -- so that is where it is. I mean, frankly, not in a position to say whether this is going to improve significantly or not. There is a certain part of fixed cost also, which gets captured in other expenses. So, as volumes grow, you will see the benefit of operating leverage coming out over there. But yeah, nothing more to add, no real guidance in terms of how this could move.

Harshal Mehta: And sir on the non -brandy part of our portfolio, so is it like a strategic focus to grow in that area and could like acquisition of some brands, could that be planned in those areas or that are not of like currently of strategic concern for us?

Amit Dahanukar : So, we don't have anything specific to share at the moment, but we would always be alive to any opportunities for growth and for expansion beyond our categories and geographies, but nothing specific at the moment.

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Ameya Deshpande : And in terms of further growth as Mr. Dahanukar mentioned earlier as well yes obviously we are looking at other categories, but the fruits of those efforts will be seen over time. It's not something which is going to happen overnight.

So, I think for the next, in the very short term, Brandy is going to drive a great part of our visible growth as such because obviously while the other categories will grow, they will grow on a lower base. So, from an overall company perspective, you may not see as much contribution coming out of them in terms of volume growth. But yeah, the intent and the vision is there to expand beyond brandy.

Harshal Mehta: And sir your capex position...

Moderator: Mr. Mehta, I'm so sorry to interrupt. May I please request you to rejoin the queue for your follow up as we have people waiting for their turn.

Harshal Mehta: Sure, sure.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset Management. Please go ahead.

Arpit Shah: Hi management. Congratulations on a very good turnaround for the last couple of years. This is one of my first calls attending the company. I have a little more than two questions for the management. So, what kind of volume are we targeting for FY'24 and let's say three years beyond that? Should I list down all my questions first or should I go one by one?

Ameya Deshpande : I don't think we'll be able to answer all your questions because we've --if it is more than two, I

think we'll take two. So, if this is one of the important ones that you want to cover, I can take it right away.

Arpit Shah: Yeah, so the volume growth target for FY'24 and three years beyond that?

Ameya Deshpande : So see, for FY24, we are looking at mid -teens kind of growth. Going forward, we are looking at double -digit growth. It would be in that early double digit to mid -teen kind of growth in terms of volume for the next couple of years post that.

Arpit Shah: No, the volume growth, let's say, we are assuming Q1 to be, let's say, 20% of volumes and we have done around 25 lakh cases and last year cases were 96 lakh cases. So, don't you think the volume it will be typically higher than that mid -teen's number?

Ameya Deshpande : So yeah, if you ask me to specify in terms of range, then it will be in that 15% to 18% range . You are right in terms of the saliency. But kindly note that Q1 has been extremely strong this time around as compared to last year's Q1 where there were some industry wide issues that were also there. So, that's why the super normal growth that you are seeing in Q1.

Arpit Shah: What kind of margins are you targeting? Can we get back to a historical, let us say, 14%, any difference on the margins?

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Ameya Deshpande : Margin terms, I think for this year you are looking anywhere between 13%, 14% for FY24.

Going further, obviously the intent is to expand on those, but let's just take it one step at a time for the moment.

Arpit Shah: Got it. And one is last I think how many years we have that we don't have to pay taxes, how many years?

Ameya Deshpande : So, FY24, for all practical purposes, will not have any incidence of tax. But FY25 onwards, I think it's fair to assume tax coming back.

Arpit Shah: What kind of tax losses we have on the books?

Ameya Deshpande : We have , just one sec. How much accumulated loss do we -- you meant accumulated loss on the books ?

Arpit Shah: Yes, how much can we use for our tax losses?

Abhinav Gupta : Around INR160 crores is still left to be used. So, that would basically take care of this year. As Ameya said, no tax incidence this year. But next year, definitely we will come into that bracket.

Moderator: Mr. Shah, I'm so sorry to interrupt. May I please request you to rejoin the queue for your follow - up?

Ameya Deshpande : Also, if we could just take the last question.

Moderator: Sure, sir. The next question is the last question for today. It's from the line of Bhavik Shah, an Individual Investor. Please go ahead.

Bhavik Shah: Yes, congratulations on good performance. Sir, my first question is, what is our annual capex requirement and how we see our capex outlay over the next two years to three years?

Ameya Deshpande : Yeah, so the capex for this year, the normal capex for this year would be somewhere around INR25 Cr for FY24 . That would be the normal capex. We have a grain distillery as well in Shirampur , which is non -operational as of now. We are working around some scenarios where we could look at getting the grain distillery recommissioned as such.

So, there would be certain level of capex which would be required for that. It's a 100 KLPD distillery that we have. A thumb rule for a Greenfield project would be one crores per KLPD in terms of capex, we will be at a significant discount to that, more than 50% discount to that level of capex. That would be for this year and next year you could assume a similar normal capex of around INR25 Cr.

Bhavik Shah: Okay, understood. And sir what kind of export opportunities do we have in our brandy segment and our brands and is there any plans like planning to look at the export market ?

Amit Dahanukar : Yes, export will be one of the avenues you know for growth going forward. Currently it is quite limited to some countries in Africa and Middle East, but going forward that's one area which we

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certainly look at developing. As our products get more premium and we have a wider range, I think there would be more interesting opportunities for us on the exports front also.

Bhavik Shah: Okay, so in this year we can expect some portion of exports from that right?

Amit Dahanukar : The exports in the absolute number is growing, there's no doubt about that, but it's a small percentage compared to the overall sales which we have.

Bhavik Shah: Okay, okay and sir my last question is what is the plan for an investment in Samsara gin company?

Amit Dahanukar : So, I think the Samsara investment is in line with our strategy to at some point of time move beyond brandy category also. It's a beverage which is very attractive to the millennial and younger generation. I think the gin revolution has been happening and it was a young brand doing very well, which prompted us to make this investment in Samsara.

At this point it's the fastest growing craft gin in India. They have again an industry -first innovation in terms of the ir pink gin which has been very well accepted and how we want to take this partnership of collaboration forward I think we would always be open to opportunities, but there is nothing specific at this point which we would like to d

isclose.

Bhavik Shah: Okay, okay, sir I got it. Thank you so much for answering all the questions and all the best.

Moderator: Thank you. In the interest of time, that was the last question. I would now like to hand the conference over to Mr. Ameya Deshpande for closing comments. Thank you and over to you.

Ameya Deshpande: Thank you so much. Thank you everyone for coming on to this call. It's been a great pleasure interacting with all of you all and needless to say, we'll keep interacting going forward as well.

Look forward to seeing you all on the second quarter call as well. Thank you so much.

Moderator: Thank you. On behalf of Tilaknagar Industries Limited, we conclude today's conference. Thank you for joining. You may now disconnect your lines.

Call: Nov 2023

November 09, 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalai Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra-Kurla Complex, Bandra (East),
Mumbai-400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements)
Regulations, 2015 - Transcript of earnings conference call held for Q2FY24 results

Dear Sir/Madam,

With reference to our letter dated October 26, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Friday, November 03, 2023 to discuss the Q2FY24 results.

The same is available on the website of the Company at www.tilind.com .

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Abhinav Gupta
Chief Financial Officer

Encl: a/a

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"Tilaknagar Industries Limited
Q2 FY '24 Earnings Conference Call "
November 03, 2023

MANAGEMENT : MR. AMIT DAHANUKAR – CHAIRMAN AND MANAGING
DIRECTOR – TILAKNAGAR INDUSTRIES LIMITED
MR. ABHINAV GUPTA – CHIEF FINANCIAL OFFICER –
TILAKNAGAR INDUSTRIES LIMITED
MR. AMEYA DESHPANDE – PRESIDENT - STRATEGY
AND CORPORATE DEVELOPMENT – TILAKNAGAR
INDUSTRIES LIMITED

MODERATOR : MR. HIMANSHU NAYYAR – SYSTEMATIX
INSTITUTIONAL EQUITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY'24 Earnings Conference Call of Tilaknagar Industries Limited, hosted by Systematix Institutional Equities.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator star then zero on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Himanshu Nayyar from Systematix Institutional Equities.

Thank you, and over to you.

Himanshu: Thanks, Yashashri. Good morning, everyone. I would welcome all participants on behalf of Systematix Institutional Equities team and would like to thank the management of Tilaknagar Industries for giving us the opportunity to host them. We have with us Mr. Amit Dahanukar, Chairman and Managing Director, Mr. Abhinav Gupta, CFO, and Mr. Ameya Deshpande, President -Strategy and Corporate Development.

The company has delivered another strong quarter with volume growth well ahead of industry and improvement in both realizations and margins. Would request the management to start with some opening remarks, and then we'll take questions. Over to you, sir.

Amit Dahanukar: Good morning, everyone. Thank you for joining us on quarter two and H1 FY 2024 results Earnings Conference Call. We continued in Q2 where we left off in Q1 of FY 2024. Our volumes grew 17% year-on-year and 13% quarter-on-quarter. Mansion House Brandy, our flagship brand has now crossed four million cases in H1 FY 2024. Volumes over the past 30 months have doubled with a volume of 5.5 million cases in FY'21 to 9.6 million cases in FY'23.

Flandy our premium-flavored brandy range has been receiving a positive response in its first year of launch. It currently sells at 5% of the flagship Mansion House brand in the relevant markets. Over the past few years, brand y P&A has been one of the fastest-growing P&A category; growth primarily driven by Mansion House Brandy ("MHB"). Despite this industry beating growth, we believe there is still significant headroom left for further growth. MH B is the largest selling brand y in India and second largest selling brand y in the world. It is also the second fastest-growing Alcob ev brand globally as per The Millionaires' Club 2023 report by Drinks International.

TI's Mansion House Brandy has been gaining market share across most regions it is present in. For H1 FY'24, TI moved up one spot to become the fourth largest IMFL player in Telangana.

Flandy became the third largest brandy brand in the state with Mansion House retaining its numero uno position. TI not only maintained its leadership in P uduche rry but also increased its market share in the state by a whopping 900 basis points to 28% from 19% last year.

On the marketing front, our new proposition for Mansion House, "A Warm Welcome", which was launched in Q1, is seeing great traction, not only on ground, but also on digital assets. Our YouTube campaigns have now garnered more than 20 million views. Our focus on brand y as a category will continue with at least one premium launch in Q3 FY'24.

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Before I hand over to my colleagues, I would like to reinforce that TI continues to be committed to giving brandy, which is the second largest IMFL category in India, the share of voice it deserves. We will continue with our strong innovation pipeline in b randy and premiumization strategy and expand our existing portfolio with high-quality premium spirits that would make the world take notice.

I now hand over the call to our President of Strategy and Corporate Development for a detailed financial review. Over to you, Ameya.

Ameya Desh

pande: Thank you, Boss. Welcome all to the call.

As Mr. Dahanukar mentioned, our volumes grew by 17% in Q2 and 28% in H1'24. Our Q2 volumes are the highest quarterly volume s since FY'15, despite Q2 historically being the third strongest quarter, only after Q3 and Q4.

Our NSR increased to INR1,273 per case for Q2 FY'24, an 8% growth Y-o-Y, leading to Net Revenue increase to INR354 crores and growth of 29% for the quarter. This increase in NSR is on account of a steady mix of price increases, brand and state mix.

While there was no new price increase received in this quarter, Q2 was the first quarter with full quarter impact of price increase received in Q1 in the state of Telangana.

Our P&A volume mix continued to be strong with approximately 80% saliency of total volumes.

Our EBITDA increased 51% year-on-year in Q2 to INR47.4 crores. The EBITDA for H1 stood

at INR85.8 crores. That is a more than 60% growth. EBITDA margins also increased almost two percentage points to 13.4% compared to 11.4% a year back. This increase in margins is on account of price increases as well as operating leverage coming into play. Also, margin expansion was despite the inflationary headwinds plaguing the industry, especially on the ENA side.

In fact, on a Y-o-Y basis, our A&SP spend as a percentage of net revenue increased by almost 90 basis points or by almost INR4 crores in absolute terms. Otherwise, our EBITDA margin and absolute EBITDA would have been higher.

I'm also glad to share that we completed the refinancing of the Edelweiss ARC debt, wherein we prepaid INR176 crores to settle all outstanding s to EARC. This was refinanced with a fresh term loan from Kotak Bank of INR130 crores and the balance being paid out through existing cash reserves. The Kotak loan has a maturity period of four years and provides us with immediate flexibility in managing cash flows, enabling investment in brand building.

As of September 2023, our net debt stood at INR141 crores, and it has come down almost INR350 crores over the past 30 months. There has been an increase of around INR5 crores over the last quarter. This was predominantly on account of additional working capital investment in the business on account of excise duty hike in Karnataka as well as expansion in receivables cycle in Telangana, both key states for us. However, we continue to expect to be near net debt-free by March 2025.

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To conclude with the opening remarks ; overall, we are seeing good growth in our established brands, MHB and CNB. Our recent brands, especially Flandy , continues to grow market share at a rapid pace and is meeting its purpose of making brandy more aspirational and youthful . To add to that, our financial position is strong, and we continue to generate good amounts of cash flows, which can be reinvested for profitable growth. With that, I would now like to open the call for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Himanshu Shah from Dolat Capital...

Himanshu Shah: Hello.

Moderator: Yes, Mr. Shah, we can hear you. Please go ahead.

Himanshu Shah: Congratulations for a great set of numbers. Just a couple of questions. The first is a book-keeping question. Despite healthy volume growth and price increase, full quarter flow-through of price increase. Gross margins have been down on a quarter-on-quarter basis, almost by 160 basis points. So anything specific over here? Basically, is this on account of increase in ENA prices? And if you can provide the outlook on ENA prices, like what has been the increase quarter-on-quarter basis in ENA prices and the exit quarter ENA prices? This is the first question.

Ameya Deshpande: Sure. So Himanshu will take it a question at a time. But yes, you're right in terms of the impact

on our gross margins has been predominantly on account of ENA prices. So ENA, if you look at it from an exit perspective for Q1 or rather on a blended basis in Q1 was around 67 per liter, which closed on a blended basis at 69 per liter in Q2 . However, the exit rate was actually 70 . So, there has been a steady increase in ENA prices. In terms of providing any kind of guidance on ENA prices, see it is a volatile situation currently, right. So, even as we speak, the prices have increased a further INR1 per litre in the current month.

So, that is on the increase. However, we do hope that this will kind of turn by December, by the new harvest and all of that. And then we should be looking at again Q1, Q2 levels over the next quarter or so.

Himanshu Shah: And the exit rate you mentioned is 77 per litre versus full quarter average of 70 per litre?

Ameya Deshpande : No, no, I said 71.

Himanshu Shah: 71. Okay. Okay. Fine sir. This is very, very helpful.

Amit Dahanukar: We will also have to wait and see the impact of the reduction in GST on molasses, which has taken place, which now stands at 5% compared to 28% what it was earlier. That impact also we will know possibly in this quarter.

Himanshu Shah: But GST probably wasn't getting levied , if I'm not mistaken. At least on grain-based ENA , states were not levying GST. So, would there be any specific benefit?

Ameya Deshpande : No, no. So, this is specifically for molasses itself. So, procurement of molasses had a GST of 28% earlier, which has now been reduced to 5%. Obviously, molasses ENA becomes more

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relevant in the states of Maharashtra and Karnataka. Obviously, UP being another state where it does, but not relevant for us. So, Maharashtra, Karnataka, there could be an impact, but difficult to quantify as of now.

Himanshu Shah: And just in continuation of that, what would be our mix consumption in terms of grain -based ENA versus molasses -based ENA ?

Ameya Deshpande : We don't actually provide that information, but that's fairly fungible, closer, higher on the grain side.

Himanshu Shah: That's very helpful. The second question is, overall brandy market size, if you can provide some color, I presume it's around 80 million cases, predominantly in the southern India. But if you can correct me if I'm wrong, and what would be the mix of P&A within that for the industry?

Ameya Deshpande : Sure, Himanshu. So, yes, you're right. In FY'23, the brandy industry was around 85 million cases. We have seen a slight growth currently in H1. It is at almost 45 million cases as we speak. However, I think when you look at brandy, you have to look at it from a P&A perspective.

So, P&A within the brandy segment occupies around 34% of the saliency as of FY'23. This has increased to around 34.5% in the first half. Within the overall construct of IMFL, brandy P&A is actually one of the fastest growing P&A categories. So, if I'm to look at it from a three -year CAGR perspective, brandy P&A actually has grown at 13% CAGR as compared to 8% for the overall P&A IMFL.

Himanshu Shah: This is very, very helpful. This is the rough calculation. Our market share in brandy P&A should be around 37%, 38% to 40% range?

Ameya Deshpande : No. Brandy P&A, if I'm only looking at MHB, it will be around 27% of brandy P&A.

Himanshu Shah: In opening remarks, I believe we mentioned that of the total volumes, 80% saliency is from P&A. And 85%, 86% of our volumes , closer to 90% comes from brandy. So, I was using that number?

Ameya Deshpande : Yes. So, essentially if you look at it, 80% P&A would be predominantly given that Mansion House itself occupies 80% of our total volumes. Most of the 80% is Mansion House itself. So, it's safe to assume that as a percentage of Prestige & Above P&A, or rather Prestige & Above

brandy, we are around 27% to 28%.

Himanshu Shah: Okay. And can I have one more last question?

Ameya Deshpande : Sure.

Himanshu Shah: So, with respect to upcoming elections in Telangana, are we expecting any kind of, we have not been able to go through the parties ' manifesto or anything, but is there any green flags or red flags with respect to Alcobev as an industry for Telangana market? This is first. And secondly, I think so licenses have been up for renewal. So, is there any increase, decrease in the number of shops in Telangana? If you can provide color on this too. And this would be the last question.

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Amit Dahanukar: So, in terms of future outlook in Telangana, nothing has come to our notice. In terms of the shop licenses, what you mentioned, they will go through the normal renewal in November end. And they should start operating in the first week of December.

Himanshu Shah: Okay. Sure, sir. That's it from my side. Thank you.

Moderator: Thank you. We have a next question from the line of Chintan Mehta from Lloyd LLP. Please go ahead.

Chintan Mehta: Okay. So, I will congratulate management for the excellent numbers. I have two questions. One regarding on a generic basis. Sir, we have reported a fantastic volume growth, I mean kind of 28% volume growth for this half year versus last half year. I want to understand that, is it possible to dissect this particular growth number into a generic growth number versus, I mean, generic growth numbers in the same brand, same state's growth, what will be that number and what share of growth we are taking from a new product in a new state? That's number one part of my question.

And second is that we have seen some softening in our cash in it from our operations and predominantly because of working capital. So, it would be great if you can highlight that particular thing for us? That's two questions from my side.

Ameya Deshpande : Sure. So, the thing is that we don't get into too much of region -wise segregation of volumes. We don't disclose that level of data. Having said that, all regions for us have actually grown at a similar level. Obviously, state by state, it does differ. So, that is something that you have to take into consideration. But we actually don't get into that level of detailing as such. Our significantly profitable states of Telangana, Karnataka, Pondicherry have been growing extremely well. That is the level of comfort or detailing that I can get into right now.

With regards to your second bit of the question, yes, you are right. There has been an increase and I believe you are coming to this from an increase of net debt level as well of around INR5 crores. So, that has been predominantly on account of working capital investment.

Around INR43 or more than INR40 crores has gone into working capital. Now, if I was to just give you further colour on why INR40 crores and how did that INR40 crores actually come up, you would know that in recent times around July, there was an increase in excise duty in our key state of Karnataka.

So, that is where a good amount of additional working capital has gone. Approximately INR8 - odd crores has gone over there. Along with that, we have also had a slight increase in receivable cycle in the state of Telangana. It is a short-term impact. However, that has led to a further increase in working capital.

Abhinav Gupta : If you see, the number of days has increased from around 43 to 49 and predominantly as Ameya said, by Karnataka and Telangana. We are hopeful that in Telangana things may smoothen out a bit. But for Q3, we would stick to a guidance of 47 to 48 days. In this quarter, it is currently around 47 days.

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Chintan Mehta: All right. Thanks for taking liberty to ask a follow-up on what we asked. My first question, you

said we don't give details state-wise. My question involves the same product growth as well.

What could be that? I am trying to understand that what could be the -- the whole reason of me asking is that what could be the sustainable number in terms of volume growth?

So whatever we are not -- we have an existing branch and we keep on launching the new branch and tract to launching the new variant, right. So we're not understand that what is the secular growth in your existing branch versus what could be the growth because of the new launches? I want to dissect that for a modelling purpose and try to understand your take on this?

Amit Dahanukar: I think it is a good question. I will share my perspective on it. If you see a Q2 on Q2 I think, what Ameya also mentioned in his opening remarks, it is the first time the company has actually been active in terms of marketing and advertising. We have had an additional spend of close to INR4 crores in Q2.

We have been very active on digital platforms as well as on-ground activations. This is the first time that not only the company but Brandy as a category being communicated. This is the first time it is happening. So I do believe this is something which is led to this growth and I do see with our sustained activities and campaigns, this growth will continue in the immediate quarters as well.

Chintan Mehta: Okay. Thanks. Thanks for that.

Amit Dahanukar: Thank you.

Chintan Mehta: That's it from my side.

Moderator: Thank you. We have a next question from the line of Harsh from HDFC Securities. Please go ahead.

Harsh: Thank you for the opportunity and congratulations to Amit and the entire team of Tilaknagar for these results. Just a following up on questions asked by previous participants. There have been multiple news articles on very strong demand for liquor in Telangana in lieu of elections. I

wanted to understand the sustainability of volume growth and how were we seeing things on ground? So that's one. And secondly additionally post price hike in Telangana, there may be steep difference in prices between Andhra and Telangana which may have led to lot of cross-border smuggling. So are we anticipating a similar price hike in Andhra as well?

Amit Dahanukar: So I think, in terms of the elections I think we have not seeing the industry has grown marginally but nothing really more than that and between Andhra and Telangana, the price difference is not much. So I'll really not be able to a comment on your proposition.

Harsh: Understood. Secondly, I wanted to get any update on the Shrirampur distillery operations with regards to capex and commercialization?

Ameya Deshpande : Harsh, we are yet in the midst of making a decision on that. There is no update that we have on this call with regards to the potential capex that could come up over there. But like I had

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mentioned earlier is well, the potential capex if and when it does come up just for the benefit of others would be around INR40 to 45 CR for the distillery. It is a 100 KLPD distillery.

Harsh: Right. So there is no tentative timeline to it? Right.

Ameya Deshpande : No, Harsh. Not yet.

Moderator: Thank you. We have a next question from the line of Anushka Chitnis from Arihant Capital Markets. Please go ahead.

Anushka Chitnis: Thank you so much for giving me the opportunity. I just wanted to ask a few questions. One

being that since you have entered into the states in the North -East, how is the response in those markets and what is your strategy if you want to enter any new geographies?

Amit Dahanukar: In the North -East, we have just introduced impacted its a very early introduction off course.

Mansion House Brandy has been the leading brandy in the North -East in fact. In a few months for example, in Sikkim, it is the largest single largest selling brand in Sikkim. Where

as the other

geographies are concerned we have a recent launch Blue Lagoon Gin. Its very early days ready to make any specific guidance in terms of the numbers or the progress right now. I think we have not even achieved the width of distribution which we intend. So it will be quite premature to make any comment on that.

Anushka Chitnis: What is your response for the non -brandy portfolio?

Ameya Deshpande: The thing is that for the moment we have guided this earlier as well , for the next year and a half, two years, our focus is very much on brandy and to keep expanding our market share within brandy itself.

Having said that, along with that, yes, there are developments which are taking place in the non -brandy portfolio. You have seen the refresh of Blue Lagoon which frankly is not a play so much on gin, but rather a play on white spirits and flavoured spirits, which are seeing significant growth in the industry today.

But I think you will start seeing the fruits of all these developments from a non -brandy perspective, let 's say, three -odd years forward. That is when you will start seeing some incremental eye -popping results coming out of that. For the next couple of years, it 's brandy which is going to be leading the – paving the way for us in terms of growth.

Anushka Chitnis: Okay. Thank you. Do you have any launches in its new plan? Any new product developments?

Amit Dahanukar: To follow -up on what Ameya has said, we reiterate our position as a brandy -first company.

That's our strength and that 's our focus and as I mentioned earlier also now, we are channelizing significant amount of resources in terms of communicating the proposition which we have for brandy. That said, we do have a new launch which will be happening in Q3 of FY 2024 and we'll keep you updated about the same. It remains in the brandy space and it will be premium to Mansion House.

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Moderator: Thank you. We have our next question from the line of Pankaj Kumar from Kotak Securities. Please go ahead.

Pankaj Kumar: Thanks for taking my questions, sir. And congratulations on a very good set of numbers. Sir, my question pertains to more on the industry side, particularly for brandy in the IMFL category. As you stated in the last three years, this brandy category has grown at 13% CAGR versus 8% P&A. So how do you see next three years for the brandy category given this white spirit is also now getting a lot of demand and all those? So given in this current scenario, how do you see brandy as a segment for next three years?

Ameya Deshpande: I think whatever developments that are happening in brandy currently are happening on the P&A side. And obviously we are paving the way over there. We are more than 1/4 of the market or rather the industry on the P&A brandy side, right? So we drive most of the growth that's happening.

Having said that, I think across categories, we are seeing tremendous developments happening on P&A. In terms of growth, I think you're obviously not looking at the kinds of growth that you've seen in the past, right? These will mellow down to some extent. From an industry perspective, you're looking at single -digit growth, right, for the next few years. Brandy P&A, given that it will be driven by us predominantly, you should be looking at somewhere in the higher single to lower double digits, right? With our guidance being in the mid -teens kind of growth.

Pankaj Kumar: My second question is more on the long -term margins. Given your gross margins at 49% average that we've seen in the first half, and 80% is a P&A for you, so what are the levers for improvement in the gross margin in the next two years, three years?

Ameya Deshpande: From a gross margin perspective, I think a couple of things over there. First, at some point, the ENA prices, I think, will halt from the mon

thly increase that we have seen. I think that is one part of it.

The other part, which is more specific to us, is the fact that Flandy, as a product or as a brand, has only started picking up pace. As Mr. Dahanukar mentioned, 5% of overall MHB saliency in the relevant states in which it has been launched. You will see F landy picking up in volumes as a share as well, which will lead to an increase in gross margins because it is a more premium product and therefore more profitable.

Along with that, as Mr. Dahanukar also mentioned right now, in response to the earlier question, we are coming out with a new brand in this quarter, which is, again, at a premium to Mansion House. So you should be looking at certain levels of incremental margin expansion that does happen from here. Quantification becomes that much more difficult, given the volatile times that we are in, in terms of commodity prices.

But, yes, I think even going below gross margins, if you look at EBITDA margins, EBITDA margins is surely something that we should see some improvement on, given operating leverage coming into play as well, over there.

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Pankaj Kumar: Okay. And, sir, last question, if I may. So that is on accumulated losses that you have. So, given that accumulated losses, we have zero taxes in this quarter. So for how many quarters that we can see zero taxes continue?

Abhinav Gupta: So, from next year, we are expecting that we will be paying taxes. So this year would perhaps be the last year wherein we are availing tax.

Ameya Deshpande: And from your modeling perspective, it would be safe to assume Q1 onwards, Q1 of FY '25 onwards.

Pankaj Kumar: Okay. Thank you, sir. Thank you.

Moderator: Thank you. We'll take the next question from the line of Marcel, an individual investor. Please go ahead.

Marcel: My first question is regarding this Punjab Expo wherein we have like taken in terms of INR100 crores. So where do we sit on this one? Are we going to revive it or if you're not going to revive it, then are we going to just sell it at a salvage value? And the land is whether this particular land is lease hold or the freehold land?

Abhinav Gupta: No. So Prag is -- I think you were mentioning about Prag Distillery?

Marcel: No, no. Actually, I'm mentioning about both, Punjab Expo and Prag.

Abhinav Gupta: So you see these units, they are of strategic importance to us. Punjab, if I take first, it is present in North India and at some point of time, we do propose to enter North Indian markets.

Ultimately, as we see, the growth of the company can come from more brands, new brands as well as the geographical diversification.

So that is a strategic unit from North Indian market entry perspective. Regarding Prag, it is present in AP, Andhra Pradesh and it is very much a unit which we have the license and recently it has come out of NCLT also. So we are doing production at almost full capacity in Prag and we will continue to do it in future as well.

Marcel: So this is like Punjab Expo, this land is freehold or the leasehold?

Amit Dahanukar: Freehold.

Marcel: Freehold, okay. And the second thing regarding this income tax, you mentioned that like till Q1 of next year, like there won't be any tax liabilities. So what is our unabsorbed income tax, carry forward losses, as of 30 September 2023, income tax?

Abhinav Gupta: We have unabsorbed depreciation of around INR120 -odd crores. So we will be utilizing that in this financial year. So from next year onwards, you should assume full tax payment.

Marcel: And the carry forward losses?

Abhinav Gupta: They have already been utilized.

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Marcel: Okay. And my last question sir, like regarding this like our dominance in the brandy, but just like humble submission, because if we are going

to restrict ourselves on brandy, so a point will come like when the market will saturate. Because the younger generation and so on, they are not much on the brandies, like more on the cold weather side or the army kind of thing. Like where do you -- more so, what's your strategy, like to launch other alcoholic products? Number one. And number two, which new state we want to launch in the Q3 and Q4? And how is the response in the state which we launched in the recent past?

Ameya Deshpande: Yes, so see, just coming to brandy first right. Now, you rightly said that brandy is a predominantly southern India kind of a play. However, I think what one needs to look at from an IMFL industry perspective is that South India actually contributes more than 50% of the volumes of Indian IMFL. You add to that the institutional side of the business of CS D and PMF, where also brandy gets sold pretty well. You are looking at more than 60% of the overall industry which is being catered to by us as such.

Now, with respect to why focus on brandy for the next year and a half to 2 years is that see, there

is still a long way to go. I earlier mentioned that Brandy P&A is the fastest growing P&A category within IMFL. But one more thing that we need to consider over here is that Brandy P&A takes only 34% share of overall Brandy. You compare this to another category like let's say, Whiskey. Whiskey has got a 54% or rather a 55% saliency of P&A within overall Whiskey itself. Vodka is more than 60%. 60% of Vodka is actually Vodka P&A.

So, we still see a great amount of headroom from a premiumization perspective within brandy as a category. And we are strong at brandy. We are the kings of brandy. There's no denying that. And we just want to make ample use of the position that we are in to build brandy as a category.

Marcel: And so, like, what is this P&A? I didn't follow this one.

Ameya Deshpande: Prestige and Above. It is the premium side of the industry.

Marcel: Okay. Got it. So, in the similar range, we should also focus on rum because in the P&A in the army -- rum is also consumed very large scale. So are we have this rum product or not? Or are we trying to not rum?

Ameya Deshpande: We do have a rum product. It's a brand called Madira, which is pretty famous within the CSD as well as in Kerala as well. So we do have a rum product, but yes, I think it comes down to what are the extremely strong at, and brandy obviously is that category ...

Amit Dahanukar: So I just like to add to what Ameya was saying to summarize is that based on brandy portfolio in the past 30 months, we have doubled volumes, and we're seeing the momentum continue. So I'm not seeing any clear -- why we should do anything too much different at this stage. When in 30 months, we've been able to clearly demonstrate that we have doubled our volumes.

Marcel: And what's the market share in the brandy, currently? And what you got to target, say, by the end of next financial year, for example?

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Amit Dahanukar: So I think we have already addressed this question. I think if something remains, you can write to us directly, we will respond to you.

Marcel: Okay. Thank you.

Moderator: Thank you. We have our next question from the line of Karan Sanwal from Niveshaay. Please go ahead.

Karan Sanwal: Thank you for the opportunity and congratulations on good set of numbers. I wanted to understand, how is the response of the Flan dy that we have launched in the last year? And if you could share the future contribution of the Flan dy segment and the margins that we could expect from the same?

Ameya Deshpande: Sure. So margins, we will not get into. That is a level of detailing on a brand-wise basis that we don't get into. But needless to say, it is a high contributing and high-margin product, given the premiumized level at w

hich it stands. With regards to how is it done, as Mr. Dhanukar mentioned earlier on the call as well, we have already achieved 5% of MHB saliency, Mansion House Brandy saliency, which is a pretty good number given the fact that this brand has been launched only around 12 -odd months back. And given the sheer scale of Mansion House brandy, the base itself is pretty huge.

So from that perspective, it has done extremely well. Like we mentioned earlier, in the state of Telangana, Flandy is the number three brandy today, in less than 12 months to have achieved that status. I think it's pretty incredible. I think we also need to consider the fact that Flandy is a first of its kind innovation within the industry. Never has India seen a flavored brandy come out of its stable as such. And we are extremely proud of this innovation. We are actually, just to give you a sense of how well it is doing, you should be seeing a couple more flavors coming out of this portfolio as well very soon.

Abhinav Gupta: And at retail level, just to give you a sense, Flandy would be at 20% to 25% premium to the Mansion House price.

Karan Sanwal: Right. And also, another question, like we have as a promoter group, we have diluted our equity to raise preferential issues. So any other, any preferential issue we are expecting in the recent time? Or we are done with that proportion?

Amit Dahanukar: So we have raised adequate capital, I do not see any immediate need to raise further capital.

Karan Sanwal: Right. So we would be comfortable managing our working capital with the facilities that we have, right now?

Abhinav Gupta: Yes.

Karan Sanwal: Okay, that's great. And also regarding, we have reduced our pledged promoter shares from around 60%, 70% to around 20%, 25%. So, I just want to understand, like which thing have we pledged against and can we expect this to come down further?

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Amit Dahanukar: So I have given guidance earlier that in this, within this financial year, we should be able to reduce the promoter pledge to zero.

Karan Sanwal: Okay. And also one last question. I think a previous participant also asked, but we have marked a good increase in EBITDA margins in this, in this quarter. And congratulations for that. But would that level be sustainable or can we expect some further increase in that EBITDA margin level on a consolidated basis?

Ameya Deshpande: Yes, you should be looking at further expansion in EBITDA margins.

Karan Sanwal: Any range that you could give or how?

Ameya Deshpande: See, we'll stick to our guidance. So FY '24, we will close between 13% to 14%. That's the guidance which has been given earlier as well. We, as of H1'24, are at 13%. So you should see this increasing to some extent for the rest of the year. And for next year, you're looking at anywhere between 14% to 14.5%.

Karan Sanwal: Okay, that's good. Thank you so much and all the very best for the coming year.

Moderator: Thank you. We'll take our next question from the line of Himanshu Nayyar from Systematix Institutional Equities. Please go ahead.

Himanshu Nayyar: Thanks. Sir, I had two questions. Firstly, talking about premiumization in brandy. So after the new premium launch that we are talking about that we will do in the third quarter, do you see, I mean, have you identified more gaps in the space and at higher price points, maybe which you can look to target in the next two years to three years to increase the share of P&A in brandy, which has been lagging relative to whiskey, for example?

Ameya Deshpande: No, so actually a brilliant point, Himanshu that you brought out. That is exactly the strategy with which we go about introducing new brands. So if you have to look at, just take an example, right? Let's take the example of a state like Karnataka. If you look at Karnataka whiskey market, you will have around 10

to 12 different price segments within whiskey itself. However, when you start comparing that to, let's say, a brandy, brandy will have anywhere between five to six best case, right? In certain states, it may even be just four price segments that are there. So that is exactly what we are trying to do with our premiumization ladder over here, whereby we are actually trying to find need gaps in terms of where can we slot in products or brands, okay, at a relevant price point where it doesn't exist today. And that is exactly what this new brand is going to be. It is going to be put in a price point which doesn't exist to a great extent in brandy.

You will see sister peers in terms of whiskey and all, but not so much in brandy. So that is the entire strategy going forward for us.

Himanshu Nayyar: Got it, got it. And one more point, I mean, we have talked a lot about our strategy and numbers, etcetera. But I believe we've also beefed up our management bandwidth quite a bit, which has obviously been driving this execution of the strategy. So if you guys can share some details on Tilaknagar Industries Limited

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the senior hirings that we have done, especially in the last couple of years, with a view to strengthen our mid and top management, basically?

Amit Dahanukar: So yes, that's an interesting point, which you have made. I think that's a process which is continuous. But yes, the senior management now we have adequately staffed with the domain expertise and the talent bandwidth now has significantly improved in the company, which has been one of the primary reasons I feel we have been able to execute the strategy.

Over the last two years, three years, I think that's been quite evident and that's gone a long way in helping us execute our vision.

Himanshu Nayyar: And we are confident of retaining this talent via enough incentive, etcetera, right?

Amit Dahanukar: So I feel in terms of the compensation, we are on par with the industry, the best in the industry. There's no doubt about that. We also do have a very attractive ESOP policy, which is working very well currently. So senior management and mid-level management have adequate ESOPs. So I believe that will keep them engaged with the future of the company and the company's prospects.

Himanshu Nayyar: Got it. That's all from me. Thanks. Thanks and all the best to you.

Moderator: Thank you. We have a next question from the line of Varun Mishra, an individual investor. Please go ahead.

Varun Mishra: Congratulations for a good set of numbers. Firstly, my question was, as you've seen, there's an increase in VAT as far as Maharashtra state is concerned. So like quarter 3 being the one of the strongest quarters. So could we see an increase in the revenue in this quarter, like the preceding quarter?

Ameya Deshpande: You're referring to Maharashtra?

Varun Mishra: Yes. To Maharashtra.

Ameya Deshpande: So see, Maharashtra is a very small state for us in terms of saliency. It's actually in low single digits. So it's not going to be meaningful for us.

Varun Mishra: Okay. So like, it won't be, like there won't be any revenue divers from Maharashtra, the major one of?

Ameya Deshpande: No.

Varun Mishra: Okay. And do you have any plans to get into like ethanol in the future or any non -alcoholic segments?

Amit Dahanukar: Not right now. We will keep you all updated if there's any significant material development.

Varun Mishra: Okay. Thanks. Thank you. That's all.

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Moderator: Thank you. We have our next question from the line of Nakul Joshi, an individual investor. Please go ahead.

Nakul Joshi: Thank you so much for the opportunity and a big congratulation for a very good set of numbers. So I have a couple of questions. Starting with the UK Free Trade Agreement and wanted to know that how i

s it progressing and what impact it could have on the company's revenues? And also, do you see any particular downside or any red flags in our domestic dominance because of the same?

Ameya Deshpande: So, see, UK FTA doesn't impact us significantly given the fact that we are a predominantly brandy player, right. This would be more an impact for whiskey players, but not so much for us.

Nakul Joshi: Understood. And does it open up more export opportunities for us?

Ameya Deshpande: No, I think it, I wouldn't comment on that.

Nakul Joshi: No problem. And the second question was about the, in terms of raw material and bottling costs, where do you see the same going? It's more operational efficiency possible over here?

Ameya Deshpande: So see, raw materials, frankly, very difficult to put a handle on that, right. I mean, ENA prices are what they are. They are at, I think, a pretty elevated level as it stands, but we do believe that at some point this will pause and potentially come down as well. So there could be some margin drivers over there. With regards to bottling charges and all, I think we are pretty well optimized right now. So we don't expect any further optimization coming out from on that side.

Nakul Joshi: Understood. That's it from my side.

Moderator: Thank you. Ladies and gentlemen, in interest of time, that would be the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Amit Dahanukar: So thank you all for your participation on this call. If there are any individual queries, we are free to address it. I think to summarize, we continue on building our brandy portfolio. As a brandy -first company, I think our endeavor will remain to grow the brandy category. We don't particularly view it in terms of category, in terms of what Ameya also has mentioned. It's more price point strategy, which we have.

So we are competing with whiskey at particular price points, and our endeavor will be to try and see whether there's some migration from other flavors. For example, Flandy, which we spoke about earlier, it's being viewed rather than being viewed as a flavo red brandy, it's being viewed as a flavored spirit.

So we have some more innovations in the pipeline. I think exciting times ahead for the company. I think we've been able to have significant growth over the past two years. I think the balance sheet is now well capitalized and well -engineered, and we can leverage well from this position to deliver better results in the coming quarters.

Moderator: Thank you, sir. On behalf of Systematix Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

February 16, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra-Kurla Complex, Bandra (East),
Mumbai-400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirements)
Regulations, 2015 - Transcript of earnings conference call held for Q3FY24 results

Dear Sir/Madam,

With reference to our letter dated February 08, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Tuesday, February 13, 2024 to discuss the Q3FY24 results.

The same is available on the website of the Company at www.tilind.com .

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary and Compliance Officer

Encl: a/a

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"Tilaknagar Industries Limited
Q3 FY '24 Earnings Conference Call "
February 13, 2024

MANAGEMENT : MR. AMIT DAHANUKAR – CHAIRMAN AND MANAGING
DIRECTOR – TILAKNAGAR INDUSTRIES LIMITED
MR. ABHINAV GUPTA – CHIEF FINANCIAL OFFICER –
TILAKNAGAR INDUSTRIES LIMITED
MR. AMEYA DESHPANDE – PRESIDENT - STRATEGY
AND CORPORATE DEVELOPMENT – TILAKNAGAR
INDUSTRIES LIMITED

MODERATOR : MR. NIKUNJ JAIN - ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and 9 Months FY24 Earnings Conference Call of Tilaknagar Industries Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Nikunj Jain from Orient Capital. Thank you and over to you.

Nikunj Jain: Thank you, Viren. Good morning, ladies and gentlemen. I welcome you to the Q3 and 9 months FY24 earnings conference call of Tilaknagar Industries Limited.

To discuss this quarter's business performance, we have from the management, Mr. Amit Dahanukar, Chairman and Managing Director, Mr. Abhinav Gupta, Chief Financial Officer, and Mr. Ameya Deshpande, President, Strategy and Corporate Development. Before we proceed with this call, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risk and uncertainty. For more details, kindly refer to the investor presentation and other findings that can be found on the company's website. Without further ado, I would like to hand over the call to the management for their opening comments and then we will open the floor for Q&A. Thank you and over to you, sir.

Amit Dahanukar: Good morning, everyone. Thank you for joining us on our Q3 FY24 Results Earnings Conference call. At the outset, I would like to address the recent disclosure made by the company about the income tax search.

This was a routine search conducted by the department. There was no meaningful impact on business operations during the search and since the completion of the search, we have not received any assessment or demand notice from the department. As and when any material developments take place, we will update the stock exchanges accordingly.

Q3 saw another strong performance from our end across parameters. Our volumes grew 13% on a year-on-year basis in Q3 FY24 and at 22% for the nine months of FY24, compared to the overall IMFL industry growing by around 2% to 3% in the nine months of FY24.

Our growth has been driven by both the millionaire brands, Mansion House Brandy and Courier Napoleon Brandy.

Both the brands are helping us to consistently grow our market share, not only in the Brandy category but the overall IMFL industry.

At an industry level, Brandy P&A continues to be one of the fastest growing P&A categories and yet one of the lowest P&A salencies within the respective categories, thereby providing enough headroom for continued growth.

We are also seeing continued strong traction in our flavored brandy range, Flandy, which now constitutes more than 8% of our flagship brand of Mansion House Brandy in the relevant states.

Tilaknagar Industries Limited
February 13, 2024

in which Flandy has been introduced. Flandy is our answer to making Brandy more fun and youthful.

In addition, our latest premium offering, Mansion House Chambers, is also showing promising results in Puducherry, our first launch state for Chambers. We are looking at launching Chambers in more states over the next couple of quarters.

The launch of premium products like Flandy and Chambers is enabling us to meet need gaps across price points in the brandy category.

Our thrust on premiumization is truly underway, with our NSR expanding to INR1,309 per case compared to INR1,222 per case a year back. This increase in NSR is on account of improved brand and state mix as well as price increases received over the course of this financial year.

On the cost front, the industry continues to reel under signif

icant inflationary pressures,

especially on the raw material side. We have seen E NA prices continually go up over the past couple of quarters, impacting profitability. Despite this, we have been able to expand our margins due to a higher share of premium brands and other cost optimization initiatives.

I am also happy to share that in the month of January, we were assigned a "A-/Stable" rating from Crisil for our bank loan facilities. This rating will potentially reduce our interest rates going forward.

On the marketing front, we released "The Flandy Song" on World Brandy Day, i.e. on 8 December 2023, our first large-scale brand anthem. The video and the song has received tremendous traction and is helping us in our aim to make brandy more youthful, aspirational and

inclusive.

I am also happy to share that we won multiple awards, including the "Company of the Year" award at the prestigious Spirit z Conclave & Achievers' Awards 2023, which was held in December 2023.

Before I hand over to my colleagues, I would like to reinforce that we truly believe that the brandy premiumization story is here to stay. We will continue to drive our strong innovation pipeline in brandy and come out with some of the best brandies and spirits that India has to offer, and for the world to see.

I now hand over the call to our President of Strategy and Corporate Development for a detailed financial review. Over to you, Ameya.

Ameya Deshpande: Thank you, boss. Welcome all to the call.

As Mr. Dahanukar mentioned, our volumes grew by 13% in Q3 and 22% in the 9 months of FY24, as compared to industry growth of around 2 %-3% in the 9 months of this year. Our net revenue increased to INR377 crores for Q3 and INR1,035 crores for the 9 months of FY24, a growth of 24% and 28% respectively on a year -on-year basis.

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P&A segment, which accounts for more than 80% of our volumes, continued to drive growth for the company.

Our EBITDA increased to INR51 crores and INR137 crores in Q3 and 9 months of this year respectively, a growth of 27% and 46% respectively on a year -on-year basis. Despite inflationary pressures, we have been able to maintain our EBITDA margins, which stood at 13.6% for this quarter, as compared to 13.4% for both Q2 of this year and Q3 of last year. The EBITDA margin for 9 months FY24 is at 13.3%, as compared to 11.6 % for 9 months FY23.

Our gross debt has reduced to INR164 crores as of December 2023, a reduction of INR24 crores from September 2023 levels. Our net debt as of December 2023 is INR119 crores and we are hopeful that we close FY24 at a net debt of less than INR100 crores and achieve near -net-debt-free status by March 2025.

To summarise, we have seen good growth in the quarters gone by and have also increased our market share, not only in brandy but overall IMFL. With a strong innovation pipeline and slew of launches over the next couple of years, we expect this trend to continue and with a specific focus on premiumisation, we expect cash flows to improve further, enabling us to make more marketing investments to build our core brands as well as new ones.

With that, I would now like to open the call for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Pankaj Kumar from Kotak Securities. Please go ahead.

Pankaj Kumar : Thanks for taking my question. Good morning, sir. Congrats on a decent set of numbers.

Question is on the raw material prices outlook. You have stated last two quarters you are seeing the price inflation. So how is the scenario going ahead for next two quarters? How do you see - are we seeing any signs of cooling off?

Amit Dahanukar : So on the ENA front, we have experienced some inflation quarter -on-quarter, that is the principal raw material, on which we have seen

inflation. The first quarter, the ENA price was INR67 per litre, which then increased to INR69 for second quarter and for the recently concluded quarter, it was around INR72. So there has been a steady increase in the ENA cost quarter -on-quarter and it is difficult for us to really predict as to how this price might move going forward. But on the rest of the fronts, I think we have seen a cooling down on the rest of the inputs.

Ameya Deshpande: So, to add to that, Pankaj, as Mr. Dahanukar mentioned, other inputs, right, so glass, for example, had seen a slight reduction in cost in the first quarter of this financial year. While we didn't see any reductions in the second and the third quarter, we are seeing some reduction in Q4 of somewhere around INR700 to INR800 a ton. So that should help us out a bit on the cost side as well going forward.

Pankaj Kumar: And on the price increases from the state, so any colour on that?

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Amit Dahanukar : So, price increases, Pankaj, we have received in the previous year, we received in the important states of Telangana, we received an increase in the Canteen Stores Department. So, I think, thereafter, nothing.

Pankaj Kumar: And just second question is on the overall brandy segment that we have seen decent growth in teens versus the industry growing in very low single digit. So, do you see going ahead, the brandy

market will continue to maintain the growth rate or we see some slowdown also?

Ameya Deshpande: So, I think, Pankaj, the thing is, when we look at brandy, let's just look at P&A, Prestige & Above, right, and that is the segment which has been outperforming the overall industry. While we do believe that driven by our own portfolio, we do expect this to outperform the industry to some extent as an overall industry. But obviously, I think, difficult to say whether it will grow at the same 13-odd-percent on a year-on-year basis.

I think we were looking at a fairly low base from a three-year perspective when we started off. This, we are looking at somewhere around, at least from our perspective as a guidance, we are looking at volume growth of anywhere between 12 % to 15% for the coming year of FY25 and then in the lower double digits going forward.

Pankaj Kumar: And, sir, the last question is on your new launch on MHB Chambers. So, at what price point that we have launched and what are the future launch pipeline?

Ameya Deshpande: So, we have launched this in Pondicherry for the moment. It is priced at a 50% premium to the flagship brand, which is Mansion House Brandy. So, one of the slides you will see in our earnings presentation, which kind of gives a price ladder for all the brands that we have in the state, right?

So, if you use Mansion House Brandy as the base in terms of pricing, then you are looking at Flandy, which is at a 25% premium -- sorry, 20% premium, 25% premium on CNB Green and 50% premium on Chambers.

Pankaj Kumar: And the future launch pipeline?

Ameya Deshpande: Future launch pipeline, see, Chambers, obviously, we are going to launch in a few more states, right, over the next couple of quarters. Beyond that, I don't want to speak too much in terms of which categories are we going to launch into. Loads of innovations going on in the portfolio right now. But I think closer we get to it, we'll speak about it. But Chambers will get launched in a few more states.

And just to correct myself, Flandy is at a 25% premium to Mansion House Brandy and CNB Green is at a 30% premium to Mansion House Brandy.

Pankaj Kumar: Okay, thank you.

Moderator: Thank you. The next question is from the line of Darshika Khemka from AV Fincorp. Please go ahead.

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Darshika Khemka: Hello, sir. Thank you for the opportunity. This time around, we see that the other income for the

company has increased to almost INR8 crores closing the quarter. What can we attribute this to?

Is there a one-off or anything of that sort?

Amit Dahanukar: So it should be considered as a one-off. There were some old advances which had been provided for which the company was pursuing vigorously over the last few quarters. So a part of that INR8 crores is advances which have been returned to us. And the remaining part is I think other income, which is interest on our fixed deposits and mutual fund investments.

Darshika Khemka: Okay. Could you help me with the breakdown of this other income into the old advances that we have received?

Ameya Deshpande: So the old advances that we have received are around INR7 crores. The balance is the normal other income.

Darshika Khemka: Got it. Yes, that is it for me. Thank you.

Moderator: Thank you. The next question is from the line of Ajay Thakur from Anand Rathi Securities. Please go ahead.

Ajay Thakur: Hello. Thanks for taking my question. So I wanted to understand more on the other expenses.

So if I were to look at it, it has been almost like a flatish at around INR100 crores, INR 110 crores. So can you share some details on what is the level of a steady state kind of a run rate that we can expect for the expenses, the employee expenses? INR 100 to INR110 million.

Ameya Deshpande: Yes. So I think employee expenses are kind of -- we are at the optimal level in terms of percentage of net revenue. From a growth perspective, I think you should look at it at the same, what do you say, at a slightly lower growth than the revenue that you would be modelling. We should be looking at similar levels or slightly lower in terms of percentage of net revenue going forward as well.

Ajay Thakur: And my second question, our arrangement with Pernod Ricard. So any update on that front? If we have some -- we understand that we have been under discussion with them.

Amit Dahanukar: Yes. So post the last call, there is no material development as such to update the forum. But we continue discussions and we are hopeful that the arrangement would commence shortly.

Ajay Thakur: Okay. And lastly, in terms of our foray into the northern markets or the non-south markets. So how is that shaping up? And how is the contribution of south versus the non-south shaping up?

If you can share that number for the quarter.

Amit Dahanukar : So it is going on the expected lines, of course, as the forum will be knowing that the bulk of our sales do come from South. And I think there 's a very small shift which is happening in terms of the saliency of east and other markets such as institutional sales. But it is in line with what our expectations are.

Ameya Deshpande: And just to quantify in terms of how much does South contribute to our volumes, it 's around 85%.

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Moderator: Mr. Ajay.

Ameya Deshpande: We can move on to the next question , if Ajay is done.

Moderator: As there is no response from the participants, we would like to take the next question. The next question is from the line of Shivram from Retail Ltd . Please go ahead.

Shivram: Congratulations on a fine performance in Q3 as well. And it is very heartwarming to hear the aspiration of our company to produce brandies for the world, as the chairman mentioned.

Mansion House is already the largest selling brandy in India. And another nine years or so, the company will be completing 100 years. So, when do we see our company become the largest selling brandy company of the world?

Amit Dahanukar : So, that is definitely our aspiration. I think we are already, I think Mansion House is perhaps the second largest selling brandy in the world. And the steps which we are taking in terms of ladder the portfolio at various price points and the measures w hich we are taking, I am sure that

that will be achieved in the foreseeable future.

Ameya Deshpande: And just to add to that, I think from our perspective, from a strategic and vision perspective, while we would love to be the largest selling brandy in the world, I think the better way of putting it is we would like to be the most adm ired brandy brand in the world.

Shivram: Thank you, sir. Thank you. That's all from me. Thank you so much.

Moderator: Thank you. The next question is from the line of Chintan Mehta from LLOYDS LLP . Please go ahead.

Chintan Mehta: Yes. Thanks for the opportunity. As in opening remarks, you said that raw material prices has been one of the key impacting in terms of our margins are concerned. And it seems that we are transiting toward higher teens volumes and we are trying to get the higher auction prices. So what to understand that in a steady state basis, if my raw material prices would have been, say, neutral at this point of time, what would have been a peak EBITDA margin per se?

I'm just trying to understand that what kind of right now EBITDA margins are close to around 15%-odd or 14 %-odd. What could be the peak EBITDA margin if, say, we have a steady state raw material prices?

Ameya Deshpande: You see, excluding the inflation that we've seen in the raw material prices, right, this would have been closer to around 15 .5%, 16%. Right. So having said that, I think, are we expecting the raw material prices to go back to the earlier base? Obviously not. Right. We do expect some level of stability over there.

Having said that, there are multiple things that the company itself is doing, right, which is not purely dependent upon the cost structure or the way the prices of our raw materials move.

Premiumization, which leads to increase in NSR , further cost optimizations that we are undertaking internally, efficiencies that we are bringing about in cost. Right.

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They will help us or enable us to expand our margins further from the current levels of 13.6 % that we've seen in Q3 to take us to our near peak margins of around 15 %, 15.5% over the next couple of years.

Abhinav Gupta : Plus, with the operating leverage kicking in, I think some of the cost, as Am eya said earlier also, that employee cost, the percentage of sales will not...

Chintan Mehta: But that's completely evaporated. The very good cause of getting into higher volumes, that will definitely bring an economy of scale, but that has completely been eaten by the raw material prices as we speak. So, even getting it more granular, the 7 % ASP, what we have actually achieved this particular quarter, wouldn't understand that what could be on account of premiumization and what could be on account of the raw material price hike, if any, we have passed on.

So, are we in a kind of a situation where we can get a number wherein what percentage we are still able to pass on due to the raw material prices?

Ameya Deshpande: Yes. So, just to give you some kind of quantification in terms of NSR increase, right, that we

saw from Q2 to Q3, over there, around two-third of that was on account of price and brand mix, right, which also considers the price increases that we have received and all of that, and around 30% on account of the state mix that is there.

Chintan Mehta: Okay, understood. Understood. So, we have not taken any price hike in terms of considering the raw material price increases. So, that secular, the pass-through is not yet done. So, that could...

Ameya Deshpande: Yes, you are right.

Chintan Mehta: So, in Q4 or coming quarters, you may see that even playing out well, if I am not...

Ameya Deshpande: So, that's a difficult one, right, because most of the prices are frankly regulated by the corporations as such, right. So, thereby, it is not a free pricing mechanism in every state. Having said that, we do see premiumization of

other NSRs being at a healthy level, right. So, they kind

of will take care of all your inflationary pressures. We do believe that we will be able to maintain our margins, if not better it, within the next couple of quarters itself.

Chintan Mehta: Okay. Understood. That's it from my side. Thanks a lot. Thanks for the clarification. And best of luck to all of you.

Ameya Deshpande: Thank you.

Moderator: Thank you. The next question is from the line of Gaurang Kakkad from Haitong Securities. Please go ahead.

Gaurang Kakkad : Yes, hi. Thanks for the opportunity. So, couple of questions. If you look at the 13% volume growth for the quarter, is it possible to give some color in terms of how this looks between super premium, premium and the deluxe segment that you called out in the presentation?

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February 13, 2024

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Ameya Deshpande: So, see, super premium is a very small part of our business, right. Even when you look at the premium side of things, right, you are looking at brands like sorry, brands like Mansion House Brandy over there, right. So, that would be the predominant growth. Rather, that is where a majority of the growth is coming from along with CNB. Now, CNB frankly straddles between two segments, which is the super-premium and the deluxe segment, right. We are seeing similar growth on both the sides.

Gaurang Kakkad : Okay, got it. And if we look at the net sales growth, it has outpaced the gross sales growth, which indicates excise per case is coming down. Now, is this a function of state mix, product mix or like largely what is the reason for this?

Ameya Deshpande: It's a function of both actually. It's a function of this, but predominantly on account of the state mix.

Gaurang Kakkad : Okay. And secondly, in terms of you mentioned in the opening remarks that because of the CRISIL rating, interest cost is likely to come down. Any quantification as to how much impact this can have in FY25? The interest cost rate, interest rate.

Abhinav Gupta : Though the final decision will be with the lenders, but we expect that we should be able to get a reduction of at least 200 basis points over the current rate, which they are charging us. So, currently, Kotak is at around 13%. We expect that post rating exercise, it should come down by at least 200 basis points.

Gaurang Kakkar: Got it. Thanks a lot. That's it for me.

Moderator: Thank you. The next question is from the line of Simar from Negen Capital. Please go ahead.

Simar: Hi, sir. Good afternoon. Thank you for the opportunity. So, just want to ask you in terms of your recent expansion in Pondicherry, how is the response been over there of Mansion House Chambers?

Amit Dahanukar : So, it's been three months since the launch. We just launched in quarter three. So, the response has been positive. It's been encouraging. We are getting repeat orders. And the business currently is about maybe less than 5% of what Mansion House does, but which is quite good initially to start off with.

Simar: Got it. Do you have any plans of expanding your offerings to different states as well? The same price point?

Amit Dahanukar : So, yes, I think Ameya has also thrown some light in this. I think in the coming quarters, the Chambers offering, we will look at expanding to other states also gradually.

Simar: Got it. Got it. All right, sir. I'll follow back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Shantanu Mantri from Think Investments. Please go ahead.

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Shantanu Mantri: Hi, Amitji. Hi, Ameya. Really, really good numbers. And it's been a fabulous performance, what

we've done in the last two, two and a half years. So, really want to congratulate the whole team. I just had one question. So, in a way, you know, like a year back, we had th

ought of, you know, investing some money in a distillery.

We've kind of stayed away from that. And in a way, you know, the way raw material prices have gone in terms of grain, I think it's been a right decision. Now, having said that, the grain prices seem to be, peaked out and we're expecting some cooling off th ere.

So, and obviously now with where our balance sheet stands and how our cash flow stands, just want to understand that how are we thinking in terms of investing any money in distillery or not at this point?

Amit Dahanukar : So, Shantanu, I think it is a pertinent question. It's the investment decision has been on top of mind. This current financial year, we took a decision to wait. And currently also, I think we are waiting and watching, of course, the financial position of the company is much more robust, which will allow us to make an investment decision if we so choose. But currently, it's something which remains under active cons ideration. But nothing has been firmed up as of now.

Shantanu Mantri: Perfect. Perfect. Sounds good. Okay. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Himanshu Shah from Dol at Capital. Please go ahead.

Himanshu Shah: Congratulations on a good set of numbers to the entire team. A couple of questions. One is, can you just highlight what has been the capex for nine -month FY24 and the outlook on capex for FY24 and FY25?

Ameya Deshpande: So, capex for this year has been around INR15-odd crores. And going forward, if you keep the distillery capex aside, right, so distillery capex is somewhere around INR40 crores to INR45 crores potentially, right?

But that depends on when we do take a call to expand that. But keeping that aside, you're looking at a maintenance capex on a yearly basis of anywhere between INR20 crores to INR25 crores going forward as well.

Himanshu Shah: Okay. Fine. And secondly, again, harping on just the raw mate rial part, you mentioned that EN A prices are on an inflationary side. Can you just provide some outlook like on a quarter -on-quarter basis, what would have been the inflation in Q3 or as on date, what is the inflation versus end of quarter?

Amit Dahanukar : So, quarter one, the average E NA cost was INR67 per litre, which increased to INR69 in quarter two. And for the recently concluded quarter three, it was INR72. So, it's almost, you can say, INR5 inflation from beginning of the year, translating to INR20 per case.

Himanshu Shah: Okay. And is it steady as on date or it is on an inflationary trend even after Q3?

Tilaknagar Industries Limited

February 13, 202 4

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Ameya Deshpande: No. So, even if you look at February, you're looking at around INR72.5 a litre. So, it has increased marginally by half a rupee to INR1 per litre .

Himanshu Shah: Okay. And you highlighted that there has been around INR700 reduction in glass bottle prices in Q4, in the ongoing quarter.

Ameya Deshpande: Yes. Yes. That's right. So, INR700 would essentially mean on a per case basis, you're looking at somewhere around INR4 a case impact.

Himanshu Shah: Okay. Fine. That's very, very helpful, Am eya. That's it from my sid e. And all the best for future.

Ameya Deshpande: Thank you so much, Himanshu.

Moderator: Thank you. The next question is from the line of Simar from N egen Capital. Please go ahead.

Simar: Yes. Hi. So, thank you for making me ask another question. So, thank you for giving me the opportunity. Just wanted to ask you in terms of your blended capacity, can you talk about utilising across your four manufacturing units?

Ameya Deshpande: Yes. So, in terms of the four units, our mother plant of Shrirampur has got a uti lisation of somewhere around 30 -odd percent, 3 0% to 35%. The balance being, if at all Pernod does start operations again at Shrirampur , we should be reaching near full capacity utilisation.

We a

Iso have our fully owned subsidiary in Karnataka, which is Va hni, that is at 100 % capacity.

Prag , which is in AP, is again 100 % capacity. And Punjab Expo, which is in the north, has got a utilisation of around 20 -odd percent , that caters predominantly for our CSD business.

Simar: All right. All right. Thanks. Thanks a lot, sir. All the best going forward .

Ameya Deshpande: Thank you.

Moderator: Thank you. In the interest of time, that was the last question for today. I would now like to hand the conference over to Mr. Nikunj Jain from Orient Capital for closing comments. Thank you, and over to you, sir.

Nikunj Jain: Yes. I would like to thank the management for taking the time out for this conference call today,

and also thanks to all the participants. If you have any queries, please feel free to contact us. We are Orient Capital Investment Relations Advisors to Tilaknagar Industries Limited . Thank you so much.

Moderator: On behalf of Tilaknagar Industries Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

May 27, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex, Bandra (East),
Mumbai -400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of earnings conference call held for Q 4 FY24 results

Dear Sir/Madam,

With reference to our letter dated May 14, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Wednesday, May 22, 2024 to discuss the Q 4 FY24 results.

The same is available on the website of the Company at www.tilind.com.

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary and Compliance Officer

Encl: a/a

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Tilaknagar Industries Limited's
Q4 & FY24 Earnings Conference Call
On May 22, 2024,

hosted by

MANAGEMENT : MR. AMIT DAHANUKAR – CHAIRMAN AND MANAGING
DIRECTOR
MR. AMEYA DESHPANDE – PRESIDENT, STRATEGY AND
CORPORATE DEVELOPMENT
MR. ABHINAV GUPTA – CHIEF FINANCIAL OFFICER

MODERATOR : MR. HIMANSHU NAYYAR – SYSTEMATIX INSTITUTIONAL EQUITIES

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Moderator: Ladies and gentlemen , good day, and welcome to Tilaknagar Industries Limited Q4 and FY 24 Earnings Conference Call hosted by Systematix Institutional Equities.

I now hand the conference over to Mr. Himanshu Nayyar from Systematix Institutional Equities .

Thank you and over to you sir.

Himanshu Nayyar: Thank you, Neha . And good morning everyone and welcome to Tilaknagar Industries Concall who have had a very strong year in FY 24.

With good execution on all stated objective. I would like to welcome Mr. Amit Dahanukar – Chairman and Managing Director, Mr. Ameya Deshpande – President and Mr. Abhinav Gupta – Chief Financial Officer of the company on the call.

At this stage, I would like to hand over to Mr. Amit Dahanukar for his Opening Remarks and then we will follow up with a Q&A session. Over to you sir.

Amit Dahanukar: Good morning everyone. Thank you for joining us on our Q4 and FY 24 Results ' Earnings Conference Call.

It gives me immense pleasure to share that Tilaknagar Industries for the second -year running , is the fastest growing IMFL company of scale, growing 16% in volume terms in FY 24. This growth has been driven by our flagship brands, Mansion House Brandy and Courier Napoleon Brandy , which continue to grow faster than overall IMFL and Brandy industry. While MHB continues to be the largest selling Brandy in India, the CN B family of brands has grown by 50% over last year .

Mansion House Reserve , our premium Brandy brand sold only in Tamil Nadu , registered more than two times growth in volumes in FY 24, gaining market share in the relevant price point segment in the state by more than 300 bps.

I am also happy to share that now we have become the fourth largest IMFL player and third largest P &A player in our strategic state of Telangana , partly aided by marketing efforts in the state which saw visibility of 30% across customer touch points in the state in one year.

In addition, we are the largest player in Puducherry , enjoying more than a 35% share of market , having seen market share growth of more than 500 bps in one year. We have also seen nearly 100 bps expansion in market share in our top five states of Telangana, Andhra Pradesh, Karnataka, Puducherry and Kerala. These states contribute more than 80% of our volumes and 40% of total India IMFL volumes .

On the cost side, FY24 has been a very volatile year , especially when it comes to EN A prices, which increased from around Rs. 67 per liter in quarter 1, to Rs. 72 per liter in Q4. While glass prices increased in H1 FY24 we saw some softening coming in the latter part of the year. This

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softening was also seen in other packing material cost. Despite all this volatility, we were able to not only protect , but expand our margins through a combination of our premiumization drive , price increases received in key states , cost optimizations and operating leverage.

Our industry beating growth and increase in profitability has enabled us to repay more than Rs. 130 crore of gross debt in FY 24, bringing our net debt down to Rs. 74 crore . This sharp reduction in debt has further reduced our finance costs significantly , from Rs. 40 crore in FY 23 to Rs. 27 crore in FY 24. As guided earlier as well , we are targeting to become net debt free over the course of FY 25.

In addition, we have received a reduction in interest rate on our Kotak loan from 13% to 9.95% effective mid Q1 FY25. I am also happy to share that the Board of Directors of the company has declared a dividend of Rs. 0.50 per share for FY 25. This is on the back of dividend declared in FY22 and FY23 of Rs. 0.10 and Rs. 0.25 per share respectively.

On the brand building and marketing front FY 24 was a year of taking small yet significant steps in giving Brandy the sha

re of voice commensurate to its share of market. We launched two large marketing campaigns, the first being our largest digital initiative in the form of "A Warm Welcome ", Mansion House Brandy's Brand Proposition. This initiative was coupled with viral influencer marketing campaigns, which garnered great engagement organically as well as in organically. Our second large scale campaign was "The Flandy Song", Flandy 's brand anthem, which went in sync with "Welcome The Now", Mansion House Flandy's Brand Proposition, giving Brandy a more aspirational, fun, inclusive and versatile positioning.

FY24 was a year of recognition as well. T I won Company of the Year Award at the coveted Spirits Conclave and Achievers Award held in December 2023. Before , I hand over to my colleagues, I would like to reinforce that we truly believe that our focus on providing innovative, premium and trusted Brandy brands will continue to drive market share gains within Brandy , as well as overall IMFL industry . Our innovation pipeline within and outside Brandy is strong, and we look forward to continuing our growth and profitability momentum in the years to come. I now hand

over the call to our President of Strategy and Corporate Development for detailed financial review.

Over to you Ameya .

Ameya Deshpande: Thank you boss . Welcome all to the call. Our volumes for Q4 FY24 grew by 0.4% Y-o-Y on account of a high base of Q4 FY23, due to growth investment undertaken on back of equity investments , equity funds raised in December '22 . However, when we look at it from a full year perspective, we have grown 16% Y-o-Y in FY 24 versus an industry growth of 2% to 3%. Our NSR per case stood at Rs. 1,282 for FY 24 versus Rs. 1,197 a year back. This increase in NSR is on account of premiumization , price increases and favorable state and brand mix. Our

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consolidated net revenue for Q4 FY24 grew by 0.4% Y-o-Y. However, if we exclude revenue from distillery operations, our net revenue in Q4 grew in mid -single digits.

Our net revenue for FY 24 grew by 20% Y-o-Y. Our EBITDA for the quarter stood at Rs. 48.2 crore , a growth of 11% Y-o-Y. For the full year the same was Rs. 185.4 crore registering a strong growth of 35%. We saw a significant margin expansion of 128 bps and 152 bps for Q4 and FY24 respectively. Our EBITDA margin for FY 24 was at 13.3% , and as Mr. Dahanukar mentioned earlier, despite the inflationary pressures seen in raw materials and packing materials, we were able to expand the margins through a combination of our premiumization drive , price increases received in key states , cost optimizations and operating leverage. The significant growth in volumes and profitability , and the fall in finance cost has led to a 95% growth in PAT excluding exceptional items from Rs. 72 crore in FY 23 to Rs. 141 crore in FY 24. The same for Q4 FY24 grew 21% from Rs. 33 crore last year to Rs. 40 crore in this quarter.

To summarize :

We have seen good growth in the year gone by and have also increased our market share not only in Brandy , but overall IMFL . With a strong innovation pipeline and a slew of launches over the next couple of years we expect this trend to continue and with a specific focus on premiumization we expect cash flows to improve further, enabling us to make more marketing investments to build our core brands as well as new ones.

With that , I would now like to open the call for Q&A.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama . Please go ahead.

Abneesh Roy: My first question is on the key raw materials in FY25 ; how do you see the outlook in terms of the key raw materials and glass . Do you see significant movement based on current understanding?

Ameya Deshpande : Yes, so Abneesh thanks for the question. I'll

start with glass for the moment. Glass is always

obviously seen some softening in the second half of the year gone by, and we are seeing some level of softening coming in this year as well. So, we do expect a bit of price reduction on or cost reduction on the glass side. ENA on the other hand, has been volatile , Q4 was at the same levels as Q3 for FY 24. Very difficult to say how that trajectory will go , but we are hopeful that in the second half of the year, we should see some correction in ENA prices as well .

Abneesh Roy: And second in terms of the impact in Q1 due to the election, how do you see the dry days and the excise inspector availability and any other issue impacting you and the industry in Q1?

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Amit Dahanukar: So, Q1 Abneesh definitely we are feeling an impact because of the high level of regulation surrounding the elections. So, that has impacted but , I expect that in the ensuing quarters, we will be able to cover up .

Abneesh Roy: But how I couldn't understand you will be able to cover up is that because of the inventory refilling or because if there is a lack of production, or say the dry days that won't get filled up right ?

Amit Dahanukar: No, that will not get filled up . But in terms of the guidance, what we have given for , a double digit mid, double digit growth for this current financial year that we will be able to achieve .

Though I expect that quarter one will largely be flattish , we are expecting it to be flattish compared to quarter one of previous financial year . Essentially, because of large number of dry days , very strict regulation with regard to the retails ordering, particularly in the government control led market s, strict monitoring over last year sales.

Abneesh Roy: And double digit growth both in sales and even in EBITDA ?

Ameya Deshpande: Yes. So, in fact, our double digit growth guidance is for volumes, our sales will grow higher than that, EBITDA will grow even higher than the net revenue.

Moderator: The next question is from the line of Arman from Blue Sky Capital. Please go ahead.

Arman: My question is, we have seen our NSR increase like from Q2 FY22, from Rs. 1,081 to right now Rs. 1,293 a bit of down from Q3, however . But going forward, where were we are seeing , I am just asking for the perspective of let's say, 2-3 years where is our NSR moving, because our focus is on super premium and premium. Also, maybe could you give us a guidance for

perspective of two to three years, what kind of growth you are seeing in top line and margin in coming 2-3 years, to give an overall perspective?

Ameya Deshpande: Yes, so essentially, in terms of the NSR, it becomes very difficult to provide guidance because NSR is actually a function of your state and brand mix, so we refrain from providing an NSR guidance, we provide a volume guidance. So, as Mr. Dahanukar mentioned, it's a mid-double-digit kind of growth for this year. And we are looking at somewhere around 12% odd in a range of 11% to 13% for the next year as well, which is FY26. Now, obviously without giving guidance on NSR, what we can say is that, our net revenue will grow as compared to our volumes. So, you could consider a 300 to 400 bps incremental growth above our volume guidance and EBITDA margins from a guidance perspective, while FY25 guidance is somewhere around 14%. Over the next two to three years, we do expect this to increase to 15 and beyond.

Moderator: The next question is from the line of Himesh Shah an Individual Investor. Please go ahead.

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Himesh Shah: I just wanted to understand, what are your CAPEX plans over the next two years, there was some plant which was not working, and you guys were going to spend some Rs. 40 crore to Rs. 50 crore on it. So, has that plan been finalized?

Amit D

Ahanukar: So, Himesh as of now the plan has not been finalized, in our earlier calls also we had given guidance that to set up the grain distillery and get it in operating condition CAPEX would be in the range of approximately Rs. 50 crore. But, currently we have no immediate plans of action. So, we are talking to multiple partners also in terms of what we can do with the grain distillery, but there is no affirmative plan as of now, in terms of making the CAPEX, the regular maintenance CAPEX for next two years we envisage will be less than Rs. 25 crore per year. Himesh Shah: Okay, because I was asking this question because you will be net debt free by the end of this year. So, then you will have a lot of free cash flows. So, you will be obviously investing somewhere?

Amit Dahanukar: Correct. So, the distillery remains an option but there is no affirmative plan as of now.

Himesh Shah: Okay. And sir the second question was, in which state do you now see the headroom of further rapid growth, where you would want to gain more market share, because there will be some states where, you must have reached around 25% - 30% And, there will be some saturation point.

Amit Dahanukar: So, this previous year, two states Kerala and Karnataka, they saw significant price increases, both in Kerala and state of Karnataka, which subdued the overall industry growth. So, I am expecting that these two states will now start showing signs of recovery, growth will be back in both Kerala and Karnataka, whereas in the Telugu states of AP and Telangana we remain strong. So, I see that momentum should continue as in our earlier remarks also, I had mentioned that we had good gains in these states, and we are seeing that momentum carrying forward into this financial year as well.

Himesh Shah: Okay. And any price increase from the state governments that we are expecting this year?

Amit Dahanukar: So, this year it would be hard to really specify, but we received a lot of the price increases in this last year, which was FY24. So, not really sure at this point.

Moderator: The next question is from the line of Shantanu Mantri from Think Investments. Please go ahead.

Shantanu Mantri: Congrats the entire team at Tilaknagar, we've had a fabulous year with almost Rs. 185 crore of EBITDA. Two-part question, one on Brandy. So, we have done round 11 million odd cases. So, from a 3-4 year perspective, how do you see our Brandy volume growth potential, in terms of where we stand our market share in Brandy. So, do you see the potential of this 11 million going to say 15-16 million over the next 4-5 years. So, just want to understand how we are

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seeing the Brandy potential volume growth in the next three, four, five years. That is part one, and then part two is ex-Brandy, how are we seeing now that our balance sheet is very strong, and we have good free cash generation year-on-year. So, how do we see our non-Brandy portfolio now developing. So, if you can give some color on these two parts?

Amit Dahanukar: Thanks, Shantanu. In terms of the Brandy, it's now quite clear that we have cemented our leadership position in the Brandy category over the past 2-3 years. Going forward also, Shantanu as I mentioned earlier in my opening remarks, this is the first time any company has really undertaken a marketing campaign in terms of giving Brandy the share of voice in the space. So, we will continue our investments in terms of our marketing and communication behind Brandy, we just launched our first campaign in this FY 24. A lot of initiatives are planned for FY 25 also. So, I remain confident that in the next two to three years Brandy, which is the second largest category after Whiskey in IMFL, that will continue to grow. And we are in pole position in fact, the onus is on us to also drive the category. So, our marke

ting communications

coupled with a few strategic launches, which we will have in this coming year in terms of price

point, because if you see in terms of Whiskey, also the price ladder is quite eminent, they have offerings at different price points. So, we also intend to cover Brandy in a similar way with some strategic launches. So, both these things I am quite optimistic that next two, three years we have still ample headroom to grow the Brandy category. And coming to the next part of your question. Yes, it's fairly evident that now, having become virtually debt free, the company will generate cash and not having any financial commitments, we will now start exploring how we will deploy this cash in perhaps newer geographies and other categories. Whereas at the same time being cognizant of, protecting the balance sheet as well. So, no overly aggressive manner, but we will be aggressive, but we will be cognizant of the balance sheet health also.

Abhinav Gupta: Just to add one more point that the disposable income of people increasing, there is still a lot of scope of premiumization in brandy category. We are at 33% and Whiskey and Vodka are 55%-60%. And being the leader in P&A in Brandy, we will continue to drive the growth in the Brandy category.

Amit Dahanukar: And to add to what Abhinav said that in the first year, we have seen good response to Flandy, the markets where we have launched it Telangana, Andhra Pradesh and Puducherry it's gaining and saliency as compared to the mother brand so in Andhra Pradesh we are nearing almost 10% saliency whereas in Telangana and Puducherry it's around 5%, which I feel is quite encouraging, for first year of launch it is a very encouraging sign.

Shantanu Mantri: Okay. So, just to sum this up, can we say that next two, three years we are confident that in Brandy, we can grow volumes by 10% + for the next two, three years, is that a fair assumption?

Ameya Deshpande: Yes, Shantanu that's a fair assumption.

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Moderator: The next question is from the line of the Darshika Khemka from AV Fincorp Private Limited. Please go ahead.

Darshika Khemka: I have a couple of questions. I will go one by one. Firstly, I wanted some more clarity on the reason for the Net Sales Realization (NSR) drop Q-o-Q, what sort of mix change has happened that has led to this Net Sales Realization (NSR) drop?

Ameya Deshpande: Yes, Darshika the thing is, we don't go into too much details on a quarterly basis in terms of the actual saliencies on a statewide basis, but you are right it is because of the mix itself. So, it has been on account of that.

Darshika Khemka: Can you just clarify a little bit more as to what category or what state would have impacted this?

Ameya Deshpande: So, the Telangana what do you say, reduction to some extent would have impacted this and obviously, in the state of Kerala, as Mr. Dahanukar mentioned earlier, there has been a bit of a change in the way the market dynamics are working whereby the popular and below brands are doing better than prestige and above and that has been true for us as well, in the state of Kerala.

Darshika Khemka: Okay. The next question is that picking up from previous participants question that firstly, what is the capacity utilization of our Karnataka and Prag plant, in the last call you have mentioned that we are operating at nearly 100% capacity utilization, and Shrirampur and Punjab are lower at 30% and 20% respectively. So, what is the status right now with the capacity utilization. And now that we have free cash going ahead. Do we plan to put in more capacities at different locations, or do we plan to have expansion in the existing capacities to sort of increase the volume going in, and where will the growth come, from while we target a double digit volume growth, will it come from, which facility will it come from?

Ameya Deshpande: So, it's status quo in terms of the utilization, nothing changes Prag and Vahni are still fully utilized while the other two are to that extent underutilized. Now, the interesting bit about the entire IMFL industry and this is something that you would have seen across the overall industry with our peers as well. It's an asset light model, when it comes to the branded business, where no one, to be very frank even from our perspective, when we talk about any expansion or growth plans from a volume perspective, we are actually not looking at any investment in terms of setting up bottling units, there are many bottling units which are available. As it stands even from our perspective we bottle out of 19 units in India across 12 states of which only four are owned by us. So, a significant part of our bottling is actually done contractually. And that will continue, we don't see any change in that strategy.

Darshika Khemka: Okay. So, where will our cash majorly be used, going ahead. Will we also look at higher dividend payouts?

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Ameya Deshpande: So, obviously there are multiple options available. Obviously, at the end of the day we are still a business which is growing and a good amount or good part of the free cash flows that are generated in the business will be reinvested in the business. Having said that, yes it's a question of the scenarios and the situation that we find ourselves in, there will be I wouldn't call it necessarily a dividend pay out, but there will be some level of activity that we will undertake on

the corporate action side.

Moderator: The next question is from the line of Pankaj Kumar from Kotak Securities. Please go ahead.

Pankaj Kumar: Sir the question pertains to EBITDA margin. So, if you see the gross margins we are more or less around 48 %-49%. So, better than the peers that we have seen. But when it comes to EBITDA, of course we are at around 13 %-13.5%. So, what kind of this operating leverage, the factor that you see that will play out in improving your EBITDA margin over a long period?

Ameya Deshpande: So, obviously, we do see decent amounts of operating leverage play over here, as you rightly said, we do have a slightly higher other expenses ratio as compared to our peers. But a good part of that is in the form of fixed expenses. So, as and when as we keep growing obviously, the operating leverage will kick in. So, that's about it actually.

Pankaj Kumar: And the second question is about your Shirampur plant. So, of course as of now we are particularly with respect to grain-based plant, we are not operating. So, what are the near-term plans on that, will we still continue with the status quo or we are looking for some other options?

Amit Dahanukar: So, currently, it will be status quo, if there is any material development with regard to that we will make the necessary intimation.

Pankaj Kumar: Sir, just one clarification I would like to have, on this Mansion House Brandy, there's a brand ownership. So, these all past issues with Allied Blenders and all are resolved or it's still open?

Amit Dahanukar: So, the matter is sub-judice, it is already we have a favorable judgment at High Court level, but matter is under appeal. So, whatever time it takes, but in all forums, currently we have had judgments in our favor recognizing our ownership of the mark.

Pankaj Kumar: So, any signs of resolution of the same in near to medium term or it will take long time?

Amit Dahanukar: That would be speculative, I would refrain from making any remarks on this.

Moderator: The next question is from the line of Urmi Khania from Robo Capital. Please go ahead.

Urmi Khania: I would like to ask the revenue guidance that you gave for FY 25 and FY26 please, I missed that actually.

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Ameya Deshpande: Yes, so as we mentioned, we provide a guidance for the volume. So, the volume guidance for this year is mid double digits, and for next year would be somewhere around 11 % to 13% on existing business front. The revenue guidance, while difficult to give would be somewhere around 300 to 400 bps over and above the volume guidance.

Urmi Khania: Okay. For both FY 25 & FY26?

Ameya Deshpande: Yes.

Moderator: The next question is from the line of Mr. Himanshu Shah from Dolat Capital. Please go ahead.

Himanshu Shah: If you can just tell what is giving us this confidence for the mid double digit volume growth in FY25, our base has significantly increased, we have seen a very, very healthy growth over the last two years. So, the underlying drivers that can help in driving this growth because what I understand is that category, Brandy as a category I don't think so is growing at this particular rate, presumably low single digit. So, is it more driven by new product launches or geographic expansion that we would be doing or premiumization if you can help us understand on that particular front?

Ameya Deshpande: Sure, Himanshu. So, firstly when it comes to growth, Brandy growth is at par with what IMFL is doing. Now, interestingly enough, the fact of the matter is that, it is the second largest category within IMFL, which essentially means that there is not too much of a category creation that one needs to do over here. So, our confidence of growth actually stems on two fronts. It stems on the fact that obviously the category will grow in line with the industry growing, especially the P&A industry growing, which is in the mid-single digit as it stands today and expected to grow a bit higher going forward. But beyond that, the confidence also stems from the fact that if you look at our entire journey, we have been growing market share within Brandy which is over and above the growth of the Brandy industry. Essentially what I am trying to say is that, we are actually taking market share from within the category itself from incumbent brands. And frankly, we are only 12% of overall Brandy as it stands today. It does give us significant headroom in terms of taking market share from other players who are not focusing on Brandy as much. It also means that we can take share from a P & A perspective, as we mentioned earlier on multiple occasions that the P & A saliency within Brandy is still significantly lower than the P&A saliency for our peer categories like Whiskey. There is a good amount of headroom coming over there as well. So, at a very ecosystem level, obviously that also is going to grow, and we are going to be at the forefront to take that share as well over here. Adding to that obviously, there is this from a longer timeframe perspective getting into other categories is also theoretically going to enable us to expand Brandy beyond the southern states. So, I give too much of credence to that, or to this from the perspective of my guidance. No, not so much but there are some opportunities out there to increase Brandy beyond the southern states.

Himanshu Shah: Okay, this is very helpful. And any plan to enter into any other category besides Brandy?

Amit Dahanukar : So, we will keep that on our radar , as we had mentioned earlier also, now we will have significant headroom, given that we will have a significant amount of free cash flow, so that always is an option. And to add to what Ameya was saying that I do expect that, the industry growth also will be much better this year, last year was a very subdued year for the industry, total industry grew by approximately 2%. So , a lot of the markets which went through price increases, I am expecting them to recover this year, which will also aid in us being able to deliver

the numbers for this year.

Himanshu Shah: Sure. And just on the COGS front, if you can highlight the various cost line item like ENA , what are we seeing in terms of trends and similarly on the glass bottle side . How are the pricing trends , are we seeing any signs of softening or they are still hardening can provide some color?

Ameya Deshpande : Yes, so I actually covered this as a part of my response to the first question, but I will quickly just reiterate . Essentially , the second half of the year gone by that is FY 24 we did see some level of softening in glass prices, glass costs. And that is continuing in this year as well. So, we do expect at least some level of softening coming in over there . There has been some level of softening which has come in the other packing material costs as well. So, our cost for CC boxes and all has to some extent come down . On the ENA front however, it is still volatile . Q1 at Rs. 67 a liter, Q4 we are at Rs. 72 which was the same level as Q3, so not too much of inflation in Q4 that we have seen compared to Q3, but very difficult to say how ENA will work. Frankly, we are hopeful that in H2, the second half of this financial year, we should see some kind of softening coming up over there , but difficult to predict.

Himanshu Shah: And in this backdrop considering the volume growth that we are guiding for with some improvement in mix or higher revenue growth, and with some stability /softening in raw material , fair to assume that there should be a significant amount of operating leverage that should kick in for us ?

Ameya Deshpande : There should be, we should be looking at margin expansion.

Himanshu Shah: We should be, and how much we would increase our marketing spend in FY25 over FY24 in bps or as a percentage of revenue?

Ameya Deshpande : We closed this year at somewhere around 1.3% odd , marketing spend of revenue. In fact, Q4 was at 1.7% , when I say 1.3 % , I am referring to the entire year , Q4 was at 1.7 % . We do expect to increase this or keep reinvesting in marketing. Again, we are not going to be at the levels that we see our peers at, the guidance or rather their levels are anywhere between 5% to 10% , that's a function of frankly, the category that you are present in. Whiskey is a very hyper competitive segment or category , thereby, the A&SP reinvestment rates are much higher over there. From Brandy perspective, you don't need to spend as much but having said that, given that we are category leaders in this space, and given our ability to invest for future growth, we will be looking at expanding this.

Moderator: The next question is from that line of Himanshu Nayyar from Systematix Institutional Equities. Please go ahead.

Himanshu Nayyar: Just a couple of questions from my side. Firstly, on our volume growth, which was flattish at 0.4% this time , of course that is on a high base, because last year, I believe we would have done that equity raise and that would have driven higher aggressive channel filling. So, from this quarter perspective, just wanted to understand is there a difference between our primary and secondary sales, which you would want to highlight just to give us a sense of how the customer is picking up the product right now ?

Amit Dahanukar : Himanshu just to clarify that Quarter 4 -on-Quarter 4 while the primaries grew by approximately 0.5% , we had the secondary growth of around 6% Quarter 4 -on-Quarter 4 , one of the primary reasons why, the primary reason was slightly less than the secondary was that in Telangana the receivable position was very extended. So, we were very guarded in terms of our primary sales which significantly dropped in the month of February and then of course, then balance of the quarter we were unable to make it up. So, that was the primary reason why we see that . Our secondary growth has been

been healthy, whereas the industry would have been 1% to 2% in Quarter 4 our growth has been 6%.

Ameya Deshpande : And, just to add to that, Himanshu , just giving some kind of industry level data as well. When we talk about comparison between industry, we actually refer to secondary volumes. So, a like -to-like comparison over here would be industry IMFL overall, has actually grown at 2% in Q4, compared to our 6%. And the P & A industry as a whole would have grown at 5% to 6%. So, we have been at par with the industry if we actually go to see from that perspective, if not better.

Himanshu Nayyar: Got it very clear. And second bit if you can throw some more color on this exceptional item of Rs. 8 crore I believe that amount was already provisioned, right if you can give us some more color on that ?

Abhinav Gupta : So, basically, there have been an exceptional item in terms of some write offs, which we have

done for the debtors, which were due from Andhra Pradesh State Beverages Corporations, it was coming as a qualification in our balance sheet and this time we have taken the call that, we will be writing it off and the qualification will get away from our books. So, that is what we have done. Though this year, we have been able to recover our around Rs. 32 crore of outstanding from APSBCL, which were long outstanding. But for Prag Distillery, it was not recovered and on a prudent basis we have provided for it.

Moderator: The next question is from the line of Palak Bhanushali from MI V Investment Management. Please go ahead.

Palak Bhanushali : Sir my question is regarding the tax. So, I am assuming that from Q1 FY 25, we will be incurring the tax expenses. So, can you just help me with the tax rate that we will pay on the same?

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Ameya Deshpande : No, Palak just an update on that. At least for the next couple of quarters you can consider that there is no tax to be considered. On a conservative basis, let's consider from Q3 perspective.

So, it would be at 25% essentially meaning for this year it would be around 13% odd.

Palak Bhanushali : Okay. Can you help me with the absolute figure that we have for unabsorbed losses?

Ameya Deshpande : Rs. 200 crore. Do you get that Palak?

Palak Bhanushali : No, I didn't get the figure for the unabsorbed losses?

Ameya Deshpande : Rs. 200 crore.

Moderator: Thank you. As there are no further questions from the participants. I now hand the conference over to the management for closing comments.

Amit Dahanukar : I would like to thank you all for coming on this call. To conclude, I would like to reiterate our continued focus on sustainable growth, margin expansion and cash flow management. We are seeing good traction on our strategy of meeting need gaps across profitable price points in Brandy and we are also excited to continue showcasing our innovation pipeline in the quarters to come. Thank you very much.

Disclaimer: This is a transcription and may contain some transcription errors. The document has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to maintain a high level of accuracy.

Call: Aug 2024

August 19, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex, Bandra (East),
Mumbai -400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of earnings conference call held for Q 1 FY25 results

Dear Sir/Madam,

With reference to our letter dated August 08, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Tuesday, August 13, 2024 to discuss the Q 1 FY25 results.

The same is available on the website of the Company at www.tilind.com.

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary and Compliance Officer

Encl: a/a

Page 1 of 10

Tilaknagar Industries Limited's
Q1 FY25 Earnings Conference Call Transcript
August 13, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Tilaknagar Industries Limited Earnings Conference Call.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you and over to you, sir.

Siddharth Rangnekar: Good morning, everyone, and thank you for joining us on Tilaknagar Industries Limited's Q 1 FY25 Earnings Conference Call. We are joined today by Chairman and Managing Director, Mr. Amit Dahanukar, President, Strategy and Corporate Development, Mr. Amey a Deshpande, and Chief Financial Officer of the company, Mr. Abhinav Gupta.

We shall commence with views from Mr. Dahanukar on the strategic performance and Mr. Deshpande on the financial highlights. This shall be followed by an interactive question and answer session. Before we begin, I would like to state that some of the statements made on today's call could be forward-looking in nature and a disclaimer to this effect has been included in the results presentation that was shared with you earlier and is also available on the Stock Exchange websites.

I would now like to request Mr. Dahanukar to make his opening remarks. Over to you.

Amit Dahanukar: Good morning and welcome to our first Quarter Earnings Call for FY25. I will first cover some strategic and performance updates with you, which shall be followed by an operational and financial review by our President of Strategy and Corporate Development, Amey a Deshpande.

We are happy to report our highest ever Q1 EBITDA at Rs. 50 crore despite facing a challenging operating environment. While volume growth was 0.9% YoY, our EBITDA growth stood at 30.8% YoY. This significant growth in EBITDA has been on account of cost optimization initiatives and increasing share of premium products in the portfolio.

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We have delivered a stable set of numbers in Q1, which is on expected lines and as guided in our earlier Earnings Call, predominantly on account of disruptions due to elections. Whereas different regions had varying degrees of impact due to the elections, the IMFL industry in Southern India, which contributes 85% plus of our volumes, de-grew by 0.1% YoY in Q1, predominantly due to these disruptions. Now with the election-related disruptions out of the way, we expect industry to continue its earlier growth momentum going forward.

In addition, we are also expecting two of our key southern states to come out with progressive excise policies very soon, which will not only benefit the industry, but also TI to a greater extent, given our market leadership and strong brand equity with consumers in both the states. At an overall level, we are looking at this moderation in Q1 as a transient phase and are confident of resuming our industry-beating growth going forward, with focus on a good mix of market share gains in our existing portfolio, as well as innovative launches within the Brandy category and beyond. I am happy to share that even in this challenging operating environment in Q1, TI has maintained its leadership position in all its key states.

We continue to be the third largest P&A IMFL player in Telangana and Karnataka, as well as the largest IMFL player in Puducherry in Q1 FY25. On the cost front, we have seen some level of softening coming through glass and other packing materials. Despite the highly volatile and inflationary trends in E NA, we have done a great job in our procurement efforts and have seen E NA costs come down by almost Rs. 2 per litre in Q1. Both these factors have enabled us to maintain our gross margins on a QoQ basis, despite a reduction in NSR per case. This reduction in NSR is not an indicator of reversal in our premiumisation journey. The NSR in Q1 fell compared to Q4 FY24 purely on account of state mix and not brand mix.

On our portfolio strategy roadmap, as a leader in the Brandy category, we continue to invest to broaden the demographic appeal of our portfolio as we add innovative products across the premium range. We continue our efforts to meet price-need gaps in Brandy, especially at the premium end of the segment. We have an exciting pipeline of innovative launches that we are working on, and these should see the light of day over the coming few quarters.

Our newest launch, Green Apple Flandy, has gathered tremendous appreciation from consumers and trade alike, and within the first quarter of launch itself has achieved a 20% share of Flandy volumes across flavours in the two states where it is available, i.e., Telangana and Andhra Pradesh. Green Apple is a great addition to our Flandy portfolio, and we are very excited to occupy a meaningful position in the overall flavoured spirits ecosystem, which till now has been mainly occupied by white spirit brands. We are especially excited with the opportunities that Flandy has to offer, given the progression of the cocktail culture among consumers in India.

Given a combination of the right brand mix, distribution strategy and consistent communication, our products are consistently ranking at the top of leaderboards. I take great pride in sharing that we featured prominently in the recently published The Millionaires' Club 2024 report by Drinks

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International, which has recognised Mansion House Brandy as the largest-selling brandy and the eighth largest selling spirits brand in India in calendar year 2023. Additionally, our other millionaire brand, Courier Napoleon Brandy, is the second-fastest-growing brand globally and third-fastest-growing spirits brand globally during the same period.

Before I hand it over to my colleagues, I would like to reiterate our belief in maintaining our industry-beating growth going forward. This growth will be through

rough a combination of market share gains in our existing portfolio as well as innovative launches within brandy across premium price points. In terms of our non-brandy strategy, we have a strong pipeline of products in the premium segment and will be making opportunistic launches in distribution-strong states to begin with.

I shall now hand the discussion over to our President of Strategy and Corporate Development for review on the financials. Over to you, Ameya. Thank you.

Ameya Deshpande: A very warm welcome to all of you joining us today. I will cover the financial and operating highlights with you.

During the first quarter, we have recorded a revenue growth of 3% YoY, predominantly on account of disruptions due to elections. The NSR per case came in at Rs. 1,252 per case during Q1 2025 relative to Rs. 1,249 in the corresponding period of last year. This relatively modest growth in NSR is on account of state mix.

Despite the modest top-line growth, EBITDA has grown well at 31% YoY and stood at Rs. 50 crore, our highest ever EBITDA achieved in Q1 of any year. The EBITDA includes a subsidy income of Rs. 5.6 crore and adjusted for the same, the margins would be at 14.5%, showing a 189 basis points increase compared to last year. This EBITDA margin growth has been driven by cost optimization initiatives and

an increasing share of premium products in the portfolio. Going forward, we are confident of maintaining and bettering these margins.

Our profit after tax grew 56% to Rs. 40.1 crore, registering a PAT margin of 12.7%, that is a 430 basis points increase over last year Q1. With debt levels reducing significantly, we expect our finance costs to reduce further, enabling stronger profitability and cash flows going forward.

On the debt front, we reduced our gross debt by Rs. 22.3 crore and have now brought down our net debt to Rs. 42.6 crore. Furthermore, due to strong cash flows, we prepaid Rs. 20 crore of Kotak term loan in the quarter and as Mr. Dahanukar mentioned earlier, we will be looking at becoming net debt free during this financial year.

To summarize, whilst Q1 saw modest growth on account of external factors, we are very confident of maintaining our industry beating growth trajectory with resumption of a favourable operating environment and increasing focus on brand building and marketing. We expect strong volume growth and an even higher growth in profitability in the quarters to come.

With that, I would now like to open the call for Q&A.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Rishabh Gang from Sancheti Family Office. Please go ahead.

Rishabh Gang: I wanted to understand how the customer response been of the flavoured brandy, especially in the age group of 20 -30-35 yrs. and in tier-1 and tier-2 cities of the states you are present in. How do we think flavoured brandy is doing in terms of getting customers to try the brandy in the first place, like introducing them to the world of brandy?

Amit Dahanukar: Flavoured brandy or Flandy as we call it in the States where it has been launched, which is essentially it is present now in Andhra Pradesh, Telangana, Puducherry and Sikkim. We have approximately 10% of the sales coming of Mansion House Brandy, which is the mother brand, which in the first year of launch, is fairly respectable. In fact, we are quite satisfied with the results which we have got.

We have trials coming in from non-brandy drinkers as well. Basically the consumer draw is two-front.

One is Mansion House consumers also who are looking for a different experience, they try Flandy. And two is people who are used to having flavoured spirits, they are also trying out Flandy. Our draw is coming from not only brandy drinkers, but non-brandy drinkers as well.

Rishabh Gang: Also, which alcohol beverage does our flavoured brandy com

pete with among this customer segment?

How are we doing, let's say, flavoured vodka?

Amit Dahanukar: Usually we are priced along with the flavoured vodka. When we look at our market share or tactical analysis which we do, we look at flavoured vodka category as well. Flavoured spirits category, which is largely dominated by vodka.

Rishabh Gang: How has the customer response been, i.e. preference towards Flandy and maybe flavoured vodka, has there been any change in their preferences?

Ameya Deshpande: See, the thing is that the flavoured spirits industry as a whole is growing. From that perspective, it would be wrong to look at it in terms of how much of share would we be taking from flavoured vodka as such. If there is any insight that I could provide in terms of how Flandy is doing, normally Q1 for us is the worst quarter from a seasonality perspective. Having said that, in Q1, Flandy has done more volumes than it did even in Q4 of FY24. Even on a quarterly basis, you are seeing Flandy actually growing despite being the weakest quarter from a seasonality perspective. So, that kind of gives you some indication in terms of what the response has been and so on.

Abhinav Gupta: I think one way where the flavoured spirits also work is that we are also getting trials from women. Typically the flavoured spirit s have helped us break that image that brandy erstwhile used to be like male and maybe 45-year-old person having brandy. But this flavoured spirit helps us develop that young feeling among the people and also as I said, in terms of demographic, we see more and more women opting for our Flandy product.

Rishabh Gang: Just one last question. Have we done some customer survey about how are they finding this new beverage category and also what has been the feedback from outlets that are selling it?

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Ameya Deshpande: I'll take the second part first. Feedback from outlet, I think, needless to say, has been great. Frankly, unless your sales, your tertiary sales are not good, outlets are not going to pick up your product and the very fact that we are having a significant growth in tertiary sales as well, that in itself is an indicator of the progress that the brand is making over here.

Rishabh Gang: Have we done some customer survey about how are they finding this new flavoured category and on what parameters have we evaluated the survey?

Ameya Deshpande: As a part of our overall SOPs, from a team perspective, we do have members of the team who are regularly visiting the retail shops as well as the other outlets on-trade, where the product gets sold.

From that perspective, yes, we do have qualitative data as well in terms of how people are looking at this. And frankly, we are a pretty data-oriented company when it comes to that. Not only is it post launch, but we actually do surveys and trials even prior to launching a product to ensure that the product is what the consumer is asking for or wanting. From that perspective, I think we have it covered.

Rishabh Gang: Any interesting insights from the survey or from the data that you have?

Ameya Deshpande : I think data is the best way to look at this. And the very fact that it is doing 10% of the mother brand, which, by the way, is the largest selling brand y in India and the second largest in the world , is good enough feedback that we could have asked for.

Moderator: The next question is from Rahul Jain from HSBC. Please go ahead.

Rahul Jain: I just want to inquire about the distribution plans which we have. In my personal channel s which I have checked in, I reside in Delhi NCR area. I've seen that the product is not very easily available at all the outlets . It's hard to find. Are we having any plans to enhance our distribution channels in the northern parts of India?

Ameya Deshpande: Yes. The thing is that as you would have seen across all our publicly available documents, 85% of our volu

mes are actually driven by Southern India. Now, this, frankly, is a function of the kind of portfolio that we have as it stands. We are a brandy first company. And given the fact that brandy is predominantly consumed in Southern India, that is where our distribution strengths lie in the S outhern and Eastern part of India , along with a few pockets in the West. Having said that, yes, North is a region that is appealing.

But for that, we will need a fuller basket from a portfolio perspective. As we have mentioned earlier as well, while brandy is our mainstay and our focus for the next, let's say, 18 odd months, we are looking at other categories as well and are pretty much at a progress ed stage in terms of launching with some strategic launches . To begin with in our distribution strong states, obviously, but very soon to make it a Pan India play for us. Give us some time , we should be there in North India as well.

Moderator: The next question is from Shantanu Mantri from Think Investments. Please go ahead.

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Shantanu Mantri: Firstly, congratulations on a fantastic set of numbers. A couple of questions from my side. Now that these election issues are behind us, how have we seen volume ramp up in Q2?

Amit Dahanukar: Shantanu, now, as I mentioned earlier, I think the election period now is over in Q1. We are seeing good demand in Q2 and the guidance which we have given for the volume growth which will be in the double -digit volume growth that we are very confident we will be able to achieve. Of course, we are waiting for certain policy decisions as I mentioned in two of the southern states. Once they come, that will also set the direction since they are both important markets for us.

Shantanu Mantri: And from a policy point of view, obviously, we will have to wait for the actual policy. But from your understanding, because we're taking inputs from the top market participants, right? In which direction do you think this policy is going? And if you can give us some idea on the timeline, like will this be implemented from 1st of September? Where are we and in which direction is this heading?

Amit Dahanukar: What we have understood from reports is that in Andhra Pradesh, they expect to announce the excise policy to be effective from October 1. And in terms of direction in which it is headed, it is difficult to really predict. But what we can recollect is from the current CM's earlier regime, he was quite progressive. In fact, he encouraged participation from all players and was interested in growing the industry. It was more of a relationship where industry grew and government revenues also grew. We can expect something progressive which will be beneficial for the industry as a whole.

Shantanu Mantri: And one last question. There is a five and a half odd crore subsidy income. If you can throw some light on what that is.

Amit Dahanukar: This subsidy pertains to an earlier project which was classified as a mega project under the Package Scheme of Incentives 2007. That's the money flow which we have seen in this first quarter.

Shantanu Mantri: And if I see, you've done a fantastic job in terms of deleveraging and we're now almost, I think, at about Rs. 40 odd crore . High chances in the next quarter or in the coming two quarters, we'd be debt free. And you mentioned that we have a strong pipeline. If you can throw some colour, in which segments, is it vodka, brandy or which segments are we looking at? And probably at what price point, if you can give some colour on that.

Amit Dahanukar: Shantanu, you're right. I think the company has made tremendous strides towards its effort to be net debt free. This quarter also, as Amey a had mentioned, we made a Rs. 20 crore prepayment, which was in addition to almost a Rs. 50 crore prepayment, which we made in March quarter.

We are on track. In fact, our earlier commentary suggests that we would have been ne

t debt free by

March 2025. But I do expect given the current trajectory, it would be even sooner than that. What that will effectively do is that , the company will be generating a significant amount of cash, almost the EBITDA will largely translate into a free cash flow, which then we can prudently deploy into various strategic initiatives. Some of which could be new products, new categories.

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Ameya Deshpande: And just to take that forward, Shantanu, we are looking at the luxury side of the industry as well. Very soon you should be seeing a luxury product coming out of our stables , over the next couple of months itself. And obviously, given the positioning that we are looking at for that product, you will see a decent level of visibility in states or rather in the larger cities as well over there. And there will be some level of presence across on-trade and key accounts as well over there.

Moderator: The next question is from Deepak, who's an individual investor. Please go ahead.

Deepak: Just one question, what is the expected Flandy market size in the next one year? And some idea about

EBITDA margin expecting the Flandy especial ly.

Ameya Deshpande : It will be difficult to give an EBITDA margin for Flandy . Having said that, the Flandy contribution margins are extremely strong. Given the fact that it is on the premium end of the portfolio of the spectrum, our contribution margins are actually better in Flandy as compared to the weighted average for the company as a whole. From that perspective, as Flandy keeps growing, you will see significant amount of increase in margins as well.

Deepak: But what is the expected Flandy market size here in the next one year you are watching for?

Ameya Deshpande : Market size will be difficult to quantify. The thing is, who is a Flandy drinker? A Flandy drinker is one who wants to upgrade from an existing brandy brand. A Flandy drinker is one who also switches from a whisky at the same price point. A Flandy drinker is one who is also a flavoured spirit drinker. You have got three pies to pick from over here. Thereby, it kind of becomes difficult to quantify the market size for this. But obviously, given how the product or rather the brand is doing, we do see tremendous amount of potential for it to grow exponentially in the short term as well as long term.

Moderator: The next question is from Rahil Shah from Crown Capital.

Rahil Shah: You achieved 16% EBITDA margins in this quarter and you said that was due to cost optimization and some increase in share of premium products. Is this the new normal now for the rest of the year?

Ameya Deshpande : Yes. You should consider the new base, if you ask me, is 14.5%. Right. Adjusted for the subsidy, you're looking at an EBITDA margin of 14.5%. That will be your base. As your volumes keep increasing, right, as well as the policies that we mentioned, the impact of the policies comes through , obviously, you're looking at margins expanding further, not only on the back of increase in volumes, but other initiatives as well.

Rahil Shah: 14.5% plus we can expect ahead.

Ameya Deshpande : Yes. Like I mentioned, that's the base. You are looking at higher margins than that.

Rahil Shah: And when you say industry beating growth you are confident of resuming. You'd like to put any number to it for the year and ahead?

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Ameya Deshpande : Yes. Like we mentioned, mid -double -digit growth is what we are looking at. That is the guidance that we are providing.

Rahil Shah: Can you provide any guidance on the revenue front?

Ameya Deshpande : Yes. It becomes difficult to provide a very specific guidance on revenue. Having said that, what we've always maintained, revenue growth would be approximately 300 odd basis points above volume growth.

Moderator: The next question is from Nikita from MIV Investment . Please go ahead.

Nikita: I have two questions.

First is on the other expenses side. This quarter, I can see that on the other expenses, we had a good amount of saving. I wanted to ask if this is related to our marketing expenses or this quarter, we took a conscious call of not spending a lot because the volumes were supposed to get impacted. And my second question is regarding the tax credit. Can you give me the absolute amount of tax credit that we are yet to claim? And from which quarter we will start paying the taxes on our profits?

Abhinav Gupta : I think on the first question, yes, you rightly said that since we were expecting disruptions on account of elections, we have also sort of cut down on our advertising and promotion expenses in this quarter. That what we are seeing in the other expenses part. And regarding the second part on the tax, we had around Rs. 200 crore of tax credit available as at the beginning of the year. We are hopeful that this year we will not need to pay any tax and our tax incidence will start from next year.

Nikita: Next year from Q1 FY26?

Abhinav Gupta : Yes

Nikita: And so marketing expenses this quarter we decided to not to incur, but from next quarter will there be increase in that? And can you give me a percentage range that you have decided as a percent, I mean 6 -7% of sales? Do you have any benchmark for that?

Ameya Deshpande : Firstly, yes, our other marketing spends will increase to some extent. Having said that, the EBITDA still expands for the simple reason that our cost of goods sold per case has reduced significantly. We have seen significant amount of savings on raw materials as well as packing materials. Even if the other expenses do increase, your margins are still going to increase above that. Now with regards to a range for our A&SP spend, see given the fact that we are a predominantly brandy player, our A &SP spends are not as large as our peers. Our peers are in that mid-single to higher single digit kind of percentage of IMFL sales. In our case, it is more low single digits. Having said that, we see these as investments for brand building. Hence we are going to increase that, but our range let's say of 2-3 year perspective would be more in the range of 2.5 %-3% of sales.

Nikita: In this other expense, Q1 it was 35% of sales and this quarter it is 30%. The entire saving in other expenses is related to marketing expenses or there are some other criteria or aspects related to it?

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Ameya Deshpande : No, there are some other optimizations as well that have been done. Obviously it is not everything on the marketing side, but a good part of it is on marketing side. See your other expenses is a function of your state mix as well and hence that has reduced pretty significantly on a Y oY basis. However, when we look at it from a margin perspective, I think it is best to look at margins from a Q oQ perspective

because that is the base that you work on. Thereby the change from a Q oQ perspective is not that massive if you go to see.

Nikita: And one more question I want to ask. In terms of volumes, you have reported the overall volume growth, but can you give me a break -up of categorizing into a popular or P&A and above category? I mean how much did our premium portfolio grew this quarter?

Ameya Deshpande : See most of our portfolio is actually in the prestige and above segment . 85% plus of our volumes are actually driven by P&A. From that perspective, it was kind of a similar range in terms of growth for both.

Nikita: On an average, I can say that 85% of my portfolio is prestige and above category.

Ameya Deshpande: Yes

Nikita: And rest is popular. Can you start giving a break up of these two , because now we are seeing there is a huge difference , popular category is degrowing and P&A above category is growing a lot. Can we get an idea of the growth aspect ?

Ameya Deshpande : The thing is, see we don't give proper data p

oints around that. The only thing that we actually share is the fact that we are a predominantly P&A player . And that drives our entire growth to a great extent. Even our historical growth that you see whether it is 16% in FY24 or whether it is 40 % plus in FY23, they were all predominantly driven by P&A.

Nikita: This quarter our P&A volumes were also impacted. We are saying because of election quarte r.

Ameya Deshpande: Yes.

Nikita: And what is the volume growth that you are seeing for entire year and for the next 2 years?

Ameya Deshpande : Mid double digits as we have guided earlier on this call.

Moderator: As there are no further questions, I would now like to hand the conference back to the management team for any closing comments.

Amit Dahanukar: Thank you for your time and supporting us on our growth journey. I trust we have addressed your queries for today. We are available for further clarity and discussions at any time. Thank you.

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Disclaimer: This is a transcription and may contain some transcription errors. The document has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to maintain a high level of accuracy.

Call: Nov 2024

November 11, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex, Bandra (East),
Mumbai -400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of earnings conference call held for Q 2 FY25 results

Dear Sir/Madam,

With reference to our letter dated October 29, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Tuesday, November 05, 2024 to discuss the Q 2 FY25 results.

The same is available on the website of the Company at www.tilind.com.

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary & Compliance Officer

Encl: a/a

Page 1 of 17

Tilaknagar Industries Limited
Q2 FY25 Earnings Conference Call Transcript
November 05, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Tilaknagar Industries Limited's Earnings Conference Call.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you and over to you.

Siddharth Rangnekar: Thank you, Yashashree. Good morning, everyone and thank you for joining us on Tilaknagar Industries Limited Q2 FY25 Earnings Conference Call. We are joined today by Chairman and Managing Director, Mr. Amit Dahanukar; President, Strategy and Corporate Development, Ameya Deshpande and Chief Financial Officer of the Company, Mr. Abhinav Gupta.

We shall commence with views from Mr. Dahanukar on the strategic performance and Mr. Deshpande on the financial highlights, which shall be followed by an Interactive Question-and-Answer session. Before we begin, I would like to state that certain statements made on today's call could be forward-looking in nature and a disclaimer to this effect has been included in the results presentation that was shared with you earlier and which is also available on the stock exchange websites. I would now like to request Mr. Dahanukar to make his opening comments. Over to

you, Mr. Dahanukar.

Amit Dahanukar: Thank you and good morning to all.

At the outset, I am pleased to share that as of September 2024, we have turned net debt free well before our stated target of March 2025. We have come a long way from a peak debt of over Rs.1,100 crore as of March 2019 to today. All this would have not been possible without our focus around profitable growth and cash flow management. With a clear direction of gaining market share in a large IMFL category like brandy, we were able to grow faster than industry, having outperformed industry growth in FY23 and FY24.

While our growth momentum in the first half of FY25 has been relatively muted, it is still in line with overall industry growth. Given the high saliency of our business from Southern India, the industry-wide issues of higher consumer prices in Karnataka, elongated receivable cycles in Telangana and route to market transitioning in Andhra Pradesh, all had an impact on our growth trajectory. Despite all this, we have managed to expand our market share in the prestige and above segment in each of our key southern states. Q2 saw us continue to be the third largest P&A player across IMFL categories in large states like Karnataka and Telangana. We also continue to be the largest IMFL player in Puducherry.

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With Karnataka reducing excise duties, we have started seeing a good uptick in volumes in the state. I am happy to share that the month of September saw us clocking our highest ever primary and secondary volumes in the state, and even happier to share that October beat this mark comfortably as well.

We have now started receiving old dues from Telangana and expect the balance overdue amounts to be settled over the course of the next few months.

Most recently, the new RTM in Andhra Pradesh kicked in from mid-October. With retail now becoming private, the IMFL industry in the state is expected to become a consumer-driven market and will be highly beneficial for an already existing market leading player like TI, who has fast moving brands like Mansion House Brandy and Courrier Napoleon Brandy, which have a tremendous consumer franchise and brand equity in the market. The fact that AP has a significant brandy drinking population makes the opportunity even more appealing.

With these recent developments, we are now targeting mid-teen volume growth in H2 FY25.

On the portfolio front, Flandy continues to grow, providing brandy an exciting canvas to position itself as a drink for multiple occasions as well as varied consumer demographics. The P&A saliency within the CNB family portfolio continues to grow, coming in at 38% in Q2 vs. 32% in Q2 last year and 33% in Q1 FY25. Mansion House Brandy continues to drive brandy industry growth. We expect our price ladder strategy for brandy to drive positive results in times to come.

On our non-Brandy strategy, we recently launched Mansion House Whisky in Assam. The brand is positioned in the semi-premium segment, which is one of the fastest growing, profitable segments in the whisky category. We are looking at using our distribution strength in our existing whisky-large states over the months to come. Once we have a fair visibility on the progress made by the brand, we will look to further expand into regions where we are not yet present.

Our luxury foray is now only a few weeks away with our own luxury brandy to be launched in Q3 FY25. In addition, we have also recently entered into a Usership Agreement with Spaceman Spirits Lab, our investee company and the makers of Samsara Gin and Sitara Rum. Through the usership agreement, we will start selling both these brands in certain states in India and internationally. This will be followed by a few more launches soon.

Before I hand it over to Ameya, I would also like to elaborate on the easing of the cost pressures on the raw material and packing material side. While the last couple of years were tough for the industry, we saw our margins expand on the back of our premiumization drive. With inflationary pressures easing, especially on packing material side, and premiumization drive only gaining further pace, we expect to further expand our margins in the times to come.

I now hand over to Ameya to take you through our Q2 operational and financial performance and we will be happy to take any questions in the Q&A to follow.

Ameya Deshpande: Thank you, and a very warm welcome to all of you joining us today. I'll take you through our financial and operating highlights for Q2 FY25.

As mentioned by Mr. Dahanukar earlier, our volume and revenue growth for Q2 was slightly muted due to evolving policies in key states. However, we achieved

substantial margin expansion and remain optimistic about a mid -teen volume growth in the second half of this year.

For Q2 FY25 , our revenue growth stood at 5.8% YoY to Rs. 375 crore, with underlying volume growth at 3.1%. Revenue for the first half increased by 4.5% to Rs. 688 crore. The NSR per case was at Rs. 1,274 in the 2nd Quarter , while the 1st Quarter NSR stood at Rs. 1,264 per case. Q2 also saw us delivering our highest ever EBITDA; EBITDA for the quarter showed significant growth o

f 39% YoY to Rs. 66 crore on the back of superior brand mix and ongoing cost optimization efforts. EBITDA margins expanded by 422 basis points to 17.6% , and adjusted for the subsidy income, EBITDA stood at Rs. 56 crore at a margin of 15.3%, showing a 188-basis points margin expansion on adjusted EBITDA. For H1 FY25, EBITDA reached Rs. 116 crore with margins at 16.9% , marking an expansion of 385 basis points.

Similarly PAT increased by 82% to Rs. 58 crore, up from Rs. 32 crore in Q2 of last year. For the first half, PAT grows to Rs. 98 crore which saw a 70% increase from Rs. 58 crore in the same period last year.

While packing material costs have seen some level of softening, we continue to be cautious about ENA prices. We expect that there will be no meaningful inflationary impact on COGS in the near -term. We are optimistic about continued margin growth even as we sustain investments in advertising and sales promotion to enhance the visibility of our brandy portfolio.

On the debt front, I am particularly pleased to share that we have now turned net debt free as of September 2024, an achievement reached ahead of our targets. Through disciplined financial management, we have effectively reduced interest expenses and strengthened our balance sheet, establishing a solid foundation for sustainable growth.

On the strategic investment side, we have announced a follow -on investment in Spaceman Spirits Lab, the makers of Samsara Gin and Sitara Rum, which will see our shareholding go up to 20% on a fully diluted basis. We will be investing Rs. 13.15 crore in three tranches over a period of 18 months, with the first tranche of Rs. 4 crore invested in September 2024. The remaining two tranches are expected to be invested by mid FY26 and end FY26. As mentioned by Mr. Dahanukar earlier, we have also entered into a Usership Agreement with Spaceman , whereby we will start selling their brands in select regions in India and internationally. We expect to start this business in the second half of this financial year.

We also made an investment of Rs. 8 crore in the Round the Cocktails Private Limited, the makers of Bartisans, a 'ready to pour' premium cocktail mixer brand. Given the high brand recall for its products, premium price point, strong unit economics and our own vision to make brandy fun and exciting, we see Bartisans as a great avenue to play the cocktail culture emergence story in India's AlcoBev evolution. Post this investment we own 36.2% of RTC on a fully diluted basis. Before we open the line for Q&A, we would like to reiterate that profitable growth and cash flow management remain our focus, and we are highly confident in the future growth potential of the Indian AlcoBev sector, and we see us play a leading role in this growth.

With that, I would now request the moderator to open the call for Q&A.

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Moderator: We will now begin the question -and-answer session. We will take our first question from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: My first question is on Telangana. What is the status on improvement in collection? We have seen that many states are offering a lot of freebies to the rural and the lower end of population. Given that revenue and cost, clearly there's a mismatch. How do you see in H2 in terms of collections for the industry and for you? And any insight on pricing in Telangana in the next one year would you expect the pricing in that market?

Amit Dahanukar : We are at roughly 10 weeks overdue in Telangana, and in terms of pricing, I think they have set up a pricing committee to fix the price of beer. Once beer is done, then perhaps they will take up IMFL after that.

Abneesh Roy: And this 10 weeks at peak, it was how much, and historically what was the low for the collection?

Amit Dahanukar : Historically, around 8 to 9 weeks would have been low and I think it has gone up to 18 to 19 weeks.

Abneesh Roy: Second question is in terms of the Andhra market. In the interview just a few minutes back, you did say that initially there could be some hiccups which we understand. My question is not at all on the next two quarters. My question is when stability comes say in the next 18 months or 24 months, in the peak, how much was Andhra market? And I am sure there will be some leakages even in the last five years, Indian state borders are extremely porous. If 100 was the peak in the last five years, how much was your presence in that market, and in 24 months? Would you expect the peak to come back in the Andhra market?

Ameya Deshpande: Andhra, see, the industry, at least in the recent couple of quarters, has seen a bit of a degrowth on account of the RTM changes and the policy changes that were expected. Now, going forward, obviously, given how the past industry worked, the previous two governments prior, we did have a private retail model back then as well. Basis that and given the kind of what do you say, the other state kind of data that we have, we do expect the volumes to grow pretty significantly in the state going forward. As we mentioned earlier, given the fact that we are a leading player in the state already with a fast moving brand or a portfolio of brands in the state, we do expect to take a larger share of this pie of growth going forward.

Abneesh Roy: I wanted a more specific answer because the number one listed spirits company said that 4% - 5% of their India business used to come from Andhra, which became almost negligible. You are a south -focused player, and you did say that you already have some presence. In your case the Andhra business eventually how big will it be in terms of percentage of sales because you are anyways a south -focused player.

Amit Dahanukar : Currently it is 30% of sales and totally Andhra I think mid -teens growth would be reasonable to expect.

Abneesh Roy: But there is no negative impact you see, right, on Andhra because you already have a business there, is there some negative impact which can happen then bigger players will come?

Amit Dahanukar : I don't see a level there will be a negative impact and the reason for that is we are expecting the industry itself to grow. Currently, I think the industry is at 30 lakh

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cases per month, I think comfortably we can say that within the next 2-3 years it would be a 40 lakh s industry, with number of retails increasing and privatization, we are quite confident that retail industry itself would be around 40 lakh cases in the next 2-3 years.

Abneesh Roy: Last quick question is on demand side. Almost every consumption company is speaking on urban slowdown, QSR, FMCG, footwear, retail, everything. In your market, how do you see urban slowdown impact? You have given a guidance in the second half. Is optimism coming because of Andhra because the mid -teen growth is a very tall task and in first half you have grown in line with industry. If you could address all these points?

Amit Dahanukar : There are two or three drivers which we see for the second half. One is certainly it will be Andhra. Two, in Karnataka also as we mentioned in the opening remarks, we have gone through a pricing correction, the MRPs have gone down which has resulted in the sales improving first in the month of September and further improving in the month of October. We should have some benefit coming in from Karnataka as well, and plus being primarily driven by brandy sales, about 85 %-90% of our portfolio being brandy, we do see seasonality kick in slightly more significantly for us also in the second half.

Ameya Deshpande : Just to add to that, Abneesh, while we have grown at the same pace as the overall industry or better from a P&A perspective, one point that I just want to bring out was that if you adjust this for the impact of Andhra slowdown, right, then we

have grown

at 9% in the first half of this year.

Moderator: Next question is from the line of Rishabh Gang from Sachetti Family Office. Please go ahead.

Rishabh Gang: I wanted to know some insights on the strategic initiatives and 1-2 years target of your investee companies, right, where you have a meaningful stakes at a 20% or more like in Samsara, Bartisans and Incredible Spirits. Can you throw some light on that, sir?

Ameya Deshpande : I'll take the strategic investments first. When we look at Samsara, right, Samsara as of today is a Rs. 20 crore net revenue business as of FY24 . We see this business growing exponentially or significantly, because as of now, they are present in only a few states, their key states being Haryana, Goa, Maharashtra and Karnataka. As we grow in further states on the back of TI's distribution strength, which would be

in the southern markets of Telangana, Pondicherry as well as AP , as well as East and Northeast, and add to that the fact that we will double down on international business as well as the canteen stores department business, we do see a significant growth coming in over here. While it would be difficult to quantify this growth, safe to assume that we would be growing double at least for coming year and going forward at the same rate maybe.

Rishabh Gang: And for Bartisans and Incredible Spirits?

Ameya Deshpande: Bartisans, we have just made the investment. They have done a revenue of around Rs. 3.5 crore for FY24 . And again, it's the same thing that over there the distribution channel was significantly D2C for them, right, for FY24 , more than 80% of all their business was driven by their own website. Now, with the emergence of quick commerce as well as your dark kitchen concepts which get serviced through Swiggy and Zomato, with these distribution channels coming in, we do see business

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growing exponentially over there. Again, not in a position to quantify in those terms, but you will see significant growth coming from that spectrum as well.

Rishabh Gang: On Bartisans engagement in the business of selling non -alcoholic beverages, right, wish to understand what is the difference between the marketing rules for these products versus our standard alcoholic beverages? If you can just tell what is the industry think about it, what are the rules and regulations for the same?

Ameya Deshpande: I think the kind of marketing that can be done for a brand like Bartisans frankly it's a white space . You can do just about anything from that perspective. And if you follow Bartisans, they are a very digital -first company, they have a great presence on social media as we speak . Instagram, Facebook and all are big for them. And given the fact that now they are also getting distribution reach through their own channels , and also through Natures Basket and LeMarche of the likes, as well as the online digital platforms, there is a lot of visibility play for a player like Bartisans. In comparison, obviously, as an AlcoBev player, there are certain restrictions on us, from a marketing perspective. Frankly if you look at it, it's chalk -and-cheese from a marketing perspective. Having said that, there are multiple collaboration opportunities that exist over here between Bartisans and TI. As I mentioned earlier, we have been talking about our vision to make brandy more fun, more exciting and that is where Bartisans comes into play, whereby there will be collaborations whereby we come out with co -created mixers for brandy as well as for our own brands as such.

Rishabh Gang: Since we have such a meaningful stake in Bartisans, sometime down the line would they be saying themselves from the house of Tilaknagar or from the house of Mansion House something like this?

Ameya Deshpande: Obviously, see, I can speak for now, right, but I can also give you a thought process behind our investment right of 36.2%. We've always been

looking at having a significant minority stake to begin with in our inorganic investments because at the end of the day , we want the founders to run with their vision for their brands and their companies. But having said that, this is not going to stop, at the end of the day, if things do work out well and they go in the direction that we expect them to go, then, obviously this will become at some point I am hopeful that this will become a part of overall TI family.

Rishabh Gang: Also on the Incredible Spirits , because I have not read anything about in the annual report also much about that, so any update on that?

Ameya Deshpande: In fact, on Incredible Spirits, given the fact that it was a fairly small investment of Rs. 1 crore, we have taken a call to exit our investment in October and we have exited Incredible Spirits at cost.

Rishabh Gang: Also for each of the investments, can you elaborate on how we are benefiting from the synergy and investing a piece, like you mentioned about the usership agreement? How are we monetizing our distribution reach, like if you can just tell about how it happens at the industry level, how the monetization happens, maybe if you don't want to tell specifics? Also Samsara, as I heard, they also have access to Northern India markets. You mentioned Haryana and all. How are we leveraging their distribution reach for selling maybe some of our high -end Mansion House Chambers or sometime down the line luxury brandy, because these are the markets which we don't access right now?

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Ameya Deshpande: I will first take the first part of your question. Right now, what is the usership agreement mean or what is that arrangement? It essentially means that we will sell

their products under TI name, manufacture it in our own facilities and sell it under our name and pay them a royalty for the sales that we make. This royalty would be on a per case basis. I am going to give you a very principle overview of this entire transaction. Basically we will be paying a royalty per case to them for the sales that we make. Every revenue made and expense that we incur for this particular sale in the states that are covered under the usership agreement will form a part of Tilaknagar Industries' financials. It will also be manufactured by Tilaknagar Industries to that extent. So, that is the way this will work in a royalty kind of a model. Thereby the entire profitability of that brand and remember that Samsara is may be the only Indian craft business which is profitable in India. When I say an Indian craft, I mean an independent Indian craft business which is profitable in India. We do see tremendous amount of value that gets generated over here.

On your second part of the question which is the northern territories, obviously see AlcoBev today is significantly, distribution-driven business. It helps to have a portfolio of brands when we go to newer states to sell. From that perspective the moment Samsara goes along with, let's say, the luxury brandy that Tilaknagar Industries will start selling on its own, it kind of lends that much more credibility as well as opportunity or potential from a portfolio of craft brands in these new states. Rishabh Gang: Because I think you are doing such an innovation in brandy space, there's a lot to capitalize even in the northern states where we are not very much present right now. Also, I saw that we have launched Mansion House whisky in Assam similar to our launch of Blue Lagoon in North East India. Can you throw some light about our strategic emphasis on northeastern market for newer launches in non-brandy category, like why do we select Northeast only? And any difference in this region in terms of the competitive intensity versus other regions, if you can just throw some light on that?

Amit Dahanukar: Northeast we chose, because Assam is a market which has historically been known to be

fairly receptive to new product introductions in terms of trade and also the retail shops and also consumers. That is one of the reasons why we chose Assam as the first point-of-entry for whisky and we will wait and watch. Of course, the Blue Lagoon Gin, that's small because the gin is not even 1% of the industry, it's mainly whisky industry, which is 90%. So, that is our initial foray and we will be quite guarded about our expansion now seeing the developments of Mansion House Whisky over the next six months, you can look at taking it to the sister states as well.

Ameya Deshpande: And just adding to that, right, the reason for East and northeast is also because we do have a pretty strong presence in at least a couple of states over here. We are one of the largest players in the state of Sikkim, we are also a pretty large player in the state of Odisha, we have an almost 2% share of the entire IMFL industry in a market which is more than 80% whisky and rum strong or rather more than 95% whisky and rum strong. From that perspective, we do have a pretty significant distribution reach and a decent market share from a prestige and above industry perspective as well.

Amit Dahanukar: And another reason for Assam is upfront investments in terms of company, in terms of working capital also, they're on lower side. If you were to look at markets such as Karnataka, they would be very high in terms of investment and duties, etc.,

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Telangana would be elongated payment cycle. Not that favorable which is why we chose Assam as the first state to introduce whisky.

Rishabh Gang: And for the states in which we have launched Flandy, you tell it on the base of Mansion House Brandy sales, right. What is the percentage of Flandy volumes, if you can just tell a bit about that, because last time it was 10%, so interested to know that?

Ameya Deshpande: We've kind of maintained the same saliency for this quarter. It is around 7% of overall Mansion House saliency that we have in the relevant states.

Rishabh Gang: And the relevant states being, which are these states?

Ameya Deshpande: They would be Telangana, Andhra Pradesh, Pondicherry and Sikkim.

Rishabh Gang: And you were saying something else too?

Ameya Deshpande: I was just adding that we also launched the Green Apple flavor within the Flandy portfolio and that has been seeing some interesting offtake as well in the states of Telangana and AP.

Rishabh Gang: And can Flandy be a millionaire brand by year end, right, if you can just tell about what has been the volume for H1 if possible to share?

Ameya Deshpande: That is the level of data that we don't actually provide. However, will it be a

millionaire brand this year? No, it will not be a millionaire brand this year. But having said that, given the size of the flavored industry, it has taken a significant share and also we see tremendous potential in the space. Flavored spirits are one of the fastest growing spirits category in IMFL today. We do see a significant opportunity over here. Flandy is also our way of changing the way people see brandy as a category. We are very much focused on this brand going forward and hopefully we will be a millionaire brand fairly soon.

Moderator: We will take the next question from the line of Harsh Sheth from Dam Capital. Please go ahead.

Harsh Sheth A couple of questions mostly is on ENA front. What is your outlook on the ENA prices? And secondly, if you could share some update on Shrirampur Distillery? We were contemplating some bit of CAPEX here once we become net debt free. So, anything on that? And just adding to that, recently listed IMFL player acquired a distillery in Maharashtra as basically we see a case for backward integration given the spreads or say in-house versus external procurement of ENA besides wanting to secure ENA supply. Now that we are debt-free, would we be considering backward integration

or we would continue to be asset light?

Amit Dahanukar : Currently we don't have any meaningful update to share on the grain distillery front and going forward, if there is any significant update, then we will keep everyone informed, but as of now, it is status quo.

Ameya Deshpande : On the ENA front, we've seen for the quarter ENA prices for us reducing by another rupee per litre. Whilst in the previous quarter in Q1 the average price was around Rs. 70 a litre, right now we are looking at around Rs. 69.

Harsh Sheth And do we expect this to sustain to be stable in near term with new grain coming in?

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Ameya Deshpande: Difficult to predict the ENA prices to be very frank, but at our end we are fairly confident that we shouldn't see too much of volatility in the prices in ENA.

Harsh Sheth If you could, you know share your guidance on what's our CAPEX are we looking for say in the next couple of years and what aspect?

Ameya Deshpande: The guidance remains the same. Our maintenance CAPEX could remain anywhere in the range of Rs. 15 to Rs. 20 odd crore on a yearly basis. That's the maintenance CAPEX. And as and when we do take a call on the distillery, we will let you all know, but that will be an investment of around Rs. 45 crore.

Harsh Sheth Roughly we will we are at 150 KLPD and we might be adding another 100 -odd KLPD, is that correct?

Ameya Deshpande: No, we will be recommissioning the 100 KLPD plant.

Moderator: We will take our next question from the line of Darshika Khemka from AV FINCORP. Please go ahead.

Darshika Khemka I have a couple of questions. Firstly, what was the due or overdue that we had from Telangana and how much of that have we received?

Abhinav Gupta : Telangana, as Sir said at certain point of time the overdue increase was more than 18, 19 weeks and currently also the overdue position would be around 10 weeks as compared to the normal cycle of receiving the money in about 45 -days. Yes, situation has improved significantly. But still I think, is business as normal? No, it is not business as normal.

Darshika Khemka And do we expect to receive this amount in the coming quarter itself or would this push to Q4?

Abhinav Gupta : It would be difficult to say. As I said, it's not a normal business cycle as of now. But yes, I think within next 3-4 months, we should be hoping to get it regularized.

Amit Dahanukar : Add that the government seems to be proactive in terms of reducing dues of industry suppliers, the government is taking steps in that direction.

Darshika Khemka Also, by when do we expect our tax incidence to come back? I think in con call you had mentioned that it will start from FY25. I don't see that happening. Do we expect taxes to start coming in from the FY26?

Abhinav Gupta : You can expect it from 1st Quarter of next financial year.

Moderator: We will take our next question from the line of Sunny Gosar from MK Ventures. Please go ahead.

Sunny Gosar: I have a couple of questions. First is on the Mansion House Whisky. Basically, what is the price point for this, and basically what is the peer set or the competition set against which this product is cross line to? And what is the category size of this price point in the relevant eastern and southern states?

Ameya Deshpande: Sunny, as I was saying the Mansion House Whisky has been launched in the semi-premium segment, comparable brands would be Royal Stag, Royal Challenge.

These would be our comparable brands. Specifically for Assam, this would be priced at around Rs. 560 for 750 ML bottle . And in terms of our initial target markets, there are four states that we are looking at initially , these are major whiskey

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consuming markets where we have distributions, volumes would be in the range of 13-15 million cases.

Sunny Gosar: One related question I have on this is that the category that you have entered has some strong i

ncumbents. What is our differentiation or basically the marketing pitch basically which will help us gain market share here? And have there been new brands which have come in this category and created some sizable volume which gives us the confidence that we will be able to replicate similar success?

Ameya Deshpande: See in this price segment, if you actually go to see, while I put the names of Royal Stag and Royal Challenge, which are backed by two of the largest players in the space, there are also multiple other brands which have actually gained millionaire status. These include the likes of Royal Green , you also have All Seasons , White and Blue, and a lot of other players who are doing really well and millionaire brands in their own. From that perspective, while obviously there are large incumbents in this space, we do see good amount of opportunity in this segment for the simple reason that there is sheer enormity of that segment, this is a supremely large segment. So a tiny little share that you actually gain in this market will be incrementally positive for someone like us.

Sunny Gosar: My next question is on the capital allocation. Company has become net debt free, and assuming some of the overdues from Telangana comeback in H2, our cash position with the internal accruals should strengthen further by March 2025 and you will be left with substantial amount of cash pool. Have we thought about what our capital allocation policy will be in terms of shareholder payout or any inorganic opportunities or any substantial brand launches which will need some kind of initial investment, how should we think about that?

Amit Dahanukar : Goal right now I think is by March 2025 we want to have significant reserves in terms of cash reserves to strengthen the balance sheet and we will be alive to inorganic opportunities which may come our way, we will evaluate them and take calls, plus we will have sufficient ability to invest behind our existing brands and look for opportunities in other categories and geographies as well.

Sunny Gosar: And any thoughts on like a dividend distribution policy or anything?

Ameya Deshpande: We have just about started our dividend distributions , over the past couple of years now, it's been three years that we've been distributing dividends, in the recent past. Obviously this is evolving , and we will look at it more closely going forward. Now, given the fact that we are net debt free now, but for the moment nothing much to add on that. We will let you all know as and when we do decide .

Moderator: We will take our next question from the line of Pawandeep Singh Bhatia from NV Alpha. Please go ahead.

Pawandeep Singh : I didn't understand the model that we are going to share with Samsara going forward. If you could explain me this user ship agreement? We have a long-term vision to get Samsara in our TIL family. What is this distribution model and the royalty? Can you just explain it again?

Ameya Deshpande: Yes, so let me just explain it again. Essentially what this means is that we will start selling under the usership agreement for specific states and regions, we will start selling Samsara and Sitara brands under Tilaknagar Industries name, which essentially means that we will manufacture the product in our units. We will sell the products under our name, which would essentially mean that all revenue and costs

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come into TIL books . And for that, we pay a royalty fee to Spaceman Spirits Lab on a per case basis.

Pawandeep Singh : When you said TIL name, isn't like, the name would be from Samsara only, right ?

Amit Dahanukar: Yes, yes, yes, what I mean to say is that it will come under our books for those particular states. It will still be sold under Samsara. It would just be manufactured for those particular states by Tilaknagar Industries.

Pawandeep Singh : Then what is the royalty understanding, Sir?

Ameya Deshpande:

That's not something that we disclose publicly.

Pawandeep Singh : And sir, what is our revenue expectations and our vision for 3-4 years out with whiskey and gin coming, our dependency is 85% on brandy . Going forward, what

is our vision as a company that we want this number coming from non -brandy?

Ameya Deshpande: As it stands, brandy is actually more than 90% of our volumes . I think there's something that we mentioned earlier as well, our vision 2030 would be more like an 80:20 saliency whereby 80% of our business is still driven by brandy, but non - brandy kind of expands to 20% from the current 6%.

Pawandeep Singh : If we have invested in Samsara with a Rs. 20 crore revenue, under our distribution and like our vast brandy distribution, where do we think we can take this number if the company where we have invested in only is making a revenue of Rs. 20 crore?

My question is can we like see a meaningful number coming from gin especially from Samsara and other players in our consolidated revenues?

Ameya Deshpande: Yes, obviously we see significant upside over here, right and potential over here.

As I mentioned earlier as well, the Rs. 20 crore that we're looking at from a net revenue perspective is business which has been built in predominantly four states and that too at least one state has come into the pipeline in the mid of FY24 . We do see a great amount of opportunity over there. In terms of quantification, we won't get into that, but it is a significantly large opportunity even from an institutional business perspective for Samsara.

Pawandeep Singh : In tracking this space since a while, what was our understanding I might have missed this point in launching whisky in a state like Assam, because normally people would start with a more populated state when they want to penetrate into whisky, what was the thought process, because the product looks very good with the NSRs and everything that we are talking about?

Ameya Deshpande: Like we mentioned earlier as well, Assam is a fairly launch -friendly state when it comes to it. Many of the brands that you see especially on the whisky front get launched in Assam first. That's on account of also because the working capital requirements are lesser in the state and given the fact that the semi -premium whiskey segment is fairly large in the state, it is 2,00,000 cases per month. It's a pretty large segment. So, it's not a bad place to start off with. And at least in our case , because we already have a presence in Assam, it was kind of the right thing to do in our minds.

Moderator: We will take our next question from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

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Shirish Pardeshi: My question is specifically when I look at first half we have done about 5.5 million cases and I was just more interested in what is the brand y if you strip out 5.5 Million cases in first half?

Ameya Deshpande: Brandy itself would be more than 90% of this.

Shirish Pardeshi: I was more curious if our NSR is about Rs. 1,274 . What would be the NSR difference for the Mansion House Chambers and Green?

Ameya Deshpande: Mansion House Chambers would have an NSR, which would be at least around 35% more than Mansion House average and that would be kind of similar for Flandy as well, Flandy would be around 25% -odd more than Mansion House.

Shirish Pardeshi: These numbers what you have put in is the NSR number?

Ameya Deshpande: Which number?

Shirish Pardeshi: In the presentation .

Ameya Deshpande: Yes, that's the NSR number Rs. 1,274 per case is the NSR.

Shirish Pardeshi: Where do we manufacture Chambers and Green?

Ameya Deshpande: Chambers is manufactured in Maharashtra at Shirampur unit, and Flandy is bottled at multiple states wherever we are present.

Shirish Pardeshi: You mentioned that about 30 lakh cases is the AP market, is that correct?

Amit Dahanukar : That is the current v

olume, yes.

Shirish Pardeshi: Would you be able to break, how much is brandy and the whisky portfolio?

Amit Dahanukar : Brandy would be roughly 35%.

Shirish Pardeshi: And who are the brands which are existing, I mean obviously there will be local which will be competing?

Amit Dahanukar : There are a number of brands, primarily most of them are local.

Shirish Pardeshi: In the first step when you expect what kind of distribution leg up you expect to settle down in next two to three quarters .

Ameya Deshpande: I didn't understand that question. Could you repeat that?

Shirish Pardeshi: I am asking in Andhra Pradesh, what is the first leg up we would expect to touch up on, how many outlets or number of distribution points we would expect within next 2-3 quarters?

Ameya Deshpande : We already have 100% WOD in Andhra and even with the incremental new shops which have come in, we have 100% WOD.

Moderator: We will take our next question from the line of Hiten Boricha from Sequent Investments. Please go ahead.

Hiten Boricha Sir, I have a couple of questions. The first one is you mentioned we have received some incentives in Q2. If you can please quantify the number and what are we expecting in H2?

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Amit Dahanukar : This amount relates to industrial promotion subsidy provided by the Government of Maharashtra under package scheme of incentives.

Hiten Boricha Sir, if you can quantify the amount?

Amit Dahanukar : In 1st Quarter , we received Rs. 5.56 crore and we received a further Rs. 10.36 crore in Q2.

Hiten Boricha Similar amount is expected in H2 as well?

Amit Dahanukar : We are unable to quantify that at the moment.

Hiten Boricha I have one more question on Telangana, sir. So, out of total receivable, can you quantify what is the money stuck in Telangana, what are we expecting?

Ameya Deshpande : The total receivables in the state would be around Rs. 130 crore and around Rs. 80 crore of this would be overdue.

Moderator: We will take our next question from the line of Karan Rathore from Kotak Bank . Please go ahead.

Karan Rathore : My question is that the auditors have qualified opinion based on non -impairment of the ENA plant. What is the value of the ENA plant as on date and what is the impact of it going forward?

Abhinav Gupta : I think as we have been discussing in the call, that there is one grain distillery which we intend to start at some point in time. Obviously, evaluation of various options is underway and this is basically the recommissioning of the existing grain distillery plant of 100 KLPD. That is why the auditor has qualified. That once the management takes the call, then obviously it will get recommissioned and perhaps there will be no question of any impairment. But till the time we take that call, the CAPEX is done and the distillery started, the qualification will come.

Karan Rathore : What will be the cost to recommission this plant?

Abhinav Gupta : This cost we are expecting to be around Rs. 45 crore. This will be at a significant discount to what if we were to set up a new Greenfield distillery and that would make its payback much better as compared to anybody wanting to set up a Greenfield plant today.

Karan Rathore : And what would be the value of this plant as on date if you could help me with that?

Abhinav Gupta : Currently, if a similar distillery were to be set up, it would be upwards of Rs. 100 crore - Rs. 120 crore. And since we would just have to recommission and basically replace some of the worn out parts, we are expecting that it would take us around Rs. 45 to Rs. 50 crore to recommission.

Moderator: We will take our next question from the line of Prateek Poddar from Bandhan AMC. Please go ahead.

Prateek Poddar: I have three questions. One is, could you just help me understand what kind of market share gains will happen in Andhra Pradesh after the relaxation of policy? Second is how should we think about NSR increase from a 2-3 year perspective?

Last question was, if you could just help me understand the gross profit improvement which has happened, how much is due to premiumization and how much is due to cost reductions, I mean lower input costs?

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Amit Dahanukar : On market share gain, we are currently around 10%. We would look at improving from here on an expanded industry base, I think so that would be my reaction to that question, that industry will increase and we will try and improve our market share.

Ameya Deshpande: On the gross margin, Prateek, we saw a 200 -odd basis points increase in gross margin. This is net adjusted for subsidy. This was predominantly on account of reduction in ENA prices and the bottle cost reductions that we've seen as well as other cost optimization initiative. Little over here with regards to the premiumization drive itself, right, in this quarter, but more to do with the cost optimizations. The NSR has kind of remained the same, thereby premiumization drive has not really impacted the gross margins in this quarter.

Prateek Poddar: How should I think about NSR, let's say from a 2 -3 year perspective, because I heard if I am not wrong you did talk about getting into luxury, right in a couple of weeks?

Ameya Deshpande: Yes. The thing is that when we provide guidance on NSR, we provide that guidance

more from a steady state business perspective . Existing business if we go to see I think we should be able to see NSR if volume growth is a mid-double -digit kind of range then the net revenue growth would be a couple of hundred points over and above that, but this guidance is from steady state business perspective.

Moderator: I am sorry to interrupt, sir. We lost your voice in the middle. Can you just repeat the last sentence, please?

Ameya Deshpande: Yes, I was saying that if we look at our revenue guidance, right, our revenue guidance would be a couple of 100 basis points more than our volume guidance, but this is based on our existing business perspective. From a luxury portfolio and all, obviously, that will have an incremental benefit to NSRs, but that is something that we are not guiding towards as of now.

Moderator: We will take our next question from the line of Rishabh Gang from Sachetti Family Office. Please go ahead.

Rishabh Gang: Sir, in the past, you have mentioned that the state mix impact the trajectory of our EBITDA margin. Can you please help us understand with some granular insights, right, on how the state mix actually impact the EBITDA margin? Also some light on the retail going private in Andhra Pradesh and its impact, right, how does it work, some insights on that?

Ameya Deshpande: I'll take the first question with regards to how the margins differ from state -to-state. This to be very frank is a function of two things. One is the NSR in that state itself.

I'll give you an example. A state like Kerala is at least from our perspective is among the lowest NSRs for us in the portfolio. The more the volume of Kerala grows in terms of saliency of our portfolio, it has an impact on our EBITDA margins because, see, at the end of the day, your COGS especially on the raw material side are near about the same, irrespective of which state you sell it in because the ENA, the concentrate, the grape spirit and all remains the same from that perspective. What does matter in this case is obviously the kind of schemes that you end up giving and the other selling and distribution costs, which also have an impact on EBITDA, but getting into granular details of the numbers for each of the states that we don't do. But just to give you a sense, our most profitable states are the states of Karnataka, Andhra Pradesh, Pondicherry, Telangana, these are extremely

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profitable states for us on a margin basis, while a state like Kerala not only for us but for the overall industry its

elf would be relatively lesser profitable on a margin basis.

Rishabh Gang: The retail going private in Andhra Pradesh?

Ameya Deshpande: See, with retail going private in Andhra, what we mentioned even in our opening remarks, it kind of makes the market into a 100% consumer -driven market. What will sell is essentially what the consumer demands to a great extent in that state. So, that is the way the market will change. Now, why does this benefit us at TI is because we have a tremendously strong brand franchise, right, and brand equity in the form of MHB and CNB. We are at a premium price point in the state, which is predominantly consumer -driven. From that perspective, we have tremendous confidence in what lies ahead in the state. Obviously, the underlying industry itself is expected to increase, and we will take a higher share of that.

Amit Dahanukar : Some light on why the industry to increase would be one, I think the government has made an announcement that 10% shops will be increasing , that could be one factor. And two, when a shop is private, they have paid heavy amount in terms of license fees, so they want to make sure that there is no stock -out in the shops, they keep all the brands, they keep them stocked, they make sure that the customers are fully serviced, which might not necessarily happen in government shops, sometimes we have seen our own products being stocked-out, some key sizes may not be available. With privatization we do expect that there will be overall improvement in terms of servicing the market, which will in turn help it to grow.

Rishabh Gang: Also, you mentioned about transitioning of RTM, right, in Andhra Pradesh. Does it mean destocking, how does it result into volume slowdown like some insight on that?

Amit Dahanukar : Because they are transitioning between two policies. From the shop is being government retail to private retail in terms of the handover, the stocks at the depot what happens of that stock which was earlier lying in the government retail, that has to be called back to the depot. Procedurally there are number of issues, new licenses have come up now, where they will set up the shop, they have to get premises, they have to make it operational, etc., These challenges are there which are very common, but of course they're only in the very near short term.

Rishabh Gang: Also, what is the current status of entering into Tamil Nadu? And apart from the states that we are presently in, what are the other states which have decent brandy volumes across the country?

Amit Dahanukar: Other than the states where we are present, no other state comes to mind with any decent brandy volumes brand. Brandy is a very small component in North and West geography. Tamil Nadu, currently, we have Mansion House Reserve which is selling. We have the Courrier Napoleon Green which has just got pricing approval which we will introduce shortly and for a flagship brand Mansion House we expect within the next maybe two months or so.

Moderator: We will take our next question from the line of Shivam Garg from Pariksha Mart. Please go ahead.

Shivam Garg: I want to ask about the Flandy market. What is the current total addressable market size of flavored beverages and where does you see Flandy stands there and what do you expect it from two years down the line?

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Ameya Deshpande: The flavored spirits industry in the prestige and above segment, essentially be in the high single digit million cases. That is the size that we would see mid to high single digit million cases. Obviously, Flandy as of today is a very small portion of this. A great part of your flavored industry is taken by vodka today. But obviously we do expect given the way we are positioning Flandy within the portfolio as a drink for a newer demographic, we do see good amount of headwind and market share gains that we could make from Flandy within the o

verall flavored spirits.

Shivam Garg: Can you describe which two categories will top after brandy in terms of volumes and NSR and what percentage of margin we can expect from these two categories?

Ameya Deshpande: Like we mentioned, we are looking at certain non -brandy categories, but at the end of the day, brandy will still drive our growth to a great extent. We've entered into whisky with the semi -premium whisky brand. There will be more such launches and innovations that come out of our stables. But for the moment we surely can't get into margins of what they can derive. What I can guide towards is going forward, what the margins, so our guidance kind of remains the same, over the next 2-3 years you should be looking at EBITDA margins of somewhere around 16% -odd on an ongoing basis.

Shivam Garg: What will you give the volume guidance regarding these categories?

Ameya Deshpande: Our overall volume guidance is anywhere between 12% to 15% on a steady state basis.

Shivam Garg: Sir, can you tell me about what kind of product mix we can see till the end of the financial year 2025?

Ameya Deshpande: It will be somewhat similar to what you see today. Brandy will still be 90% -plus of our overall volumes.

Moderator: We will take our next question from the line of Shantanu Mantri from Think Investments. Please go ahead.

Shantanu Mantri: Just a couple of questions I want to understand. Brandy in the overall industry is huge, almost 20 %-22% of the overall IMFL industry. Now in that, Tamil Nadu is a huge market, almost if I am not wrong 50% and I don't think we have any significant volumes coming in from Tamil Nadu. If we were supposed to grow at 15% for the next 3 -4 years, by FY28 -FY29, we can hit the 20 million case mark in brandy. I want to understand that how will the Tamil Nadu market play a role in this journey, the next 3-4 years? And what is the mix right now there in terms of P&A and the regular segment in brandy? And what has been stopping us from entering this Tamil Nadu market, what are the dynamics there?

Ameya Deshpande: As you rightly mentioned, we have a relatively small presence in Tamil Nadu. But having said that within the brands that we operate in, we have been consistently increasing our market share. Our premium brandy offering of Mansion House Reserve has been seeing market share gains on a continuous basis. If in Q1 of FY24 we were a 5.5% share of that segment, which is more than 2 million cases strong for the year, today we are at 8.1%. We have significantly increased our share in the state. Having said that, obviously, there is a humongous opportunity in the state, not in a position to quantify or to give too many details as to what could happen, we don't provide guidance on Tamil Nadu as a state in isolation. But yes, to answer your question, it is a humongous opportunity that we see. The guidance that we do provide though of 12% - 15% frankly does not consider a significant

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incremental share from Tamil Nadu. That is over and above that in terms of

opportunity.

Shantanu Mantri: Sir, you mentioned about new pipelines and new products, the luxury product in the brandy segment. Apart from that, are there any other products in the pipeline apart from luxury brandy and the whisky that we've already done, any other thing that can come up in the next six months to one year?

Amit Dahanukar : We would have one more launch in the luxury category in the next six months. One would happen in November and one would happen in the next six months.

Moderator: Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Mr. Amit Dahanukar for closing comments. Over to you, sir.

Amit Dahanukar: Thank you, everyone for being a part of today's call and showing your interest in TI's story. I would like to underline that with an attractive portfolio and pipeline i

n

P&A we are in a unique place to align strongly with the pulse of the industry. There is a clear vision for growth that will leverage into our brandy leadership while benefiting from innovative introduction in adjacencies and other AlcoBev categories. This includes scaling up initiatives on the organic side as well as through salient partnerships such as the one with Spaceman Spirits and Round the Cocktails. Our commitment to premiumization has laid a strong foundation for continued success and we are geared to drive that forward, backed by a healthy cash flow and balance sheet position. Thank you very much for your time and for supporting us on our growth journey. I trust we have addressed your queries for today . We are available for further clarity and discussions at any time at the coordinates mentioned in the presentation. Thank you.

Disclaimer: This is a transcription and may contain some transcription errors. The document has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to maintain a high level of accuracy.

Call: Feb 2025

February 1 1, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex, Bandra (East),
Mumbai -400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call held for Q3 FY25 results

Dear Sir/Madam,

With reference to our letter dated January 31, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Wednesday, February 05, 2025 to discuss the Q3 FY25 results.

The same is available on the website of the Company at www.tilind.com .

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary & Compliance Officer

Encl: a/a

Page 1 of 14

Tilak nagar Industries Limited
Q3 FY25 Earnings Conference Call
February 05 , 202 5

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Tilak nagar Industries Limited's Earnings Conference Call.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you. And over to you, sir.

Siddharth Rangnekar: Thank you. Good morning, everyone, and thank you for joining us on Tilaknagar Industries Limited's Q 3 FY25 Earnings Conference Call . We are joined today by Chairman and Managing Director, Mr. Amit Dahanukar , President , Strategy and Corporate Development, Ameya Deshpande , and Chief Financial Officer of the Company, Mr. Abhinav Gupta.

We shall commence with views from Mr. Dahanukar on the strategic performance and Mr. Deshpande on the financial highlights, which shall be followed by an Interactive Question -and-Answer session. Before we commence , I would like to state that certain statements made on today's call could be forward-looking in nature and a disclaimer to this effect has been

included in the results presentation that was shared with you earlier and which is also available on the stock exchange websites .

I would now like to request Mr. Dahanukar to make his opening remarks. Over to you.

Amit Dahanukar: I am pleased to share that Q3 FY2025 has been another period of strategic progress and consistency in earnings growth for Tilaknagar Industries .

The volume performance excluding Andhra Pradesh was on expected lines.

Excluding Andhra, our primary volumes in Q3 grew by 10%, indicating strong growth in our other states, especially the southern states, which grew 11% over the same period.

AP volumes were impacted due to transition on account of the new route-to-market in the state. Despite degrowth in primary volumes , secondary volumes in Andhra Pradesh grew at 8%, indicating strong brand equity for our products. We believe that this period of transition in Andhra is over and is reflected by the fact that we have started Q4 on a very strong note , having grown primary volumes by 14% in January 2025 on a YoY basis . We now expect to continue this growth momentum going forward.

On the NSR Front, we had to take a price correction in Andhra Pradesh in order to maintain our competitive position in the state. While the price reduction came through in the last week of November 2024, we had sufficient stocks lying in

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depots across the state . With a view that we did not want to impact movement of the stock, which was at a higher price point , we took a one -time call to re -price all the stock which was sitting in the depots. Hence, while the price reduction approval came only at the end of November, the impact of the price reduction has been seen for more than 2 months of Q3. This also had an impact on volumes due to operational challenges of changing the price of stock sitting in the depots.

In terms of our other Key States , we saw Karnataka grow by more than 20% YoY with Q3 registering highest -ever quarterly volumes in the state.

Puducherry and Kerala have also seen very strong growth of mid -teens.

We also saw significant market share outperformance in Telangana, where the IMFL industry was almost flat in Q3. We have now expanded our market share in the state to 7.4% compared to 6.8% in FY24.

Moving on to the revenues for the quarter , we witnessed a revenue decline on account of the above -mentioned price correction in Andhra, which can be seen from the reduction in NSR per case as shown in our earnings presentation. Despite this, our EBITDA grew by 17% on the back of more efficient selling and distribution spends as well as cost optimizations, undertaken in packing materials.

In terms of our profitability , we have reported a healthy EBITDA both in absolute terms and on margins. Our EBITDA margin for Q3 FY25 stood at 17.7%. Going forward, we expect our EBITDA margins to remain strong and trend in the zone of 15.5 % to 17.5% on the back of continued investments in A &SP.

On the debt front, I am happy to share that in Q3, we have reduced our gross debt by Rs.47 crore . This reduction in gross debt was predominantly on account of full repayment of Kotak Bank term loan. Our aggregate gross debt now stands at Rs.45 crore with net cash balance of Rs.31 crore.

I will now speak a little on the IMFL Industry and the trends which we have been seeing . India continues to see headroom for higher AlcoBev consumption with significant innovation taking place both in spirit as a category and other allied products. There is a burgeoning cocktail culture which we are witnessing, especially with a large number of Legal Drinking Age population being added every year. Premiumization remains a key driver across all IMFL categories, with at home consumption aiding the growth even post the pandemic. TIL's portfolio reflects these trends with brands across the price ladder in brandy as well as other categories.

I will highlight few of our recent initiatives for everyone's benefit today. A key highlight of the quarter was the successful launch of Monarch Legacy Edition, our first luxury brandy. Monarch blends French grape spirits aged up to 8 years in French oak casks with premium Indian grape spirit from Maharashtra's Sahyadri region . This introduction into luxury aligns with our goal to elevate the perception of brandy in India. The early response has been encouraging, reinforcing the vast potential for luxury brandy in the country . Currently , launched in Maharashtra and international markets , we are excited to soon introduce Monarch in Goa, Karnataka and Puducherry. Our Prestige & Above

portfolio continues to gain traction, validating our price ladder strategy for brandy.

The Premium segment within the CNB family portfolio has grown further, a trend we expect to continue as consumers seek more premium options. Flandy, our flavored brandy offering is resonating well with a broader consumer base, positioning brandy as a versatile beverage suitable for various occasions. On the Non-Brandy front, Mansion House Whisky in Assam has continued to gain strong traction, performing well in the semi-premium segment with expanding consumer acceptance. The brand is leveraging our distribution network to strengthen its presence in key whisky consuming markets. We now also expect to kick-start sales of Samsara Gin and Sitara Rum in Q4 on the back of our usership agreement with Spaceman Spirits Lab. On its own, SSL has seen very strong growth in Q3 and has gained market share within the overall premium Gin industry in most of the states its present in.

With softening cost pressures on raw materials and packaging, our premiumization strategy is expected to continue to support margins. While we remain vigilant about E NA price trends, the overall cost environment has been favorable, strengthening our profitability outlook.

In terms of our CAPEX plans, while maintenance CAPEX will range between Rs.15 to 20 crore, we are exploring making an investment amounting to around Rs.35 to 50 crore for the expansion of our own unit in Andhra Pradesh, housed in our wholly-owned subsidiary, Praag Distillery Private Limited. This investment is being considered on the back of the strong growth we expect for our brands in the state. This investment will enable us to expand our capacity from around 6 lakh cases per annum to 36 lakh cases per annum. We expect to have significant operating savings by bottling in our own unit. The additional volumes over and above what would be met by Praag would be handled by our existing contractual units.

Looking ahead, we remain confident in sustaining our growth momentum both on volume as well as profitability front, supported by strong brand and product strategy and disciplined financial management.

With that, I will now hand it over to Ameya to provide an overview of our operational and financial performance.

Ameya Deshpande: Thank you. And a very warm welcome to everyone joining us today. I will walk you through our financial and operational highlights for Q3 FY25. Our revenue for Q3 stood at Rs. 340 crore with underlying volume growth of 2.3%. If we exclude the RTM impact in Andhra, the volume growth during Q3 stood at 10% YoY, and as Mr. Da hanu kar mentioned earlier, this further accelerated in January 2025 to 14% YoY. Revenue for the first nine months stood at Rs. 1,028 crore and the NSR per case was at Rs. 1,161 in Q3. This level is a departure from the growth trend we have seen in the recent past owing to the changes in the RTM in AP. However, we expect to grow our NSR on the back of our continued premiumization strategies on this base.

Q3 also saw us delivering our highest ever EBITDA; EBITDA for the quarter grew 17% YoY to Rs. 60 crore, supported by ongoing cost optimization efforts as well as efficient levels of S&D expenses. EBITDA margins expanded by 408 basis points to 17.7% on the back of lower NSR and reduced S&D expenses. For the first nine months of FY25, EBITDA reached Rs. 176 crore with margins at 17.2%, marking an expansion of 390 basis points. Adjusting for the subsidy income, EBITDA for the nine months stood at Rs. 161 crore at a margin of 15.9%.

Similarly, PAT increased by 23% to Rs. 54 crore in Q3, up from Rs. 44 crore last year. For the first nine months, PAT grew to Rs. 152 crore, marking an increase of 50% compared to the same period last year.

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Operationally, while Q3 FY25 saw primary volume degrowth in AP, secondary volumes grew 8% in the state. And as Mr. Da hanu kar mentioned earlier, we have seen initial signs of growth trajectory returning to normal. Additionally, we are also happy to share that TI market share as percentage of overall IMFL in its key southern states has now increased to 6.2% in Q3 from 5.8%, as was seen in FY24.

Before I close the opening remarks, I would like to reiterate that we remain committed to delivering profitable growth, reinforcing our market leadership and driving innovation within the Indian AlcoBev sector as we seek to align

ourselves to the emerging consumption trends.

With that, I would now request the operator to open the call for Q&

;A.

Moderator: Thank you very much . We will now begin the Q&A session. The first question is from Abneesh Roy from Nuvama . Please go ahead.

Abneesh Roy: My first question is on RM . On RM, you mentioned that it is likely to be soft and you did say that ENA we have to be watchful . Could you tell us for each of your key raw material in FY26, do you think that those will be soft on an overall basis, including ENA, what will be views on each of the components?

Ameya Deshpande : Hi, Abneesh . Thanks for your question. Yes, for the moment, we are assuming that ENA would range in this region. We haven't taken any kind of reduction on ENA prices currently, but our expectation is that it shouldn't be highly inflationary going forward.

Abneesh Roy: What about glass and other raw material, packaging ?

Ameya Deshpande : They will be stable , Abneesh. We've already seen some level of correction in glass prices over the past few quarters. We haven't factored in any further savings on that front.

Abneesh Roy: Sure. You did comment on Andhra market . Now, in Andhra market, other liquor players are seeing good revival and we also had a challenging time there , you have also rationalized the price. The price rationalization impact, will it continue in the coming quarters also? And if you could tell us what has changed , was it because you were already doing business there . So, for you, the incremental changes are negative , and for the national players it was on the positive side , whisky and beer , both.

Amit Dahanukar: I will respond to this question , Abneesh. I think the one-time price correction which we had to do in line with competition that has already been effected and the reason we saw the volume degrowth in Andhra Pradesh was on account of the transition which I have explained in the opening remarks. Going forward, we do expect it to bounce back. I think the overall industry also has grown from an average of 28 lakhs to 29 lakhs, last 2 months December and January the industry itself has average at around 34 lakhs. Importantly, we are maintaining our market share even with the advent of more players in this field, we are still able to protect our market share. I think we are on a very strong wicket now , and as the industry grows, we will be in a good position to benefit from this.

Abneesh Roy: Two quick follow-up. One is in terms of competition , is your post price cut now at par with the competition and the transition impact it is done and dusted ?

Amit Dahanukar: Yes, that transition impact is now behind us. It was almost a 1.5 month of transition period which we had to undergo which resulted in some primary volume degrowth. The second question which I had to respond to is that in
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terms of brandy saliency also , it has not changed , in Andhra Pradesh also the brandy saliency is roughly retained at around 35%. Even post advent of other players in whisky category, the brandy saliency at least in the last 3-4 months post-RTM change from October has roughly remained the same.

Ameya Deshpande: And Abneesh, just one more data point on top of that, in Andhra, we actually closed out the quarter very strongly . Our market share in Andhra in December was almost 11.5% , this is more than even a pre-transition market shares in the state. Obviously , Q3 had an impact of October and November, but starting December, when anyway secondaries were decent , we did pretty well and Jan onwards we've seen decent movement on primaries as well.

Abneesh Roy: One understanding I wanted here was , now national whisky players and maybe beer players are also very active there, consumer essentially has more choice and consumer doesn't remain married to one segment , if he has more choices, he's very happy to sample . Here just 3 months data you are saying brandy is stable. Is that too early to call that out ? And second w

ill be in terms of the

market share data , which market share data is it something which is a third-party data you are referring to?

Ameya Deshpande : This is corporation given volume data. This is on secondary volumes.

Amit Dahanukar: Even from 2014-2019, roughly , the brandy saliency, has remained same, I mean even when the whisky segment was very active , the saliency has remained same.

Abneesh Roy: Understood. Last quick question. Karnataka has done well for you. If you could talk about why you have gained market share there and has there been any change in the competition there?

Amit Dahanukar : Karnataka, one of the primary drivers was that the excise duty was reduced on premium products, which led to a price correction , and the price correction has enabled us to deliver strong volume growth in Karnataka.

Abneesh Roy: How much was the price correction could you tell us at your portfolio level?

Ameya Deshpande : Talking about our NIP pricing , right, 180 ML from Rs. 257, this came down to Rs. 235.

Amit Dahanukar : And this was on account only of the excise duty reduction. There was no reduction in ex-factory or EDP price of the company . The reduction was wholly driven by reduction in the excise duty by the government.

Abneesh Roy: Sure. Thanks, Very helpful. Thank you.

Moderator: The next question is from Vishal Gutka from HDFC Securities. Please go ahead.

Vishal Gutka: Just wanted to check what is the quantum of blended price correction in Andhra Pradesh you had taken and shall it impact the margins for balance one year given that recent price correction you had taken?

Ameya Deshpande : The price correction in Andhra blended level on a state basis would be around Rs. 200, reduction .

Vishal Gutka: Okay. In percentage terms, what would be in that specific market?

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Ameya Deshpande : We don't provide statewide EDP/NSR . What I can speak is on an overall basis, right, so as you would have seen in Q1 or rather in Q2 , our NSR was around Rs. 1,270, that is the impact and assuming around 30% of our total volumes are driven by Andhra, you can kind of get a sense .

Vishal Gutka: This should have an impact on margins for balance 12 months given the price correction flow through over the next 12 months ? Although you are in an expansion mode, but that margin could moderate from here on , for your expansion , at least for next 12 months . I agree that premium ization trends you have been consuming, and commodity costs are benign, but because of this action , could be moderation in margins that we could see for the next 4 quarters ?

Ameya Deshpande: This refers to the guidance that Mr. Dahanukar also provided in the opening remarks . While we did 17.7% in Q3, we don't expect to maintain that 17.7% to be very frank . The guidance that we are giving is in the range of 15 .5% to 17.5% with a slight bias towards the higher end of the range.

Vishal Gutka: I have one more strategy question is that , most of the mainstream liquor companies , they are trying to foray into various segments like gin, rum, vodka. Just wanted to get your thoughts on how easy or difficult is it to make a brand and given that in FMCG industry, we have seen that a brand creation is very, very difficult. And if you can just broadly throw light, what is the secret sauce , if one needs to build a brand in different categories , or a premium brand what you call in the brandy category . Broader thoughts I think would be really helpful . Thank you.

Ameya Deshpande : See, the thing is that from a gin perspective, we have already backed an existing trending gin, in the form of Samsara. At least on that front, we are fairly clear that there are certain categories that we would like to do on our own, but certain categories that we believe that there is some amazing work being put in by some young founders that we want to back , Samsara is a

part of that .

The benefit of investing in a company like Samsara is the fact that it already has a significant brand equity . Today, you think of gin, and if there is a pink gin, anyone wants to have it is a Samsara pink gin . There is no other out there, right despite the fact that there are some brands which are providing a pink gin. So that is more from a strategic investment perspective. Obviously at our end, when we look to drive any kind of organic growth with new brands coming in, the clear differentiator or the clear identifier over here is the market size, right, and the opportunity that exists out there and what does it add in the overall scheme of things for Tilaknagar Industries. So, to be very frank, is there any secret sauce ? Well, I can't tell you , otherwise it won't be a secret anymore .

Vishal Gutka: Got it. I just wanted to check more about the recipe distribution , broader thoughts, what drives, is the product differentiation versus other products available in the market with the distribution strength that you have or what are the key moats that are there for a brand to get achieve success of strike rate?

Ameya Deshpande: I think distribution is a key part , right, in today's times, and that is exactly the reason why we have come up with Mansion House Whisky in the semi - premium segment. It is a highly competitive segment, but at the same time it is a very large segment, 50 million odd cases strong . So, from that perspective,

given our distribution strengths in southern India as well as in East, we do believe that there is a decent play. Distribution will play a very important role, along with that obviously, I think in today's time, especially on the premium side of the products, while the blend is extremely important, so is the packaging around it, and the communication that goes around it as well. So, just a couple of aspects that we do keep an eye on when we take any calls on organic growth.

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Vishal Gutka: Got it. Last question from my side. Do you expect any more favorable regulatory tailwinds? I think a recent article was there that Karnataka is thinking of increasing the number of liquor shops, because I think it's been a while since they've increased number of liquor shops, similarly in Kerala, I think some movement is happening. Just wanted to pick up your brains anything that you have noted that any favorable tailwinds are possible or many more? Because in Andhra we have seen, but in the 5 southern states in which we operate mainly, any possible tailwinds?

Amit Dahanukar: I will not be able to react on specific states, but overall if I have to give some broad indications, I do expect that there will be more states which will take cues from maybe, if I had to name states, maybe UP and Andhra Pradesh, which have been progressive in the outlook towards the trade and in UP the example is that in 7-8 years almost revenue of government has grown from Rs. 15,000 crore to Rs. 60,000 crore, lot of new brands have come and market also has expanded. So, I'm sure that overall also there will be more states adopting progressive policies like UP and AP, which will be beneficial to the company in the longer-term.

Vishal Gutka: Thank you. Wishing you the best, sir. Just wanted to check with 14% growth in brandy in Andhra, do you expect similar volumes to continue in Andhra, right, post RTM?

Amit Dahanukar: 14% was on the overall basis for the company what I mentioned for the month of January 2025.

Vishal Gutka: Okay, great. Thank you.

Moderator: Thank you. Next question is from Rishabh Gang from Sancheti Family Office. Please go ahead.

Rishabh Gang: Yes, thank you for the opportunity, sir. We have had EBITDA margins improve due to reduced S & D spend, right? So, I wanted to understand, right, what are the reasons like how did the reduction happen and how

is sustainable it is? So, how does this S&D spend reduce impact the brand building and productiveness since I think Tilaknagar spends very less in such activities versus other IMFL players, who are more whisky-focused. So how do you think about this?

Abhinav Gupta: Hi, Rishabh. I think since we came to know that there will be a price correction which we will undertake in the state of AP due to competitive intensity and in order to maintain our leadership position, we took a call to efficiently manage our S & D expenses so that the margins don't get hit. However, as we have always maintained that we are the key leader in the brandy industry, and the voice of brandy is something which we should carry forward as a leading player in the brandy category. We expect that these expenses will increase in future and hence as Mr. Amit Dahanukar has given the guidance that our EBITDA guidance will be in the range of 15.5% to 17.5% going forward in future.

Rishabh Gang: Also, sir, can you give some insights on the marketing spends, right, what is going to be your incremental strategy for it? As well as how much as a percentage of revenue and maybe some tentative absolute amount that you would like to spend in the whole FY26? Because I was reading your FY25 annual report and you have clubbed sales promotion and advertising expenses in selling expenses and it was Rs. 281 crore. So, I was not able to understand how much you are spending on marketing and advertising?

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Ameya Deshpande: Rishabh, as we mentioned earlier as well, our A & SP reinvestment rates are fairly low compared to our peers. So, our A&SP reinvestment rates range anywhere between 1% to 1.5-1.7%, depending upon the quarter. We end up doing more A&SP spends during the peak seasons as such. So, that is the range that I can provide you in terms of what is the bifurcation between the selling and distribution and A & SP.

Rishabh Gang: And this is of net revenue or gross revenue?

Ameya Deshpande: Net revenue. But having said that, going forward, we do expect to increase

this. So, also one of the reasons why we are guiding towards a slightly lower EBITDA margin than what we've seen in Q3, part of that is also to do with us reinvesting in A&SP.

Rishabh Gang: Can you share details about the incremental strategy for marketing, right, like which kind of marketing spend you would like to deploy the money, right, some insights on that?

Ameya Deshpande: We do a lot of BTL as well as ATL kind of activities. You would have seen the campaigns that we have come out with, whether it is 'Welcome The Now' or 'A Warm Welcome' as well as a certain Mini TV series that we have been associated with. So, those are the kind of ATL activities that we do undertake. The reason for undertaking these activities is like Abhinav mentioned earlier, to give a voice to brandy. We have all been very accustomed to seeing a lot of these kind of campaigns or activities from whisky players, but never from a brandy player. So, that is something that in order to bring in a more aspirational quotient to the category, ATL is something that we end up doing. Also, 'Below the Line' activities is something that we have focused on pretty significantly especially in the state of Telangana and as well as Assam with Mansion House Whisky. So, depending upon the product and the kind of segment and category that we deal in, we do undertake certain BTL activities as well. And frankly, when we guide towards a higher reinvestment on A&SP, we are guiding on both the fronts.

Rishabh Gang: Got it. Also, I want to understand what do you think about export potential as well as any limitation we have there on the part of using Mansion House brand since we only have only rights in India for the Mansion House brand?

Amit Dahanukar: The export market is fairly robust for us. We have

grown quite nicely in this current year. In fact, entire volume which we had done in the previous year, we have completed in nine months itself. Overall, we see a good traction on the export business, particularly in African markets, Middle East, Southeast Asia, and also new brands which we are having like for example the Monarch Legacy Edition, the first market where we launched Monarch was export before it was even introduced in the civil market.

Rishabh Gang: So, as per my understanding, we only have rights in India for the Mansion House brand, right? Do we have any limitations like setting up Mansion House brand in Africa or somewhere?

Amit Dahanukar: Wherever we are selling we are registered. I would not like to comment anything more than that.

Moderator: The next question is from the line of Madhu Kela from MK Ventures. Please go ahead.

Madhu Kela: Hi, Amit and Ameya, this is Madhu Kela here and congratulations on continued good performance. My question was more strategic in nature. As we see the

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company will have a few hundred crore rupees of cash over the next 2-3 years, what is the intent. How do you want to deploy the cash, would you get into other categories, how will this cash be deployed? And the second question on the Andhra Pradesh, even though you have clarified, for my benefit, these sales and distribution costs have come down significantly in the last quarter. Is this sustainable going forward?

Amit Dahanukar: Yeah, Madhu, first question, I think it's a good question. I think you're right, as we go forward, since virtually we have no debt, company is debt-free, whatever EBITDA we make, we are converting to cash, we don't have any tax also not in this current year and not expected to have in the following year as well, FY25-26 also we don't expect tax. All part of the EBITDA is going to be converted into free cash other than what we would need for incremental working capital. So, there would be essentially 2 avenues. One would be to grow our existing business organically, which we have been doing and I think January is an indication where the growth is around 15%. We expect to grow our existing business, the brandy portfolio in the existing states. All the states are showing encouraging signs, I think even sans AP also our growth was in double digit and now with AP with route-to-market stabilizing, we expect good growth in Andhra Pradesh as well.

We are expanding categories as we have mentioned in the earlier call. Mansion House Whisky was launched in Assam in North Eastern territory, and it is off to a stable start. Mansion House Whisky we will bring it to the Southern states where we already have a strong distribution presence and a strong network. We intend to leverage the strength of Mansion House Brandy and our

existing product portfolio to build whisky brands as well. So, that is as far as the organic opportunities are concerned, and yes, we will remain open to inorganic opportunities as well. In terms of our participation in the Samsara brand, we have 20% and we have a pathway towards increasing our stake also eventually. As the brand grows, now we have a royalty arrangement in place where we are selling Samsara in our existing states, and also exporting it. It will be both organic and inorganic. And the last question regarding the sales and distribution expenses, you had the question was whether it is sustainable? So, the answer is that, yes, it is sustainable. I think the current levels which we have, they would be sustainable going forward.

Madhu Kela: Amit, sorry to harp on the same question again. I can't figure out in my head that few 100 crore can be absorbed into our current strategy. Even we have done our numbers, after incremental working capital also you will be left with Rs. 200 crore of cash. What my point is, that is there any framework to do acquisition

acquisitions going forward? The Samsara acquisition was a good acquisition. So, will we adopt the same strategy of acquiring smaller companies and growing big or are you also open to make some larger acquisitions and leverage the balance sheet?

Amit Dahanukar: Madhu, I think my response would be, whatever strategy we adopt, it would be a financial prudent strategy what we feel would be in the best interest of the stakeholders for the long-term in terms of delivering value for them. I think we will take these calls as a company, as an organization, as management, we continuously evaluate opportunities to grow the business, expand the business both product wise and through geographic distribution as well. Tactical acquisitions we certainly remain open to. I hope that addressed your question. I think more in terms of distribution of the surplus cash I think that would be more of a Board decision and we don't have a formal policy in place, but we will address that question as well.

Madhu Kela: Thank you, Amit. That was useful. Thank you so much.

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Moderator: Next question is from Yashvardhan Banka from Tiger Assets. Please go ahead.

Yashvardhan Banka: Hello, sir. Thank you for the opportunity. Sir, wanted to understand where are we currently on the acquisition of Imperial Blue, could just throw some light on that?

Amit Dahanukar: I think I have made comment before to Mr. Kela's question also in terms of being open to acquisitions which, I have clarified that technically even though the company evaluates opportunities on an ongoing basis, and if it fits in with the long-term vision of the company in terms of the product portfolio and the approach, we are open to evaluating opportunities, of course managing the balance sheet prudently would be of paramount importance. To specific opportunities, we would not be able to comment. Of course, if there's anything meaningful, we would be of course intimating the exchanges and the shareholders at the appropriate time.

Moderator: Next question is from Darshika Khemka from AV Fincorp. Please go ahead.

Darshika Khemka: Hi, thank you for the opportunity. I have a couple of questions, sir. Firstly, in the last quarter you mentioned about tax incidence starting from Q1. What would be the expected rate of this tax incidence?

Abhinav Gupta: I think we had guided for that either, we may have tax incidence from first quarter of next year which would be at a normal rate of 25%. However, having said that, as you are aware that we had a search operation from IT department last year on February 2nd. And subsequent to that, we have received orders for various years except AY 24-25. So, once we receive all the orders, we will be in a position to better comment on that and maybe by next quarter call we should be able to give you precise guidance.

Darshika Khemka: For now, we assume 25%?

Abhinav Gupta: Yes, you can assume that for the time being.

Darshika Khemka: Secondly, what is the CAPEX guidance for FY26 and where will this be used and what will be the full potential from this CAPEX that we can achieve and when will be achieved?

Amit Dahanukar: In terms of the maintenance CAPEX, I have already guided for a maintenance CAPEX for approximately Rs. 20 crore for the next year. There might be a potential investment which we are exploring of around Rs. 50 crore for the expansion of our own unit in Andhra Pradesh, which is Prag Distillery, which would entail expanding our capacity from 6 lakh cases to 36 lakh cases per

annum.

Darshika Khemka: Okay. And what will be the full revenue potential of this?

Abhinav Gupta: It would be consolidated. Currently, we are bottling with outside contract units, but since it is our key state and we are expecting that AP industry might grow quite significantly, we are exploring that, we might expand in our own distillery itself

so that we are not much dependent on other contract units and as well as it will give us savings in terms of bottling charges which we give to other units.

Darshika Khemka: The revenue may not be as much incremental revenue, but there will be an advantage on the margins?

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Abhinav Gupta: Yes, on a consolidated basis, there will be no revenue as such, but it will result in an improvement in margins.

Darshika Khemka: Thirdly, we have received a subsidy of around Rs. 16 crore YTD for the nine months. Do we expect any more subsidy coming in the fourth quarter and what is the guidance for subsidy for FY26?

Amit Dahanukar: We do expect further subsidy to be received in Q4, but it will be difficult at this point to quantify the amount.

Darshika Khemka: I had a question, I joined the call a little late, I'm sorry if this question was asked earlier, but we have sort of partnered with Samsara Gin like made an acquisition, why did we not follow similar strategy for whisky as well, why did we go in-house in terms of making our own whisky or our own brand?

Ameya Deshpande: The thing over here is that, firstly, Samsara was an opportunity which came pretty early on in our entire thought process of strategic investments. As Mr.

Dahanukar has also mentioned earlier, we keep looking at interesting opportunities and whisky obviously is one of them as well. But having said that, it's also a function of the price point at which we want to look at inorganic investments, right, especially with Samsara, it's a craft product, okay, and these smaller acquisitions that we do look at, we are looking at more of startups which are in the craft space, and not in the mass space as such. And given the fact that Mansion House Whisky is a semi-premium whisky, and we anyways had that brand, it's not that it was something that we were starting from scratch, we had that brand, it was a refresh that we did and launched it in Assam. It was a pretty quick turnaround in terms of a launch in the space, but just to reiterate, we do keep looking at interesting opportunities, and as and when something interesting does come up, we are not averse to looking at something in whisky as well.

Moderator: The next question is from Aditya Singh from Multi-bagger Stocks. Please go ahead.

Aditya Singh: I had a couple of questions. First question was could you please quantify the amount of sales that you made in Andhra Pradesh?

Amit Dahanukar: We have given rough guidance that Andhra has approximately 30% of our overall portfolio.

Aditya Singh: And second question is despite the reduction in ENA prices, I do not see much change in the results. Is there any particular reason for that?

Ameya Deshpande: Sorry, despite reduction in?

Aditya Singh: ENA, one of the raw materials.

Ameya Deshpande: No, there hasn't been any significant reduction in ENA for this quarter. In fact, the reduction in the COGS side has been on the packing material side, but not on the raw material side.

Aditya Singh: Okay. And the last question, if you could provide me with the revenue guidance for FY26?

Ameya Deshpande: We are looking at mid to high teens kind of growth in terms of revenue.

Aditya Singh: Okay, thank you so much. I wish you all the best for your future endeavors.

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Ameya Deshpande: Thank you.

Moderator: The next question is from Rishabh Gang from Sancheti Family Office. Please go ahead.

Rishabh Gang: We know that you have a usership agreement for Samsara, right? But how are we growing the revenues of Bartisans, like what is the synergy plan, some granular insights on how are Bartisans benefiting as well as how Tilaknagar is benefitting, something on that?

Ameya Deshpande: See the entire intent with the investment in Bartisans was the fact that it is a superior priced cocktail mixer, with strong unit economics. Obviously as t

hey

keep growing their business on the D2C front as well as quick commerce, we are looking from our perspective, we are also looking at entering into collaborations to develop mixers for brandy. As you have known in today's times, any mixer company that you look at or think about even going to any restaurant, you would have a cocktail menu, but when you look at the cocktails, which are a part of that menu, you will not see too many brandy drinks. There will be certain Cognac drinks, but beyond that, not too many, so, we want to change the way people look at brandy, the consumption patterns as well around brandy, the kind of demographic as well as bring in a more aspirational and fun element to the category and that is where the entire Bartisans situation came around and we did it.

Rishabh Gang: Okay. On Samsara, right, what is the stake if you can share?

Ameya Deshpande: After our entire commitment that we made right now, we will own 20% of the company. In addition to that, we also obviously have the usership agreement that even you alluded to, but as a part of our definitive agreements, we do have a path to increase our stake on the basis of progress that the company makes.

Rishabh Gang: What is the founder stake in Samsara?

Ameya Deshpande: The founder owns 60% plus of the company.

Rishabh Gang: Excellent. Good skin in the game. Also, the CAPEX that we are doing in Prag, can you share some details on the incremental savings and how much we are saving in terms of bottling charges, some raw numbers, right, which tells about the ROI or the payback for the Rs. 50 crore in case it is possible to share?

Amit Dahanukar: As I mentioned before, we are at a preliminary stage where we are exploring the possibility, we are not in a position to say definitely whether we will be going ahead, we are evaluating the opportunity.

Rishabh Gang: But when you evaluate like the ROI or payback which you try to achieve like you will be having some number, right, internal that it should cross the threshold.

Amit Dahanukar: Between 3-5 years.

Rishabh Gang: All right. And, just one last question from my side. As the company expands, right, we have around Rs. 1,000 crore plus revenue, and ~Rs. 5,000 crore plus of market cap. What is the plan for appointing a bigger audit firm, right, preferably a big four or a well-known Indian mid-size firm who have experience in the AlcoBev sector?

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Abhinav Gupta: I think our current auditors have a term for 3 years. Once that tenure is over, we will definitely explore appointment of some other auditor.

Rishabh Gang: The term is going to get over in which year?

Abhinav Gupta: Last year, it has been extended for 3 years, so FY 2027.

Rishabh Gang: All right. Thank you so much, sir. Wonderful insight.

Moderator: Thank you. Next question is from Marcel, who's an individual investor. Please go ahead.

Marcel: Hello. My question is very important means in the financial result announced by the company there is no provision for income tax. At the same time, on 1st of February, the company has made a disclosure that they have received the assessment from the income tax department till AY 2023-24, means as of 31-3-2023 financial year. And in that disclosure you mentioned that the department has made some disallowance and some they have added back. So, can you please tell us that how much amount they have disallowed and how much amount they have added there in the assessment, #1. #2, means in the same question that as per your disclosure, the carryforward losses and including unabsorbed depreciation is Rs. 95.15 crore means Rs. 95 crore as on March 31, 2023. If the unabsorbed loss is only Rs. 95 crore, then means like which is already like if we see the profitability for example, last year, last year we made a profit of Rs. 138 crore. So, there is already offset in the last year

itself in the 2023-24. On the top of this, this year we have made profit of Rs. 152 crore. So, why the company not made any tax provision, because I guess Rs. 95 crore is carry forward losses till 31.3.2023, subsequent to that in the last 21 months like last full year and this nine months, in the 21 months we have made a profit of almost Rs. 248 crore. So, why the tax provision exposure has not been there?

Abhinav Gupta: With respect to the search operation we have received the order still AY 23-24 itself, but not for AY 24-25. Once we receive the order, then accordingly, we will be able to take a call as to how much tax provision if any needs to be made.

Marcel: No, sir. first please reply to my question that how much amount they have

disallowed and added back , till assessment year 2023 -24?

Amit Dahanukar : I think what we have stated, we have already given in the disclosure which is already up for shareholder viewing. Beyond that, we don't want to make any specific remark.

Marcel: No. Like in the disclosure that is inadequate. You didn't specify how much amount added back . You have just like mentioned only Rs. 95 crore. On the top of this in the last 21 months Rs. 248 crore company has earned before tax , and then on the top of this, the assessment of financial year 2024-25 is immaterial. Because as of March 31st, 2023 the unabsorbed depreciation was crystallized to Rs. 95 crore. That means in '24-25 assessment year also, the department is not going to make you some more allowance , it will only disallow, so it will further reduce your carryforward losses. The company must have created the provision, #1 . #2, now the company has shifted to the new tax regime like 25% or it is still going under the old tax regime?

Abhinav Gupta: For the tax purpose , as we have mentioned in the intimation to the stock exchange also , we have already decided to go in appeal against the order , that is the first point. The second point is that since we have not received the last year order. Once we receive that order, then we will be able to specify as to Page 14 of 14

what would be the tax going forward. We would like to restrict our response to that.

Moderator: Next question is from Himanshu Shah from Dola t Capital. Please go ahead.

Himanshu Shah : Thanks for the opportunity. Sorry, I've joined a little bit late, so again asking on AP. First, this price reduction has the full quarter impact come or there will be some more impact which will flow through in Q4 FY25 ?

Ameya Deshpande : Himanshu, the impact of the price reduction was felt for more than 2 months, not the entire quarter, but more than 2 months of the quarter . Unfortunately you didn't join in the beginning, but as a part of our opening commentary, we did mention that the impact was two-fold, right, one was obviously reduction in price, but because of the operational issues, actually it also had an impact on our volumes as such on the primary front . The impact was on both fronts . With regards to Q4 , we expect Q4 NSR to be somewhat stable.

Himanshu Shah: Okay. That's helpful. Secondly, with the opening up of the state for national players, do you foresee any kind of a risk of shift in consumers from a brandy to a whisky because I believe AP is a slightly brandy -heavy market compared to national average. So, is that a risk? And to mitigate that , will it require much higher S&D spend from our end ?

Ameya Deshpande: Basically , Himanshu, we don't see a risk to that . The reason for that being that with the new RTM, we expect the industry itself to grow . So, from that perspective, and given the fact that MHB as well as our other brand CN B have such a strong brand equity , we don't foresee any kind of share loss . On the contrary, as I mentioned earlier as well , in the month of December, we actually expanded our market share to an all -time high in the state, right ? The

impact

was felt more in October and November, but actually in December we clawed back to even better shares than earlier. Long story short, we don't see too much of a risk of losing market share or volumes because new entrants have come in.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Amit Dahanukar : Thank you , everyone for being a part of today's call and showing interest in our progress. I hope that we have been able to address your queries today .

In case you have any pending queries, I request you to reach us at the coordinates mentioned in the presentation. Thank you very much for your time and for supporting us on our growth journey. Thank you.

Disclaimer: This is a transcription and may contain some transcription errors. The document has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to maintain a high level of accuracy.

Call: May 2025

May 21, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra -Kurla Complex, Bandra (East),
Mumbai -400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call held for Q 4 & FY25 results

Dear Sir/Madam,

With reference to our letter dated May 08, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Thursday , May 15, 2025 to discuss the Q 4 & FY25 results.

The same is available on the website of the Company at www.tilind.com .

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary & Compliance Officer

Encl: a/a

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Tilaknagar Industries Limited
Q4 & FY25 Earnings Conference Call Transcript
May 15 , 2025

Moderator: Ladies and gentlemen, good day and welcome to the Tilaknagar Industries Limited Q4 FY25 Earnings Conference Call.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you. And over to you, sir.

Siddharth Rangnekar: Thank you. Good morning, everyone. And thank you for joining us on Tilaknagar Industries Limited Q4 and FY25 Earnings Conference Call . We have with us today , Chairman and Managing Director , Mr. Amit Dahanukar, President , Strategy and Corporate Development , Ameya Deshpande and Chief Financial Officer of the Company , Mr. Abhinav Gupta.

We shall commence with views from Mr. Dahanukar on the strategic performance and Mr. Deshpande on the financial highlights, which shall be followed by an interactive Question -and-Answer session. Before we commence, kindly note that the call c ould contain certain forward -looking statements and a disclaimer to this effect

has been included in the results presentation which is uploaded on the stock exchange websites.

I would now like to request Mr. Dahanukar to make his opening remarks. Over to you, Mr. Dahanukar .

Amit Dahanukar: Good morning, everyone. Happy to have you all join us on this earnings call to discuss the Q4 and FY25 Results .

After a subdued first nine months of the financial year due to industry -wide disruptions in some of our key states, I am happy to share that we are back to our industry -beating growth trajectory on the back of stable and progressive excise policy changes, as well as our new product launches.

During Quarter 4, our volume performance was strong with growth at 20.1% YoY and 13.5% QoQ . The route -to-market change in our largest state of Andhra Pradesh is now firmly behind us and has stabilized. Not only have we seen our market share inch back to earlier levels , but rather over the past 3 -4 months have seen them expand. And we expect to maintain, if not better, our share in one of the fastest growing IMFL states in India.

Our other core southern states have also continued to showcase impressive growth, with each of them improving market share in Q4. Karnataka, on the back of reduction

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in excise duties in mid FY25 , has seen strong growth momentum, with our volumes in the state growing by more than 25% YoY in H2 FY25 .

We continue to be the third largest P &A IMFL player in Karnataka, a state in which more than 80% of all IMFL consumed is whisky. This is especially noteworthy given that our entire portfolio in Karnataka currently consists of brandy products . We expect this trend of market share expansion to continue across all key states given our strong launch pipeline for the quarters ahead.

On the portfolio front, our luxury and super premium portfolio is showing promising signs. Monarch Legacy Edition Brandy , our first luxury foray, has now been launched in Maharashtra , Goa and Puducherry and has shown encouraging traction not only from the trade but consumers as well. The brand is especially doing well in Puducherry , with a very good width of distribution achieved and repeat orders coming in.

Business on the back of our usership agreement with Spaceman Spirits Lab , our invest ee Company , has also kicked in. We did our first dispatch of Samsara Gin in April 2025. And believe that the SSL portfolio comprising of Samsara Gin, Sitara Rum and Amara Vodka will be a big contributor to our super premium portfolio. As mentioned earlier as well , Tilaknagar Industries will leverage its robust distribution network to sell SSL brands in certain states in India and abroad. With the above and the impending super premium whisky launch in H1 FY26 , we will have a play in the luxury and super premium segment in all the five key categories of IMFL ; Whisky, Brandy, Gin, Vodka and Rum.

Our mass prestige portfolio including Mansion House Brandy and Courier Napoleon Brandy continues to perform well. Our commitment to ensuring Brandy's share of voice reflects its share of the market remains steadfast. While we are still in the early stages of our marketing investment journey, we are beginning to see a shift in consumer perception. Through continued marketing efforts and innovation, we are optimistic about making Brandy a more aspirational and inclusive category.

While Brandy continues to be our dominant category in the portfolio, we have made an entry into the semi -premium whisky segment with the relaunch of Mansion House Whisky in a new avatar . We have launched Mansion House Whisky in East and Northeastern states of India and will be soon launching in our distribution -strong states of South India. The initial traction has been encouraging. Our mid -to-long term aim is to expand on a non -brandy portfolio through innovative launches in the growing and profitable prestige and above segment. These launches will fill up gaps in our portfolio and enable us to have a more meaningful play across the country .

Before I hand over to Ameya, I will very briefly talk about our financial performance. Our revenues in Q4 saw a healthy growth of 13.1%. The revenue growth was subdued vis -a-vis volume growth due to reduction in price in our key state of Andhra Pradesh from Q3 FY25 onwards.

However, for a like -to-like comparison, we have seen a strong 19.2% QoQ net revenue growth vis -a-vis volume growth of 13.5%. Adjusted for subsidy income, the net revenue growth is 15.4% QoQ , indicating continuing premiumization trend . The strong trend in profitability continued, contributed by superior state as well as brand mix, as well as operating leverage and disciplined cost management.

EBITDA margins stood at 19.3% in Q4 and adjusted for subsidy income, the margins came in at 16.6%, a more than 300 basis points increase in margin on YoY basis.

On the input side, ENA still remains volatile and has seen some level of increase in Q4 compared to Q3 FY25. However, we have seen some moderation in the ENA prices in April and May 2025 and are hopeful of a more conducive input cost environment.

Our focus drive on cash flow

As management continues and we now stand at a net cash level of Rs. 107 crore showcasing our balance sheet strength. I am also very happy to share that the Board of Directors has recommended a dividend of Rs. 1 per equity share for FY25 to the members at the ensuing Annual General Meeting.

As we look ahead, our strategy will be driven by enhanced presence across P&A within Brandy and other IMFL categories through our own brands as well as investments. We remain confident in the potential of the business and our ability to support brand expansion in key and newer markets. Our healthy balance sheet position keeps us in good stead to chart a growth path forward.

I would now like to conclude my opening remarks and invite Ameya to continue the discussion with the operational and financial performance.

Ameya Deshpande: Thank you and a very warm welcome to everyone joining us today. I will walk you through our financial and operational highlights for Q4 and FY25.

As mentioned by Mr. Dahanukar, we are back to our strong growth trajectory, having grown more than 20% in Q4 FY25. Our revenue for the quarter stood at Rs. 406 crore and for the full year FY25, we clocked a net revenue of Rs. 1,434 crore. Our net sales realization per case stood at Rs. 1,182 for Q4 on the back of the price reduction taken in Andhra Pradesh. This NSR will now form the base and we expect the same to improve on the back of our premiumization strategies.

Q4 also marked another strong quarter in our profitability journey with EBITDA growing 62.6% YoY to Rs. 78 crore. EBITDA margin expanded by almost 600 basis points to 19.3%. Adjusted for subsidy income, the EBITDA margin came in at 16.6%. For the full year FY25, EBITDA stood at Rs. 255 crore, reflecting a margin of 17.8%. Adjusted for subsidy income, the margin was 16.1%, a more than 270 basis points improvement YoY. We expect the EBITDA margin to be in the range of 15.5% to 17% over the next couple of years.

Adjusted for subsidy, PAT for Q4 stood at Rs. 64 crore, a growth of 62.6% YoY. For the full year FY25, PAT excluding subsidy increased to Rs. 201 crore from Rs. 141 crore in FY24.

Our net cash position as of March 2025 stands at Rs. 107 crore, a sharp improvement from a net debt position of Rs. 74 crore as of March 2024, showcasing our disciplined debt and cash management strategies.

Before I close the opening remarks, I would like to reiterate that we remain committed to delivering profitable growth, expanding our presence in both existing and new markets and reinforcing our market leadership through focused innovation and strategic investments. We believe these initiatives will help us capture emerging consumption trends and create long-term value. With that, I would now request the operator to open the call for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Palak Bhanushali from MIV Investments Manager. Please go ahead.

Palak Bhanushali: Hi, thank you for the opportunity. Sir, I have two questions. My first question is related to volume growth. I mean, after many quarters, we have delivered such a great volume growth. But my question is, is that only because of the Andhra Pradesh? I mean, can you give us the volume growth, excluding the state of Andhra and which states have shown the positive movement?

My second question is regarding the income tax assessment orders, which we have received. And I think in the last call, you mentioned that this quarter you will be able to, you will be in a position to give more color on that. So, these are my two questions.

Amit Dahanukar: I will take the question on the volume growth. The volume growth has been 20%, and we expect to maintain this momentum going forward into this current financial year. Of course, the growth in Andhra, because of the

he subdued performance in Q2

and Q3 as elaborated earlier, the growth in Andhra was much more in Quarter 4. But the other markets also have shown promising volume growth, particularly Karnataka. And the income tax assessment, the CFO will take over.

Abhinav Gupta: If you see we have already informed the Stock Exchange that post the assessment done by the Income Tax Department, our carry-forward losses stand at around Rs.

32 crore as on March 31st, 2024. However, we have appealed against the assessment done by the Income Tax Department with Commissioner Income Tax and that proceedings are currently underway. We will be able to give you an exact or rather more prudent advice post the outcome of our appeal against the order at Commissioner Income Tax level . As of now , you may assume no tax for the June quarter .

Palak Bhanushali : Sir, you mentioned Rs. 32 crore carry forward losses.

Abhinav Gupta : Yes.

Palak Bhanushali : So, I mean , from next quarter we will start paying the taxes?

Abhinav Gupta : No, so we have already appealed against the order of the income tax , with Commissioner Income Tax . We are hopeful that by next quarter we will be able to know the outcome of the appeal and accordingly we will be able to inform you about from when we will be required to pay tax .

Palak Bhanushali : Sir, just a follow -up question on my first part. Do you have any data of what was the volume growth excluding Andhra?

Ameya Deshpande: Yes, I will just give you a basic sense . So, while Andhra grew by more than 30%, in Q4, states like Karnataka grew by more than 25% in Q4, whole of H2, actually, Karnataka grew by more than 25%. In addition, also states like Tamil Nadu also contributed to our growth along with Odisha and Telangana.

Palak Bhanushali : Any specific reason why Karnataka growth was such good for us?

Ameya Deshpande: Yes, I think it's not only us. To be very frank, it's the entire industry, if you remember, and also what Mr. Dahanukar covered in his opening remarks, that excise duties were reduced in Karnataka towards the latter part of H1 of FY25 . So, that brought down the consumer prices by a meaningful number. So, that led to significant growth in H2 for the entire industry as a whole. Obviously, we grew slightly higher than the overall industry , thereby increasing our market share in the state as well. And this

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growth, just to clarify, this growth predominantly came in the Prestige and Above segment.

Palak Bhanushali : Any market share gain number that you would like to give us , I mean , in state -wise? You are saying that we have gained some certain market share . So, can you give us a number

Amit Dahanukar: No, state -wise, we can't get into the detailed specifics of state -wise in this forum.

Moderator: The next question is from the line of Chetan Mahadik from Systematix Shares .

Please go ahead.

Chetan Mahadik : Hi, thank you for the opportunity and congratulations on a good set of numbers. My question is on the Prag Distillery . We had previously stated capacity expansion at Prag from 6 lakh cases to around 36 lakh cases . Could you please highlight if any or what proportion of this expanded capacity is intended to cater to the Andhra Pradesh market? And if so, is this decision primarily driven by the strong growth we are witnessing in Andhra region? Or is it aimed at only replacing the existing production from the contractual manufacturing units for cost savings ? And secondly , again , can you also provide like more details of the evaluation process currently underway or when a final decision on this potential CAPEX can be expected ?

Amit Dahanukar: We are awaiting a decision from the government in terms of the calculation for the pending license fees because t his application has been pending with the government for almost 10 years. During this interim period, there was a lot of ambiguity be

cause

Prag was also going through insolvency proceedings. So, while we await a pending final outcome from the government, we are ready ing ourselves to make ourselves ready for the investment. So, subject to approval from the government, the Company will consider expanding the capacity at Prag from as you have stated from 6 lakh cases to 36 lakh cases.

This is essentially because we are foreseeing a good growth in Andhra Pradesh over the next 4 -5 years' horizon. It is a flagship state for us where we have maximum sales coming from Andhra. So , it will not only replace the current capacity which we have, it will supplement it because even after the expansion , we will still require contractual bottling partners . So, it will supplement the existing partners . And as and when we take any firm view on this , we will intimate the stakeholders through adequate dis closures .

Chetan Mahadik : Okay, ye s, that was helpful. Thank you.

Moderator: The next question is from the line of Anjali Bajaj from Naredi Investments . Please go ahead.

Anjali Bajaj: Hello, good morning. Congratulations for the good set of numbers. My first question is regarding how has the price correction impacted the Company 's revenue and market share in Andhra Pradesh? What are the long -term implications of price

correction in Andhra Pradesh?

And a second question regarding how does Tilaknagar Industries plan to manage and reduce the trade receivable in coming quarters? How much dues from the Telangana Government as on the 31st March 2024 and 31st March 2025?

Ameya Deshpande : Yes, as we mentioned, after the price reduction, there has been significant growth that we have seen . We mentioned earlier on this call that more than 30% growth in Q4 on a YoY basis. Obviously, there has been good growth that we have seen in the

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state. Along with that, we have also stated that our market share has actually increased since this price reduction . So, there has been inherent benefit that we have received from this decision, and we have increased the market share pretty decently as a part of the overall IMF L industry as such.

Abhinav Gupta: And on the Telangana front, Madam, since September onwards, thankfully we have been receiving payment from Telangana government more or less on time. And there was a sort of a blackout period for us in May and July -August. That payment also has started coming in. Overall, I would say that there are positive signs from the Telangana side.

Moderator: The next question is from the line of Jagvir Singh from Shade Capital. Please go ahead.

Jagvir Singh: Sir, my question is related to the Mansion House Brand , the legal case. So, what is the update on this?

Amit Dahanukar : The update is as follows , I think the counterparty in February, there was an order which was also allowing another body corporate to use the Mansion House trademark in a particular state of West Bengal. So, we referred an appeal against that order before the Division Bench . And as of now the status quo is maintained because the other body corporate, they have given an undertaking to the court that they will refrain from using the February 7th order till the next date when the appeal will be heard.

As on the date , the status quo is maintained . I wouldn't, of course, the matter being sub judice get into more specific details at this point. But just two things I would like to add is that , you know , we have been the exclusive and uninterrupted users of this mark since 1983 and continue to remain so.

Jagvir Singh: Because we are using this brand since 1983, so what is history ? How one company can go and claim to use this brand in West Bengal or any other state?

Amit Dahanukar: Those specifics I would not like to get into beyond what I have already commented earlier. You know, since this matter remains sub judice, I think we have made our position clear.

Jagvir Singh: And sir, any guidance for EBITDA margin and the revenue growth for the next financial year FY26 ?

Amit Dahanukar: EBITDA margins will be in the range of 15.5 % to 17% for FY26 .

Jagvir Singh: Adjusted to subsidies .

Amit Dahanukar: And revenue guidance will be in the upper teens.

Jagvir Singh: This EBITDA guidance is adjusted to the subsidies?

Amit Dahanukar: Yes, adjusted for subsidy income.

Moderator: The next question is from the line of Yashovardhan Banka from Tiger Assets. Please go ahead.

Yashovardhan Banka: My question is answered. Thank you.

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Moderator: The next question is from the line of Daksh Malhotra from Aadriv Global . Please go ahead.

Daksh Malhotra: Yes, hello and thank you for the opportunity. Congratulations on the good set of numbers. Wanted to take your view on the UK FTA agreement and how will it impact our luxury portfolio, which we are planning to grow in the near future ? That is question one.

And question two, just wanted to get a sense on how are we planning or are we planning to increase our stake in SSL , the Samsara Gin, Sitara Rum from 20% in the near future ?

Ameya Deshpande: On the first part regarding the UK FTA, from an existing business perspective it doesn't impact us much for the simple reason that we are a predominantly brandy player and brandy does not get impacted significantly by the UK FTA.

With regards to the super premium luxury business that we have guided towards even with a whisky launch , to be very frank , I think there is a very clear positioning that Indian brands have created for themselves , whether it is the Indian single malts or the Indian m alts that are coming in . So, we frankly don't see a significant impact on industry as such. But time will tell, and we don't want to guide towards anything

on that front. Having said that, we do see tremendous and promising opportunities from an Indian luxury play over here.

With regards to Spaceman Spirits Lab, the intent obviously is to increase our stake . It is a strategic investment for us. By the end of the committed investment will be owning around 20.02% in the Company and very soon we will be looking at increasing that stake further pretty significantly . And the end game obviously is to have majority in the Company and to acquire the Company at some point in time , but at the right time .

Moderator: The next question is from the line of Dhaval Jain from Sequent Investments. Please go ahead.

Dhaval Jain: Sir, I just wanted to understand what exactly, how do we aim to achieve, go about our advertisement expenses going forward? And is it like a cap ped to the percentage of sales or a more broader understanding on this front?

Amit Dahanukar: I can give a broad outlook on that. See, you know, Brandy as a category we believe has been under -invested in terms of brand building and marketing. We have now started investing behind the category. I think one was, of course, with the introduction of Flandy , we did something to reinvigorate the category. And for the first time, I think we will also be using a celebrity. We have signed on a celebrity , and our teaser campaign has just been rolled out today as we speak. There will certainly be more activity on this front in terms of investment behind the brandy category.

Ameya Deshpande: And in terms of quantifying , your question was also in terms of how do we see this, right, in terms of cap ping it . See , the thing is that Q4 we did an reinvestment rate of around 1.8% of net revenue, right. For FY26 , you will look at this at more than 2% as we try building on the entire brandy narrative as well as our introduction in the super premium luxury space . Even that will require good amounts of investment . You are looking at an A&SP reinvestment rate of more than 2% for the coming year . And our EBITDA guidance , EBITDA margin guidance takes that

into consideration as well.

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Dhaval Jain: One more thing on our volume -to-volume growth annually, so it's around 6.7% if I'm not wrong .

Ameya Deshpande : Yes, that's right .

Dhaval Jain: So, this we expected to be high mid -teens now like going forward on FY26 .

Ameya Deshpande : Yes, it will be high teens .

Dhaval Jain: I just wanted to understand like where exactly this growth is going to come from is just the southern market or it's the expansion into new markets or which exactly the State you're targeting at ?

Ameya Deshpande : Yes, it will be significantly from the existing states itself . So, obviously , with the whisky, semi -premium whisky brand being launched in the East and Northeastern states, you will see East and Northeast growing at a decent clip. But at the same time, what we also need to look at is that the first nine months of this financial year, of the financial year that went by, you saw some subdued volume growth So , from that perspective, we will be regaining the share from that perspective. And that is how we will grow at a high teens kind of a rate in volume terms. It will be a combination of both Southern markets as well as your East and Northeastern markets.

Dhaval Jain: And just one more last question on the front of our case, I understand sub judice , but when's the next hearing date on this?

Ameya Deshpande: That is in June, on the 9th of June.

Dhaval Jain: I understand like last time it was in April, around April, if I'm not wrong.

Ameya Deshpande: Yes, so the hearings have been taking place . But it is status quo as Mr. Dahanukar mentioned earlier.

Moderator: The next question is from the line of A aditya Singh from Multibagger Stocks . Please go ahead.

Aaditya Singh: Good morning , team. Congratulations on the great set of numbers. I only had one question. And my question was regarding the tax incidence . So, I just heard that there would be no tax incidence for the June quarter. So , can we expect it from next quarter?

Abhinav Gupta : No, as I said , if you see our carry forward losses are around Rs. 32 crore as of March 31st, 2024. But we have considered against the assessment order of the income tax and the appeal is now pending at the Commissioner Income Tax level.

Once that appeal is heard and we are able to know that what exactly has been the additions to our assessed income, then only we will be able to exactly give you the guidance since when we can expect the tax. We have just said that for the current quarter, since we are not expecting any judgment in this quarter, you may assume

no tax and exact from when tax will be required to be paid , perhaps by next quarter we will have a better position to answer.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

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Amit Dahanukar: Thank you , everyone , for being a part of today's call and showing interest in our progress. I also invite all of you to check out our brand handles on social media, Instagram, Facebook and YouTube where the campaign featuring the brand extension Mansion House packaged drinking water , a campaign featuring one of South India's biggest superstars N Balakrishna would have gone live this morning . I also hope that in the call we have been able to address your queries . In case you have any pending queries , I request you to reach us at the coordinates mentioned in the presentation . Thank you very much for your time and for supporting us on our growth journey. Thank you.

Moderator: Thank you. On behalf of Tilaknagar Industries Limited , that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. The document has been edited for clarity. The Company takes no responsibility

ity of such errors, although an effort has been made to maintain a high level of accuracy.

Call: Aug 2025

August 19, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra-Kurla Complex, Bandra (East),
Mumbai-400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call held for Q1 FY26 results

Dear Sir/Madam,

With reference to our letter dated August 06, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Tuesday, August 12, 2025 to discuss the Q1 FY26 results.

The same is available on the website of the Company at www.tilind.com .

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary & Compliance Officer

Encl: a/a

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Tilaknagar Industries Limited
Q1 FY26 Earnings Conference Call Transcript
August 12, 2025

Moderator: Ladies and gentlemen, good day and welcome to Tilaknagar Industries Conference Call.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you and over to you, sir.

Siddharth Rangnekar: Thank you. Good morning, everyone and thank you for joining us on Tilaknagar Industries Limited's Q1 FY26 Earnings Conference Call. We are joined today by Chairman and Managing Director, Mr. Amit Dahanukar, President, Strategy & Corporate Development, Mr. Ameya Deshpande and Chief Financial Officer of the company, Mr. Abhinav Gupta.

We shall commence with views from Mr. Dahanukar on the strategic performance and financial highlights followed by the brief commentary from Mr. Deshpande on the acquisition of Imperial Blue business division. This shall be followed by an

interactive question and answer session. Before we commence, I would like to state that some of the statements made on today's call could be forward looking in nature and a disclaimer to this effect has been included in the results presentation that was shared with you earlier and which is also available on the stock exchange website. I would now like to invite Mr. Dahanukar to make his opening remarks. Over to you. Amit Dahanukar: Good morning, everyone. Happy to have you all join us on this earnings call to discuss the Q1 FY26 results. I will first provide a brief update on the current quarter's performance which will be followed by Ameya taking you through the recently announced acquisition of Imperial Blue.

After a challenging yet rewarding year, I am pleased to share that we have sustained a strong industry-leading growth trajectory supported by consistent and progressive changes in excise policies in some of our key states. During Q1, our volume performance was strong with growth at 26.5% YoY. Our NSR increased from . 1,182 per case in Q4 FY25 to Rs. 1,193 per case this quarter. The southern region has seen strong growth momentum in Q1 with market share improvement for TI in each of the key markets. We continue to be the 3rd largest IMFL P&A player in Telangana and Karnataka, both states where Whisky contributes more than 80% of IMFL consumption. Karnataka continues to see strong growth momentum in the P&A segment for the entire industry on the back of excise duty reduction during the middle of previous fiscal.

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On the portfolio front, our luxury and super-premium portfolio is showing promising signs. Monarch Legacy Edition Brandy, our first luxury foray, is now available in Maharashtra, Goa, and Puducherry. Q1 has also seen the commencement of our distribution of Samsara brands on the back of our usership agreement with Spaceman Spirits Lab, our investee company. Spaceman's premium portfolio, featuring Samsara Gin, Sitara Rum and Amara Vodka, is well positioned to be a key growth driver with our super-premium segment.

As part of our strategy, we will leverage our extensive and efficient distribution network to scale the reach of Spaceman Brands across select Indian states and international markets, unlocking significant value over the coming quarters. In terms of our strategic investment into Spaceman, you would have also seen the disclosure last week wherein we have announced our investment of more than Rs. 10 crore in Spaceman, taking our shareholding to 21.36% from 12.98%. This investment was a part of the previously announced investment round in September 2024, along with an additional secondary acquisition which we have made from some of the early shareholders. Our agreement with Spaceman gives us the option to further invest or acquire additional stake from shareholders at a pre-determined valuation, subject to Spaceman attaining pre-agreed milestones.

Our mass prestige portfolio, led by Mansion House and Courier Napoleon, continues to deliver strong performance. We remain committed to ensuring that Brandy's share of voice reflects its leadership in market share. As mentioned previously, we are stepping up our A&SP investments, which are already beginning to shift consumer perception positively. In line with this strategy, we have recently collaborated with one of South India's biggest superstars for Mansion House Packaged Drinking Water, showcasing its scale, strength, and sincerity. With continued focus on marketing and innovation, we are confident in positioning Brandy as a more aspirational and inclusive category. While Brandy continues to be our dominant category in the current portfolio, we have also made an entry into the semi-premium Whisky segment in the recent past with the relaunch of Mansion House Whisky in a new avatar. In addition to initially launching Mansion House Whisky in some northeastern states, we are now available in Telangana and some east India states like Odisha and West Bengal.

On the legal front, with respect to the trademark litigation, it gives me great pleasure to reiterate that the Honourable Bombay High Court has upheld TI's ownership of Mansion House and Savoy Club trademarks, ensuring continued, uninterrupted, and exclusive sale under these brands.

Before I hand over to Ameya to take you all through the Imperial Blue acquisition, I will briefly talk about our financial performance:

We saw a strong 31% YoY growth in net revenues, adjusted for the subsidy income of Rs. 38.6 crore, the growth was still robust at 20.5%. EBITDA in Q1 stood at Rs. 94 crore. Adjusted for subsidy income, this stood at RS. 56 crore, a YoY growth of 25%. EBITDA margin stood at 15.1%, an expansion of 55 basis points compared to last year, despite higher than usual legal costs on account of the trademark litigation which was at its peak during this period. On the input side, ENA and Glass prices have remained stable and we are hopeful of a continued conducive input cost

environment. Our focus drive on cash flow management continues and we now stand at a net cash level of Rs. 163 crore, showcasing our balance sheet strength. I would also like to provide an update on the recent announcement we have made regarding our wholly owned subsidiary Prag Distillery, while we recently received extension of the validity of the Letter of Intent for expansion of our bottling capacity from the Government of Andhra Pradesh, we have now received approval from our Pag

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Board of Directors to go ahead with the expansion for an investment of around Rs. 59 crore. This investment includes the Rs. 34 crore on account of the license fees and interest to be paid to the Government. Post this expansion, Prag capacities would have increased to around 36 lakh cases per annum and increased from around 6 lakh cases per annum as of today.

I will now handover to Ameya to take you through some of the salient points around our recently announced acquisition of Imperial Blue.

Ameya Deshpande: Thank you and a very warm welcome to everyone joining us today. As you would be aware, we have on the 23rd of July, 2025 executed definitive agreements with Pernod Ricard India to acquire the Imperial Blue business division on a slump sale basis for a lump-sum consideration basis enterprise value of approximately EUR 413 million. This amount includes a normalized working capital of approximately EUR 70 million and a deferred consideration of EUR 28 million payable at the end of 4 years, i.e. in FY 2030. The consideration payable to Pernod would be subject to certain closing adjustments and the deal is subject to regulatory approvals.

IB is the 3rd largest Whisky brand in India by volume with 25+ years of brand heritage. It sold more than 22 million cases across 27 states and union territories along with a strong international footprint. The acquisition of IB is a significant strategic step for Tilaknagar Industries as it will not only broaden the product and geographical footprint but also serve as a launch pad for TI's premium portfolio foray.

On the financials front, IB clocked a net revenue in excess of Rs. 3,000 crore for the trailing 12 months ending March 2025. We foresee a good number of operational synergies to play out post the acquisition which will enable us to increase EBITDA margins in the IB business division as well as at a combined level. As a part of the transaction, TI will be getting 16 manufacturing units of which 2 units will be owned. Further, TI will enter into a TSMA with Pernod whereby the seller has agreed to help in smooth transitioning of the business post-closing. We will also be entering into a long-term supply agreement with Chivas Brothers for the Concentrated Alcoholic Beverage (CAB), an essential raw material for manufacturing the IB products. In terms of financing the acquisition, we are looking at an optimal mix of equity and debt. We have already announced the board approval for a preferential issue of almost Rs. 2,300 crore. The balance will be funded through debt and further expect to reduce debt over time such that the Net Debt to EBITDA falls below 1.0x by FY29. Since the deal has not yet closed and remains subject to confidentiality obligations, we are unable to share additional details currently and hence we kindly request that participants refrain from asking any further questions related to this matter.

With that, I would now request the operator to open the call for Q&A.

Moderator: Thank you very much. We will start with the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama Wealth.

Abneesh Roy: Firstly, congrats on very good growth. I wanted to understand on the demand side, you have done quite well, highest ever Q1 volumes in the last 9-10 years. But when we see a lot of other discretionary segments, there is a challenge and now, we have seen job addition in the IT sector going slow. TCS, for example, 12,000 job losses have happened and across the IT sector, there is a challenge and South India clearly is the hub of IT sector jobs. So, from an outlook perspective, would you be slightly concerned on your current business and the market share gains, if you could talk about it, what has really led to this kind of performance? Near term, I think you will

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continue to do well. If you could talk about what are the key drivers for the market share gains. Thanks.

Amit Dahanukar: Abneesh, I think, we are not seeing any let up in demand, I think, as you would have seen from the Q1 volume numbers, growth in excess of 20%, quite robust uptake over there and we are not seeing any visible slowdown in any of the southern states as of now. And I would like Ameya to address in terms of market share gains, perhaps he will add more insights state-wise.

Ameya Deshpande: Abneesh, in terms of market share gains, we have seen significant market share gains across all key states, whether it is a state like Karnataka, which saw an excise duty reduction in the second half of last financial year. We have literally seen market shares over there grow significantly. That's predominantly on account of good growth that the Prestige and Above segment has seen in the industry. And we have kind of told those kind of growth as such. Just talking especially about Karnataka, we today are more than 2% of the overall IMFL market and when it comes to P&A IMFL, we are almost one-fourth of the entire market. So, that is the kind of growth that we have seen in market share. Now, similar, let's take, for instance Telangana; Telangana, we have seen more than 50 basis points of YoY kind of growth in market share. All of which are on the back of a very strong consumer franchise from a brand perspective. Obviously, we are investing more, even in terms of A&SP and so on and so forth. Good amount of growth coming from there as well, as well as the newer brands that we are launching. Mansion House Whisky is doing fairly well in the Northeast. It's a combination of multiple things in terms of a market share growth.

Abneesh Roy: Last question, in Maharashtra, what kind of presence you have and post the very sharp tax hike, if you could speak on the industry and for you, how do you see next 2-3 quarters? Thanks.

Amit Dahanukar: Maharashtra recently they have come out with an MML policy- Maharashtra Made Liquor which would be available for distilleries and bottling units in Maharashtra. We are still examining because the circular has come out very recently. We are examining the eligibility criterion, but that could perhaps be an interesting segment for us to operate in provided, of course, we are eligible.

Ameya Deshpande: And in terms of our presence in the state, as it stands with the current portfolio, we are extremely small in Maharashtra, it's low single digit saliency for us as a part of our overall portfolio.

Abneesh Roy: So, that part of the business, do you see any challenge and you also mentioned whether you will be eligible for MML. This will be decided essentially by the government, are the rules clear? Does that make it possible for you to understand whether you are eligible or not or it's completely government discretion?

Amit Dahanukar: Right now, we have not examined the circular in detail. I would refrain from making any comment regarding our eligibility.

Abneesh Roy: And what kind of impact do you think on the Maharashtra business? I know it's small, but still, if you could talk about ex of the MML, because that's not in your hand. Once the eligibility comes, then it will be clear. Ex of that, do you see double digit decline, volume decline for your part of the business? You are small, but still the challenge is there, right?

Ameya Deshpande: Yes, but we haven't really examined the impact of the revised duty structures, from that perspective, really not in a position to answer this question. And in any case, like you mentioned yourself, it's not needle moving, really.

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Abneesh Roy: But your prices would have changed. I am just asking whether your prices have been passed on because of the taxes that would have been done, right?

Ameya Deshpande: Yes. Basically, there will be an impact on business on account of price increase. But nothing significant.

Moderator: Thank you. Next question is from the line of Naitik Mutha from NV Alpha F

und.

Please go ahead.

Naitik Mutha: Thanks for taking my question. I wanted to know, first, if I adjust for the subsidy income during the quarter and I do that same for the last year's Q1, I see there's a drop in gross margin. Is my understanding correct one? And if yes, then what effect to this drop in gross margin if I adjust for the subsidy income?

Ameya Deshpande: You are comparing which quarter to which?

Naitik Mutha: YoY, so, Q1 FY25 to Q1 FY26.

Ameya Deshpande: This is on account of a reduction in the NSR in Andhra that we have seen. This is on account of that.

Naitik Mutha: This will continue, the current gross margin if I adjust for the subsidy, that rate will continue for the coming quarters because the prices have corrected?

Ameya Deshpande: Yes, you can use this as the base for any incremental uptick in margins going forward.

Naitik Mutha: Got it. Sir, the second question is, how much of the subsidy that we are getting from Maharashtra Government is still sort of remaining? If you could mention about that.

Ameya Deshpande: As we have mentioned earlier as well, this is not something that we can respond to. Yes, there is some additional subsidy that is expected, but frankly not in a position to quantify anything.

Naitik Mutha: Got it. And we book it as we receive it, this is the cash that we receive and then we

book it in our P&L?

Amit Dahanukar: Yes, that is correct.

Naitik Mutha: Got it. So, my next question is, in terms of the Northeast, if you could give me the market size and the potential that we can realize from there, from the Whisky that we have launched recently?

Ameya Deshpande: As it stands, our East and Northeast saliency as a total percentage of overall volumes is in the early to mid-single-digit range. Obviously, with Mansion House growing in these states, we do expect to increase the saliency for this region as such. Now, if you go to see Mansion House Whisky, purely in a couple of states from East and Northeast, the segment itself is a decent 6 million case market. There is a big play over there at that price point within Whisky. But in terms of where we get to by the end of it, that we will see over time. But yes, we do see East and Northeast playing an important role for us with our own portfolio as well as with the impending acquisition of IB.

Naitik Mutha: Right. And what would be our share currently out of the 6 million market roughly?

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Ameya Deshpande: It will be in low single digits as of now.

Naitik Mutha: And my last question is, just wanted one clarification on the acquisition. Rs. 3,000 crore revenue you mentioned, that is net of excise duty or it includes excise duty?

Ameya Deshpande: No, it's net of excise duty.

Moderator: Thank you. Next question is from the line of Shirish Pardeshi from Motilal Oswal. Please go ahead.

Shirish Pardeshi: Good afternoon and thanks for the opportunity and congratulations. Just one question, on the integration you did mention that 6 months' timeline is required for in Imperial Blue integration. What are the things at what stage we are if you can just give some sense?

Ameya Deshpande: See, the thing is that because we are still awaiting closure of the transaction, there is little information that we can provide on this front, except for the fact that there is a Transition Services Agreement, which also includes manufacturing within this whereby the seller would assist us in undertaking business as usual till the time all registrations and everything come into our hands. Along with that, there are certain other things which form a part of the slump sale where we are getting certain resources from them. But again, reiterating the same fact that because of confidentiality restrictions, not in a position to respond to those either, with regards to business as usual from a liquid perspective, we do have a long-term supply arrangement with Chivas Brothers for procuring the

ingredient of Imperial Blue.

Shirish Pardeshi: I got that what you are saying. You mentioned that it's 6 months' timeline. Are you optimistic or are you pessimistic or do you really think in 6 months everything will get in your hand? That's the only question I have.

Ameya Deshpande: I think as we move along, we will know. But yes, you can consider that 6 months is the integration time that we are looking at.

Moderator: Thank you. Next question is from the line of Suvaan Mittal from MFC. Please go ahead.

Suvaan Mittal: Thank you for the opportunity. I have only two questions lined up. On a QoQ basis, from Q4 to Q1, our EBITDA margin has decreased adjusted subsidy from 16.6% to 15%. Even though our gross margins have increased on a QoQ basis, like by 49 to 51. If you give some color, why the increase in gross margin is not translated to EBITDA?

Ameya Deshpande: Firstly, let me just clarify the gross margin has come down from 47.1% to 46.9%. Even in the gross margin you need to adjust the subsidy income, so that's the first thing. Secondly, with respect to why the reduction in EBITDA margin from 16.6% to 15.1%, as you would know that there have been higher legal costs that we had to undergo in this quarter. As well as A&SP reinvestment rates were slightly more than what they were in the previous quarter and add to that the fact that a little bit of operating leverage came into play. That's the reason why you're looking at a slightly lower EBITDA margin.

Suvaan Mittal: Okay, sir. Thank you. My second question being, when should the capacity increase in the Prag Distillery be expected to be completed and will it somewhere benefit us in our logistics costs? Because our major business is in Andhra and we have an increasing capacity of a sizable amount over there.

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Amit Dahanukar: Prag, we are confident that within 12 months, we will be operating at the expanded capacities.

Suvaan Mittal: And any benefit you foresee on the logistics costs?

Ameya Deshpande: No, this will be more in the bottling charges itself, that there will be benefits that come through. We are not quantifying the benefits. We have done the workings at our end, but we are not disclosing the workings. But these are significant benefits that we get on account of using our own hold-your-own subsidiary or our own unit as a bottling unit.

Moderator: We will move to our next participant. Next question is from Rishabh Gang from Sacheti Family. Please go ahead.

Rishabh Gang: I just wanted to understand what are the possibilities for expansion in the EBITDA margin for the existing business and what can be the drivers for the same?

Ameya Deshpande: See, as we keep premiumizing, obviously that will have an impact on EBITDA margins. Along with that, there are certain cost optimization initiatives that we are undertaking. Something that we have been speaking about over the past 3 quarters. These are yet to be fully baked in. It's happening and will continue to happen over the next couple of quarters. There will be certain level of savings or other margin expansion that you will see on that account as well. As we keep launching the newer brands, more premium brands across categories, you will see a little bit of an impact upfront from an A&SP reinvestment rate perspective as well. But from a long-term perspective, we do look at margins to hit our guided margins of around 16% to 17% or even beyond.

Rishabh Gang: And what optimization that you mentioned? If you can just give some more flavor on in which line item this optimization will happen.

Ameya Deshpande: This will be predominantly in the COGS. These relate to the packing material optimizations that we are undertaking, including on the logistic side of it.

Rishabh Gang: And whenever the legal costs decline, that will also help in the EBITDA margin, correct?

Ameya Deshpande: Yes, that's right.

Moderator:

Thank you. Next question is from the line of Anjali Bajaj from Naredi Investments. Please go ahead.

Anjali Bajaj: Thank you for giving me the opportunity. My question is regarding to how will you raise the money for Imperial Blue, either internal accruals or through debt?

Ameya Deshpande: There is already a disclosure that we have made with respect to the equity fund raise. The board has approved a preferential issue to the tune of almost Rs. 2,300 crore. It goes into shareholders' approval shortly. And fairly soon, we will have the funds raised through equity. Along with that, we are also raising debt for the balance portion. It's an optimal mix that we are using when it comes to funding this transaction of nearly 1:1.

Anjali Bajaj: And my second question is what is the subsidy policy from government? Company will receive further quarter also? will you give me detailed reply on the subsidy matter?

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Ameya Deshpande: No, I think we have responded to the question already. There is nothing further that we can add to that in terms of a response related to this. Essentially, all that we can say is that the subsidy relates to the industrial promotion subsidy that has been provided by the government of Maharashtra under the package scheme of incentives 2007.

Amit Dahanukar: And we are accounting for subsidy as it is received.

Moderator: Thank you. Next question is from the line of Aaditya Singh from Multi-Bagger. Please go ahead.

Aaditya Singh: First of all, congratulations on a great set of numbers. I had only one question. And the question was regarding the tax incident. When can we see the tax incident coming back?

Abhinav Gupta: Our appeal with additional income tax is still under discussion. We don't have any update on that. For prudent purpose, we suggest that from 1st July, you may assume full incident of tax And as and when we have an update from CITF, we will get back.

Aaditya Singh: And if I can just ask another question. If the tax incident comes back, how can we still manage to be one of the biggest players in the IMFL or AlcoBev industry?

Ameya Deshpande: I think when it comes to our own cash flow generations, these are extremely strong irrespective. We are a growing business. We run the business in an asset like model.

I think from an ongoing perspective, there is no concern on growth just because tax incident comes up upon. That's par for the course. That's the way business works.

We are not concerned about that aspect.

Moderator: Thank you. Next question is from line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Congratulations on a landmark acquisition you guys have completed. It's quite a leap in terms of where we were almost 7-8 years back from a debt-ridden balance sheet

to a debt-free balance sheet and now going again to a very large acquisition. I just wanted to understand once we have gone at a price of Rs. 4,100 – Rs. 4,200 crore for the acquisition, what was our valuation metrics or what was our guiding principle in coming to this number and how should we look for a payback for this number going ahead? If you can allude qualitatively or quantitatively, how should we look at it?

Ameya Deshpande: I think just to answer your question on the valuation metrics, obviously as a part of the entire valuation process, we did look at multiple valuation methods right from DCF to Trading Multiples, preceding transaction multiples, so on and so forth. But having said that, we won't be unfortunately be able to get into details in terms of how did we arrive at the numbers that we did. Given the scale of the business and given how much this adds to our own existing business in terms of even synergies and providing us a presence pan-India and across categories, we felt that the value that was paid was the right value.

Arpit Shah: Would it be fair to say that the margins that this portfolio has would be closer to what we make on

the brandy side or it will be low double-digit or high single-digit margins?

Amit Dahanukar: While we can't specifically comment on margin profile, I think the management and the board both believe that I think we have paid a fair price for the asset and we are going ahead with the funding also in a prudent way. And the company feels that the potential acquisition is very transformative in nature and really can reshape the

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identity of a company from a regional brandy player to a national player with presence in 2 of the largest categories in IMFL.

Ameya Deshpande: And if I am to give any comfort with regards to the financials and stuff, one thing is very clear that this is a Cash-EPS accretive transaction for us without getting into numbers, obviously that's something that we will get into post-closing but needless to say, this is a Cash-EPS accretive transaction for us.

Arpit Shah: Got it. If you can just comment qualitatively, what are the kind of synergies we have between the brandy and the Whisky portfolio and how should we look at it in terms of synergies going ahead in terms of qualitatively, in terms of distribution, raw materials or anything of that sort?

Ameya Deshpande: See, IB is a pan-India player with a pretty strong distribution and presence in Southern India. That's a known fact and that is something that I think has tremendous synergistic benefits for us as well. So that is one piece of it. The second piece of it is that obviously from a team perspective or rather from an organization set-up perspective we are present in many of the states that IB sells in today. These are the kind of synergy benefits that we get in terms of margin kickers from where the IB financials would be right now.

Arpit Shah: Got it. And in terms of volume growth for the last couple of years it has been almost flattish because the focus was not there for them to scale up this brand. How should you look in terms of volume growth going ahead at least for this brand? Are there low-hanging fruits where we can scale up the volumes really fast?

Amit Dahanukar: See, I think as part of the Amaya's opening remarks we have shared a few details with regard to the transaction. I am afraid at this stage since we are between signing and closing, we can't comment or share further details at this stage.

Moderator: Thank you. Next question is from the line of Daksh Malhotra from Aadriv Global. Please go ahead.

Daksh Malhotra: Thank you for the opportunity. And once again congratulations on the acquisition of Imperial Blue, quite a landmark deal. I had a couple of questions. First, in just continuation to the previous one, I understand that while we are closing, we can't disclose the existing margins. But can you sort of give some guidance and given that we know the revenue is ballpark Rs. 3,000 – Rs. 3,200 crore for Imperial Blue what can be the consolidated margin once the transaction is done probably for FY26 or FY27?

Ameya Deshpande: Sincerely, we are very sorry but we are not guiding towards the combined business as it stands today. We will be more than happy to answer any questions once the closing happens.

Daksh Malhotra: Okay, fair enough. Also, for the transaction we have done an equity fundraise but the discount to the existing price was quite substantial. Usually the trend is probably 10%-12%-15% from the CMP that to sort of fundraise. Can you just sort of elaborate on the reasons behind giving such a heavy discount to the floor price?

Ameya Deshpande: I think it wasn't a discount to the floor price if anything it was at the floor price and the pricing for the pref-issue was purely determined by the SEBI minimum pricing that works for preferential issues which was essentially 10 trading days or 90 trading days VWAP whichever is higher, and we went by that pricing. Frankly, it just so happened that it was at a significant discount but that was the pricing method.

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Moderator: Thank you. Next question is from Nishita from Sapphire Capital. Please go ahead.

Nishita: I just wanted to know what revenue guidance and margin guidance you are giving for FY26 and FY27?

Ameya Deshpande: In terms of the revenue guidance, you are looking at mid to high teen kind of revenue growth for FY26 followed by around mid-teen kind of growth for FY27. With respect to margins, the margin guidance that we are providing towards is around 15%-16.5% for FY26 and for FY27 onwards you can look at 15.5%-17.5%.

Nishita: And this is without taking into consideration the effect of the acquisition. Once you can give us the number, the margin guidance can change?

Ameya Deshpande: Yes. This is steady state business, pre-acquisition.

Moderator: Thank you. Next question is from line of Pranav Malhotra from Starship India. Please go ahead.

Pranav Malhotra: Congratulations on a good set of numbers. My question was pertaining to the NSR.

What NSR do we expect for the year considering like it's come to Rs. 1205 this time?

As like you have product launches in H2, could you also throw some light on that?

Like the new product launches that you have and if your NSR will improve going forward?

Ameya Deshpande: So, you are looking at the NSRs per case to increase from the current stage which is around Rs. 1,193 per case. Right now, that the base has been set from a pricing perspective including the AP impact you can consider an increase on the per case NSRs as such. The range would be anywhere between 1%-2% growth in NSR per case on a yearly basis on existing business.

Pranav Malhotra: Right, so around Rs. 1,190 – Rs. 1,200?

Ameya Deshpande: Yes.

Pranav Malhotra: My next question was regarding the revenue contribution of your royalty brand. Like, could you please share that number?

Ameya Deshpande: No, that's not a segregation that we provide currently. Having said that, it's a fairly small part of our revenues, very small.

Pranav Malhotra: Right. But the growth expected there is really high. Considering that you have increased the stakes from Rs. 13 crore to Rs. 20 crore the revenue growth there can be really high, right?

Ameya Deshpande: Yes. These are high NSR products. There is tremendous potential in that business in the entire Spaceman portfolio. So, that's fair to say that there is good growth potential over there but having said that we are not guiding for Spaceman portfolio currently.

Pranav Malhotra: And regarding the volume you have achieved 32 lakhs in this quarter, I believe. So, will this be the new base for this year? The run rate will be above 32 lakhs per quarter?

Ameya Deshpande: Yes, that's right.

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Pranav Malhotra: Is it possible to give a yearly number like for the year how many cases is the management expecting to sell?

Ameya Deshpande: Like I mentioned in my earlier guidance statement as well, we are looking at high teen growth for this year.

Pranav Malhotra: So, like 13.5 to 14 million cases this year?

Ameya Deshpande: Yes. Closer to 14.

Moderator: Next question is from line of Heer Gogri from Choice Institutional Equities. Please, go ahead.

Heer Gogri: Congratulations for the good set of numbers. I wanted to understand, Imperial Blue business is it going to attract 50% excise duty or is it lower or any higher?

Ameya Deshpande: It would be kind of similar to our existing business.

Heer Gogri: Okay, got it. And the second question would be going forward; how do we look at the portfolio diversification? Currently, we were standing at 90% brandy heavy portfolio.

And I think last quarter, you did mention we were looking at 80 to 20 diversification or 80 considering brandy. But now I think it is going to change with Whisky coming in and Imperial Blue Whisky, of course. What is the diversification going forward?

Ameya Deshpande: As you would see on slide #16 of the earnings presentation you will see that we have

given a segregation of how the pro forma portfolio would look like. Essentially you are looking at two-thirds of the business being Whisky in steady state, current state business. Brandy having a more than 30% saliency on top of that.

Moderator: Thank you. Next question is from Amit Vora from Ginar Consultants. Please, go ahead.

Amit Vora: Thanks for the opportunity and congrats on a good set of numbers. Just two questions. You have mentioned that there were high legal charges. If you can quantify that for the quarter. I am sorry if I missed that if you have answered it.

Ameya Deshpande: No, I don't think we will quantify that but there was a 100 basis points increase on a YoY basis. Let me just leave it at that.

Amit Vora: Okay, just to understand because this is a one-off. That was the whole point to understand that. That's helpful. Second thing I understand you have mentioned that you don't want to give more details on the IB acquisition. Just something which is related to FY25 is on the margins. If you can just give a number on the EBITDA margins that IB has currently. Will it be possible?

Ameya Deshpande: No. I would if I could but I can't. Sorry. We will not be able to disclose the EBITDA number for the moment.

Amit Vora: Okay, just one thing. If you can just tell that it's profitable at both PAT and EBITDA level. Is that a fair assessment?

Ameya Deshpande: It's a carve-out so there is no concept of PAT over here but yes, it is profitable at EBITDA level.

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Amit Vora: Perfect. We will wait for further details on once the acquisition is complete. All the best. Thank you.

Ameya Deshpande: Thank you.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Amit Dahanukar: Thank you all for joining today's call and for your continued interest in our progress.

As we look ahead, we are incredibly excited about the opportunities that lie before us in the coming quarters and years. While we fully recognize that the path ahead will present challenges, we are confident that we have identified the critical areas both short-term and long-term that will drive our success. We are equally excited to have you with us on this journey as we work to establish ourselves as one of India's leading pan-India IMFL players spanning multiple categories and premium price points. Thank you once again for your time and support. We look forward to reconnecting with you soon.

Disclaimer: This is a transcription and may contain transcription errors. The document has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to maintain a high level of accuracy.

Call: Nov 2025

November 18, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra-Kurla Complex, Bandra (East),
Mumbai-400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call held for Q2 H1 FY26 results

Dear Sir/Madam,

With reference to our letter dated November 08, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Friday, November 14, 2025 to discuss the Q2 H1 FY26 results.

The same is available on the website of the Company at www.tilind.com .

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary & Compliance Officer

Encl: a/a

Page 1 of 12

Tilaknagar Industries Limited

Q2 & H1 FY26 Earnings Conference Call Transcript
November 14, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Tilaknagar Industries Limited Q2 FY26 Earnings Conference Call.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India.

Thank you, and over to you, sir.

Siddharth Rangnekar: Thank you. Good morning, everyone and thank you for joining us on Tilaknagar Industries Q2 & H1 FY26 Earnings Conference Call. We have with us today Chairman and Managing Director, Mr. Amit Dahanukar and President, Strategy and Corporate Development, Mr. Ameya Deshpande. We shall commence with views from Mr. Dahanukar on the strategic performance and this shall be followed by Mr. Deshpande on the financial highlights, after which we shall open for Q&A session. Before we commence, kindly note that the call could contain certain forward-looking statements and a detailed disclaimer has been included in the results

presentation that has been uploaded on the stock exchange website. I would now like to invite Mr. Dahanukar to make his opening remarks. Over to you, Mr. Dahanukar.

Amit Dahanukar: Good morning, everyone. Happy to have you all join us on this earnings call to discuss the Q2 and H1 FY26 results. The second quarter maintained the strong growth trajectory of recent quarters, underscoring the continued success of our premiumization strategy and focused execution. Our brands, building on a robust first quarter, enjoyed healthy consumer traction across key markets.

During Q2, our volume performance was strong with growth at 16.2% YoY. Our NSR increased from Rs. 1,193 per case in Q1 FY26 to Rs. 1,215 per case this quarter, demonstrating a 1.8% growth on a QoQ basis. The Southern region has
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seen strong growth momentum in Q2 with market share improvement for TI in most of the key markets.

The market share gains were driven by the strong performance of our existing portfolio, which continued to take share from the competition and by incremental gains from the introduction of our brands in new territories.

On the portfolio front, our luxury and super premium portfolio is showing promising signs. Monarch Legacy Edition Brandy, our first luxury foray was launched in Odisha, Kerala and Karnataka markets and has also been recently introduced in Hyderabad Duty Free. Monarch Legacy Edition Brandy is now available in 6 states, and we will continue to expand its presence across more key markets, further cementing our premiumization journey.

We have expanded distribution through our usership agreement with Spaceman Spirits Lab (SSL) in Q2. We have started the distribution of SSL portfolio in Odisha and Puducherry markets and have started exporting the portfolio to select international markets. We will continue to leverage

our distribution strength to scale

the reach of Spaceman brands across certain Indian states and international markets, unlocking significant value over the coming quarters. As on date, we own 21.36% of SSL with a clear intent to increase our stake in times to come.

Our mass prestige portfolio, led by Mansion House Brandy and Courier Napoleon Brandy continues to deliver strong performance. We remain committed to ensuring that Brandy's share of voice reflects its leadership in market share. As mentioned previously, we are stepping up our A&SP investments, which are already beginning to shift consumer perception positively. With continued focus on marketing and innovation, we are confident in positioning Brandy as a more aspirational and inclusive category.

While Brandy continues to anchor our portfolio, we are seeing strong traction with Mansion House Whisky in the semi-premium whisky category. The brand is now available in Northeastern states, West Bengal, Odisha, Telangana, Puducherry and Kerala, and we will continue to widen its distribution footprint across new markets. Before I hand over to Ameya to take you through the financials highlights, I will briefly talk about the progress we have made on the Imperial Blue acquisition. We have achieved a major milestone in the acquisition of the Imperial Blue business division from Pernod Ricard India. The Competition Commission of India granted approval for the transaction on 7th October 2025.

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We have made substantial progress on the integration front with a number of talented professionals joining us across various functions, further strengthening our organizational capabilities. The transaction is expected to be completed in Q3 FY26 and we look forward to welcoming Imperial Blue into our fold.

During the quarter, we also announced a preferential issue of equity shares and warrants for an amount of Rs. 2,296 crore. During the quarter, we received Rs. 986 crore from the preferential issue on account of equity subscription and 25% of warrants' subscription. The fundraise saw strong participation from both marquee institutional investors and the promoter group.

The Imperial Blue acquisition will be funded through an almost equal combination of equity and debt, ensuring a prudent and well-balanced capital structure. Since the deal has not yet closed and remains subject to confidentiality obligations, we continue to be unable to share additional details currently. And hence, we kindly request that participants refrain from asking any further questions related to this matter.

I will now hand over to Ameya to take you through the operational and financial performance in greater detail.

Ameya Deshpande: Thank you, and a very warm welcome to everyone joining us today. I will walk you

through our financial highlights for Q2 and H1 FY26.

As mentioned by Mr. Dahanukar, we have sustained our strong growth momentum. Our revenues for the quarter stood at Rs. 398 crore with underlying volume growth of 16.2% and revenue adjusted for subsidy growth of 9.3%. For H1 FY26, we clocked a net revenue of Rs. 807 crore, a growth of 17.4% YoY. Our net sales realization per case grew 1.8% to Rs. 1,215 in Q2 from Rs. 1,193 in Q1. We have seen sequential growth in NSR since Q3 FY25.

Q2 also marked another strong quarter in our profitability journey with EBITDA of Rs. 60 crore. Adjusted for the subsidy income of Rs. 10 crore in Q2 FY25, the EBITDA growth was 8.2% YoY. EBITDA margins for Q2 FY25 came in at 15.1% and for H1 FY26 stood at Rs. 155 crore, reflecting a margin of 19.2%; adjusted for subsidy income, the margin was 15.1% compared to 14.9% for the corresponding period last year.

Once the Imperial Blue deal closure is achieved, we will come back with revised margin guidance on the combined business.

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On the input side, ENA and glass prices have remained stable, and we are hopeful of a continued conducive inp

ut cost environment.

PAT for Q2 stood at Rs. 53 crore, adjusted for subsidy income, PAT grew 10.0% YoY. For H1 FY26, PAT excluding subsidy grew 24.5% to Rs. 103 crore from Rs. 82 crore in H1 FY25.

Our net cash position as of September 2025 stands at Rs. 1,086 crore on account of proceeds of Rs. 986 crore from a preferential issue of equity and 25% of warrants' subscription.

With that, I would now request the operator to open the call for Q&A.

Moderator: Thank you very much. We will now begin the Q&A session. The first question is from Abhneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Thanks, sir. Two questions. My first question is in your key markets, if you could talk about, is there any increase in competition because the other players are also saying that they want to go bigger in Brandy. And specific on Andhra market, if you could tell us in the earlier government, how was your market share? With overall regulations and the opening up, how that has impacted? And in second year of opening up, every other player is quite confident that good double-digit growth should continue. What will be your take on your growth in Andhra market? That is the first question.

Amit Dahanukar: As far as Andhra market is concerned, Abneesh, we are seeing good growth in Andhra market. Ameya can comment on the specifics. But in terms of market share, exit market share with the earlier regime was approximately 10% and currently, it stands at around 12%. We have seen an improvement in our market share.

Ameya Deshpande: Yes, that is correct. I think the way the industry has shaped up, right, basically with retail becoming private as well as increase in the store timings, we have seen significant growth in the overall industry in the state. The state, essentially in the first half of this financial year in terms of volumes has grown by more than 20%. Now obviously, as we move forward, this growth will taper down for the industry on the back of a higher base. But having said that, we do foresee good growth coming out of the industry, with us growing at a faster rate.

Abneesh Roy: And you would have gained market share from local players in Andhra?

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Ameya Deshpande: Yes, we would have gained market share predominantly from local players. So, it is the pan-India players who have come to the fore in the category or rather in the industry.

Abneesh Roy: Sure. Last question, in Maharashtra, any color you can share because overall, the state taxes are much higher. What is your take on the industry? And anything you can share on your numbers?

Amit Dahanukar: So difficult to share right now in terms of how we see it evolving. It is a very new, I think the MML has been introduced only about one month ago. For our existing portfolio, which is very limited, it has limited impact. But going forward, we have to watch this space to see how it evolves.

Ameya Deshpande: And just from an industry perspective, the industry from our understanding has degrown by around 20%, the IMFL industry. But having said that, September was actually the first month where volumes grew sequentially on a month-on-month basis. But essentially, like Mr. Dahanukar said, still pretty early days we will refrain from talking too much about it.

Abneesh Roy: One follow-up there. We understand pricing of MML is quite aggressive. In terms of

would you be able to participate there? And what are the regulations, what are the entry barriers there? Who are the key players in MML?

Amit Dahanukar: As regards to MML, we are looking at it very closely and there are certain considerations as per the policy, which are being assessed. So, for the moment, we will refrain from commenting on our participation in this segment.

Abneesh Roy: And who are the key players?

Ameya Deshpande: There are a few local players who have come into this segment right now.

Moderator: Thank you. The next question is from Harsh Shah from Band

han Asset

Management. Please go ahead.

Harsh Shah: Yes. Hi, good afternoon. Again, see my question again was on Maharashtra Made Liquor. So, is it that the point regarding FII investments, which is mentioned in the policy document, somehow, I mean, the point of bone of contention for us or let us say if that would not have been, would we participate in MML?

Amit Dahanukar: As I had mentioned earlier, Harsh, we are looking at it very closely. There are certain considerations as per the policy, which are being assessed. So, for the

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current moment, we will refrain from commenting on our participation in this segment.

Harsh Shah: But what would be, I mean, the considerations which basically, I mean, apart from this foreign holding, which would stop us, or would you want us to invest in this segment?

Ameya Deshpande: Harsh, there are certain internal considerations that we are looking at. So kindly allow us to not talk about this for the moment. At the right time, we will speak about it.

Harsh Shah: Okay. So, I just wanted to know, Ameya, is it more internal or is it more policy-related, which is being considered currently?

Ameya Deshpande: Yes internal deliberations on the policy-related matters.

Harsh Shah: Okay. Fine.

Moderator: Thank you. Next question is from Karan Kamdar from Choice Institutional Equities. Please go ahead.

Karan Kamdar: Hello, sir. Good morning. I just wanted to ask about an update on the Prag project. What are our plans and what do we plan to manufacture there? And what kind of capacity are we expecting in the first year?

Ameya Deshpande: Yes. So, the thing over there is that, as we have mentioned in our disclosure as well, the Prag capacities are being expanded from around 6 lakh cases per annum to around 36 lakh cases per annum. It is a fairly large project. But the reason for undertaking this project is given the strategic importance that Andhra as a state has for us. It is the largest state for us in the current scheme of things and even with the impending acquisition of Imperial Blue, it will only get bigger. So, from that perspective, a very critical project. In terms of timeline, we have disclosed that this will be done over a 12-month period. Whilst we have made the payments for the license fees, in relation to the capex outlay that we had mentioned of around Rs. 59 crore, Rs. 34 crore has already been paid in Q2. And we have also started placing orders for the balance equipment. You should be looking at commissioning of this project by the first half of FY27.

Karan Kamdar: Okay. Got it. I understand we have like a usership agreement with Spaceman. Will we also be able to manufacture Spaceman Spirits products at the Prag Distillery or is that not in the plan currently?

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Ameya Deshpande: As of now, not contemplated.

Karan Kamdar: Okay. And just one last question, if I can. How do you see these synergies expanding with Spaceman and Imperial Blue? Like do you see any synergies coming in? I understand you would not want to talk about Imperial Blue, but just on the Spaceman bit, what kind of synergies do you expect?

Ameya Deshpande: Yes. The synergies have already started. As mentioned by Mr. Dahanukar earlier in the opening remarks, under our usership agreement with Spaceman, we have already started distributing their products in certain states, and that will only expand in times to come. But beyond just distributing Spaceman brands, what it also does is at a very practical level with our own intent and vision for our super premium and luxury portfolio, it enables us to have a bouquet and a basket of premium, super premium products that we can go to the market with. Essentially, with the Spaceman portfolio, Tilaknagar Industries is going to be present across all major categories in IMFL. So that will be brandy, gin, rum, vodka as well as whiskey that we have alluded to earlier that we are going to be launching a new I

luxury whiskey

fairly soon.

Moderator: Thank you. Next question is from Chetan Mahadik from Systematix Group. Please go ahead.

Chetan Mahadik: Yes. Hi, thank you for the opportunity. Just one question on Andhra. How do you see the saliency of brandy in AP going ahead, say, with national players who have entered the market? And I believe the brandy saliency was around, say, 30%-35% in the state. So, if you can comment on this?

Amit Dahanukar: Yes. You are right, it is around 30%-35% the saliency of brandy in Andhra market.

Chetan Mahadik: Yes. Do you think like will this reduce or grow going ahead like with the national players coming in?

Ameya Deshpande: See, the thing is we already have a good number of quarters behind us, since the new policy. It has been almost a year now with the new policy coming in and frankly, that is enough time to see any kind of change that could have happened in the industry, and we really have not seen much change from a saliency perspective. Whilst whiskey continues to remain the larger category in terms of volumes with brandy being a close second, that position continues. We have not seen anything change dramatically from a category shift perspective.

Moderator: Thank you. Next question is from Heer Gogri from Choice Equities. Please go ahead.

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Heer Gogri: Yes. Hello. Thank you for the opportunity. I wanted to understand, are there any new brand launches in the pipeline? I believe Samsara has two new flavours upcoming and you also mentioned the new luxury whiskey. Do we have any timeline for it?

Amit Dahanukar: The luxury whiskey will be launched in this quarter and the 2 new extensions of Samsara, which you are alluding to, that is Jamun & Pink Salt and Mango & Jalapeno that is already been launched in Goa. So that is already in the market right now. And soon to be rolled out in more states.

Ameya Deshpande: So we will also pick up those brands for our distribution. Currently, we are not doing that because we do not distribute in Goa for Spaceman. But yes, we will be introducing those brands soon enough.

Heer Gogri: Okay. Got it. And any guidance on the overall market and Tilaknagar in the coming quarter that you can share?

Ameya Deshpande: We would not talk from a QoQ basis. But just talking on a standalone level for Tilaknagar Industries because we are refraining from guiding on the Imperial Blue business. What we can tell you is that this year, we are looking at for FY26, a mid-teen kind of volume growth, with FY27 and FY28 moving to low double digit to early teens kind of growth.

On the revenue front, while this year FY26 will be marginally lower than the volume growth on account of a higher base in NSR in H1 FY25. From next year onwards, you can consider around 200 to 300 basis points incremental revenue growth over and above the volume growth that we have guided towards.

In terms of EBITDA margin, FY26 you should be looking at somewhat similar margins as what you have seen in H1, maybe slightly higher than that, but thereabouts. But FY27 - FY28, you are looking at around 16%-odd, but this is all on a standalone basis. Once IB comes in, we will give you a combined guidance as well.

Moderator: Thank you. The next question is from Abhishek Sharma from Krishna Kripa Holding Private Limited. Please go ahead.

Abhishek Sharma: Hello. Sir, basically, my question is regarding the excise duty, which has been increased by 15% in the financial year 2025-2026. Can the management clarify that whether this is due to any changes in the policy and how the management is going to expect this policy changes to impact margin going forward?

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Amit Dahanukar: Which state you are referring to?

Abhishek Sharma: Sir, overall. Basically, our excise has been increased by 15.4%.

Ameya Deshpande: Yes. Okay. Understood. Abhishek, this is a function of the state mix. State mix as well as product mix. So, it will be difficult to

guide as to what the increase in excise

duties will be. Frankly, from a business perspective, what really matters is the net revenue, net of excise. So, we have guided for that. We would not be able to guide on the excise duties because also it is a non controllable from our perspective.

Abhishek Sharma: Okay. Sir, and the following question is regarding the closing inventory for the year is almost negligible compared to last year. Last year on the same quarter, we were having the inventory around Rs. 9.16 crore closing inventory. And now it is only near about Rs. 13 lakhs.

Ameya Deshpande: Which inventory are you talking about?

Abhishek Sharma: Closing inventory. Basically, the WIP and the finished goods.

Ameya Deshpande: Okay. So, this quarter, you are looking at as of September, inventory of around 18.5 days. And in the previous quarter, which is Q2 of FY25, 1 year back, you were looking at around 15 days of inventory. It is just in the expectation of higher demand. With the way Andhra is also growing as well as Karnataka and all, we are obviously relatively higher stocked up for a stronger Q3 as compared to last year.

Moderator: Thank you. The next question is from Nishant Kumar from KPRE. Please go ahead.

Nishant Kumar: As per the acquisition plan of IB, what integration has been done so far for the employees or for the brand part? What portion of acquisition has been completed?

Amit Dahanukar: As I had mentioned in my opening remarks, we have received the CCI approval on October 7th and we expect to close the transaction in this quarter. The integration efforts have taken very good shape, and a lot of talented professionals have been onboarded. And we are very confident of successfully establishing Imperial Blue, while we continue to grow Mansion House Brandy as well.

Nishant Kumar: Sir, if you can specify how much portion of the talented professionals which you are taking from Imperial Blue?

Ameya Deshpande: No. We are under confidentiality obligations. We will not be sharing the number of employees that we are getting from Pernod Ricard. We will share all information that we can share post closing. With regards to integration and thereby post closing
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as well, as we have mentioned earlier, we are also getting certain access to assets from Pernod Ricard for business continuity, which also includes manufacturing units and so on and so forth. A good amount of work has been taking place and will continue to take place by closing and post as well.

Moderator: Thank you. The next question is from Karan Rajput from B&K Securities. Please go ahead.

Karan Rajput: Yes. Sir I wanted to know, we all know what kind of debt trajectory we have seen and we have recovered from that thing. Now going forward also we are likely to raise debt for the Imperial Blue acquisition. So, wanted to know how the debt trajectory will look like going forward and how will we manage the cash?

Amit Dahanukar: As earlier also, we had indicated that the acquisition is being funded almost 1:1 ratio, equal combination of debt and equity. The equity we are raising through preferential route and the debt also has been tied up. It is approximately 1:1, which we believe is a very prudent way of managing our balance sheet.

Ameya Deshpande: And also, in terms of the kind of debt, because this is a slump sale. The acquisition is on the back of a slump sale, this is bank end-use fundable. We are raising debt from banks predominantly with a reasonable horizon in terms of repayment schedules as well as moratorium, so on and so forth.

Moderator: Thank you. The next question is from Raghav Rathi from Quadren Holdings. Please go ahead.

Raghav Rathi: Good afternoon. Thank you for taking my question. So, you had indicated that the volume growth has been 16.2%, and there was an NSR drop of 4.2%. But we have shown that there is a growth of around 9%, but there should be a growth of around 12%. So, li

ke the numbers are not matching. Why?

Ameya Deshpande: That is because there is a subsidy income.

Raghav Rathi: Adjusted subsidy.

Ameya Deshpande: Yes. So adjusted for subsidy is approximately 9.3%. That is what you are referring to, right?

Raghav Rathi: Yes. But adjusted to subsidy, like according to the volume growth and the NSR decline, there should have been around 12% growth, right?

Ameya Deshpande: We are just going to look at the data and get back. This could also be on account of Tamil Nadu volumes, which do not get considered as a part of the NSR since

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that is on a royalty basis as well as Samsara business, which is also on a royalty basis.

Raghav Rathi: Okay.

Ameya Deshpande: Yes. I have got that confirmed. Our volumes do not include Samsara, but they are a part of the net revenue as well.

Raghav Rathi: All right.

Moderator: Thank you. We move to the next question. The next question is from Aaditya Singh from Multi-Bagger Stocks. Please go ahead.

Aaditya Singh: I only had one question regarding the tax incidence. Last time we talked on Q1 FY26 concall, you said that we should assume the tax incidence from that quarter.

Should we assume the tax incidence from third quarter or the fourth quarter?

Ameya Deshpande: Yes. See, as per our total losses as of March 2024, right, as per the assessment order, which we have received in March 2025 stands at around Rs. 33 crore. Now the company has filed an appeal against the said additions and disallowances and expects a favorable order. But having said that, see, the thing is now with, Q3 onwards, you are going to get Imperial Blue as a part of Tilaknagar Industries. And with that, there will be certain amount of amortization that will come into play once IB comes into Tilaknagar financials. Frankly, we do not expect any tax incidence Q3 onwards as well once closing is done.

Moderator: Thank you. The next question is from Chetan Patel, who is an individual investor. Please go ahead.

Chetan Patel: My question is the fall in net profit is due to increase in excise. So that is one question. Another thing is decrease in NSR is because of fall in price in Andhra Pradesh. I wanted to know what could probably happen in next one or two quarters?

Ameya Deshpande: Yes. So, with regards to NSR, you should consider that the NSR will increase. See, the base has been set. So going forward, NSRs will increase. If you look at our NSR for Q3 FY25 as well, that is significantly below the current NSR that we have shared. Q3 last year was Rs. 1,161. We will surely do much better given the fact that Q2 FY26 itself is Rs.1,215. So going forward now, we are not going to face any revenue impact on account of a lower NSR. So that should be favorable going forward. And sorry, your other question was on PAT, right?

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Chetan Patel: Increase in excise duty compared to last quarter.

Ameya Deshpande: No, like I mentioned earlier as well, excise duty is above net revenue. So, it does not really impact PAT or margins as such. But having said that, just to answer your question of the increase in excise duty by around 15%-odd, like I mentioned earlier, it is a function of state mix.

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Amit Dahanukar: Thank you all for joining us today and for your continued interest in Tilaknagar Industries. This has been an important quarter for us, marked by meaningful progress on several strategic fronts. We remain focused on short and long-term priorities that will shape our success. With the recent CCI approval now in place, we are well positioned to accelerate the next phase of our long-term growth journey. The approval strengthens our ability to pursue new opportunities and advance our ambition of becoming a pan-India IMFL player across categories within the P&A segment. We

are excited about what lies ahead and deeply value your continued support as we build on this momentum. Thank you once again for your time today. We look forward to staying closely engaged with you in the coming quarters.

Disclaimer: This is a transcription and may contain transcription errors. The document has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to maintain a high level of accuracy.

Call: Feb 2026

February 19, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra-Kurla Complex, Bandra (East),
Mumbai-400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call held for Q3 FY26 results

Dear Sir/Madam,

With reference to our letter dated February 10, 2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Friday, February 13, 2026 to discuss the Q3 FY26 results.

The same is available on the website of the Company at www.tilind.com.

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Minuzeer Bamboat
Company Secretary, Compliance Officer & Head – Legal

Encl: a/a

Page 1 of 10

Tilaknagar Industries Limited

Q3 FY26 Earnings Conference Call Transcript
February 13, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Tilaknagar Industries Limited Earnings Conference Call.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you, and over to you, sir.

Siddharth Rangnekar: Thank you for joining us on Tilaknagar Industries Q3 FY26 Earnings Conference Call. We are joined today by Chairman and Managing Director, Mr. Amit Dahanukar, Chief Strategy Officer, Mr. Ameya Deshpande; and Mr. Rajesh Choudhary, Chief Financial Officer of the company.

We shall commence with views from Mr. Amit Dahanukar on the closing of the Imperial Blue acquisition, performance and financial highlights, followed by a brief commentary from Mr. Deshpande on the integration of Imperial Blue and the strategy going ahead. This shall be followed by an interactive question-and-answer session. Before we commence, I would like to state that certain comments made on today's

call could be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation, that is available on the stock exchange website, and which has been mailed to you. I would now like to request Mr. Dahanukar to make his opening remarks. Over to you.

Amit Dahanukar: Good evening, everyone. Happy to have you all join us on this earnings call to discuss the Q3 FY26 results. This is also the first quarter where we will report on the performance of Imperial Blue business division. We completed the acquisition of Imperial Blue on 30th November, and the current quarter's financials include Imperial Blue for the month of December 2025. I will provide an update on the current quarter's performance, which will be followed by Ameya taking you through the integration of Imperial Blue.

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In the very first month of Imperial Blue under TI ownership, we achieved a combined secondary sale of 2.1 million cases in Southern India in the month of December. This resulted in TI emerging as the largest prestige and above IMFL player with a 32% market share. Specifically, on IB, TI delivered an impressive volume of 1.8 million cases in December across India. On the back of this promising start, we are confident of restoring IB's leadership position and make it India's largest selling whisky. During Q3, our overall volumes increased by 76.1% on a YoY basis, reaching 5.3 million cases. Excluding IB, our volumes increased by 16.8% to reach 3.5 million cases. For the 9 months ended 31st December 2025, the volumes increased by 40.5% to reach 11.9 million cases, and excluding IB, the volumes increased by 19.5% to reach 10.1 million cases.

I will now cover the financial performance for Q3 FY26 and 9 months FY26. We have witnessed a strong growth of 90.5% on a YoY basis to reach a net revenue of Rs. 664 crore. Adjusted for subsidy, we recorded a growth of 89.2%. EBITDA stood at Rs. 110 crore for Q3 FY26, clocking a growth of 82.3% and margin of 16.6%. Adjusted for subsidy, the EBITDA grew by 49.6% to reach Rs. 90 crore, a 14% margin on the combined business.

For the 9 months ended December 2025, our revenue grew at 43.1% to reach Rs. 1,471 crore. Adjusted for subsidy, we still clocked a growth of 39.5% to reach Rs. 1,413 crore. In the same period, EBITDA grew by 50% to reach Rs. 265 crore. Adjusted for subsidy, the EBITDA was Rs. 206 crore, a 28.5% increase vis-a-vis the preceding 9 months.

We have incurred an exceptional expense to the tune of Rs. 169 crore during Q3 FY26 on account of transaction-related costs and TSMA fees.

In terms of our portfolio-related updates, during this quarter, we launched our luxury whisky, Seven Islands Pure Malt whisky in the state of Maharashtra and certain export markets. This was soon followed by launch in Puducherry. Seven Islands is inspired by the city of Mumbai, which was earlier seven islands joined by the sea. It contains 4 malt spirits from Himalayas, Vindhyas, Speyside and Lowlands, each adding a distinctive characteristic.

While we are reaching new heights with the acquisition of Imperial Blue and launch of luxury products under "House of TI", we continue to also focus on the brandy market with an aim to maintain category leadership. With a significant stronghold in two of the largest IMFL categories, we are now truly a pan-India and pan-category P&A focused player.

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On the debt side, we have taken on debt to the tune of Rs. 2,100 crore from banks and NBFCs. The loan is subject to principal moratorium for the first 2 years of the 6 years tenure, followed by a ballooning repayment structure with majority principal only due in the last year.

During the year, we have received Rs. 2,093 crore as a part of the preferential issue. This includes proceeds received in the current quarter upon initiation of warrant conversion by all public investors. Warrants held by the promoter group will be converted during the upcoming fiscal year.

On CAPEX related to our Prag bottling unit, we are expecting the expanded facility to be commissioned in the 4th quarter of the current fiscal.

I now hand over to Ameya to take you through the integration of Imperial Blue and provide guidance on the future performance.

Ameya Deshpande: Thank you. Very warm welcome to everyone joining us today evening. As mentioned by Mr. Dahanukar, we completed the acquisition of Imperial Blue on 30th November 2025. As disclosed to the exchanges, the consideration paid to Pernod Ricard was Rs. 3,442 crore, of which Rs. 182 crore was towards closing adjustments, primarily relating to inventory taken over by us and prepaid expenses. There is another EUR 28 million to be paid to the seller after 4 years of closing i.e.

in FY30.
On the o

perations front, we are in the midst of an exercise to integrate the Imperial Blue business with our existing business. We have hired a Big 4 consultant to assist us with operational integration, and a boutique HR consultant from a human capital and cultural integration perspective.

As mentioned earlier, we have taken TSMA support services from Pernod Ricard, while the labels under TI name are being registered. We are planning a phase-wise exit from TSMA with the aim of getting significant operations under TI belt by Q4 FY26.

With the increased scale of business, we have also carried out organization restructuring at the top management level. With significant portion of talent acquisition completed, we now have a fully built team to deliver continued success. We are also entering into new bottling and vendor arrangements to ensure business continuity and minimal disruption during the changeover period. During the integration phase, we are also undertaking cost-saving initiatives for the Imperial

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Blue business, which will result in margin expansion by 250 - 350 bps on the acquired business over the next 24 months.

With Imperial Blue under our belt, the distribution network now gives us access to 200 million+ cases opportunity in the Indian Alcobev market. Our strategy to lead the premiumization trend is anchored by dual engine, the strength of our existing portfolio and a robust NPD pipeline. This leadership is further accelerated by our partnership with Spaceman Spirits Lab, which positions us to capture the market through targeted luxury launches.

I would now like to take some time to provide some guidance on the combined business going forward.

Even amidst integration exercise, we expect to register a high-single digit volume growth for IB in Q4 FY26. Despite a strong start for IB under TI ownership, the brand will witness a low to mid-single digit volume degrowth in FY26 as compared to FY25 on account of tepid performance in the 8 months preceding the acquisition.

For FY27, we expect a high-single digit to low-double digit volume growth for the combined business, which will be followed by low-double digit volume growth over the next couple of years.

In terms of margins, we expect the consolidated EBITDA margins to expand by 150 - 250 bps for the combined business over the next 24 - 36 months.

As highlighted earlier as well, we expect the net debt-to-EBITDA ratio going down below 1.0x by FY29.

With that, I would now request the operator to open the call for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The question is from the line of Karan Kamdar from Choice Institutional Equities.

Please go ahead.

Karan Kamdar: Hello, sir. I just wanted an update on Imperial Blue. Now that the transaction is complete, what sort of margins are we looking at ex-IB as well as including IB and what are the prospects going ahead?

Ameya Deshpande: Yes. Karan, as you would have seen, the earnings presentation has just gone up, and in the presentation, we have mentioned the steady-state margin of Imperial Blue before acquisition, which is around 11.7%. Now as per the guidance that I have just

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provided, we are looking at a 225 - 350 bps increase over and above that level, over the next 24 months or so.

Karan Kamdar: 11% just for Imperial Blue, right?

Ameya Deshpande: Yes. 11.7% is Imperial Blue, which is expected to expand by 250 - 350 bps over the next 24 months. And from a combined business perspective, including TI, which till Q2 was doing ~15%, you are looking at 150 - 250 bps expansion.

Karan Kamdar: Over 15% for combined business?

Ameya Deshpande: Yes. We are talking about 150 - 250 bps on the combined business. If you just do a weighted average, then on steady-state basis with 11.7% for IB, it will come to somewhere around 12.5% - 13%. So, assuming 13% as the combined business, we are guiding to

150 - 250 bps expansion over and above that, over the next 2 years.

Karan Kamdar: That is very nice to hear, sir. Additionally what kind of synergies do we expect with this acquisition? And do we sort of expect Spaceman Spirits Lab to also use these synergies and become a national brand or are we thinking of launching more whisky products?

Amit Dahanukar: So, with the Spaceman investment, we are already currently distributing the Spaceman brands, namely Samsara gin and Amara Vodka in various markets. Of course, post-acquisition of Imperial Blue now our access to markets has increased significantly and we will now leverage on this distribution network, not only for the Spaceman products, but our existing product portfolio as well.

Karan Kamdar: Okay. Any plans to launch more whisky brands or is that out of the question for now?

Amit Dahanukar: Organically, we will launch certain whisky brands in segments which we see as promising over the next couple of quarters.

Ameya Deshpande: When we mentioned that we are looking at a 200 million+ cases opportunity, we are obviously looking at other segments, –and profitable price points to enter into.

Karan Kamdar: Got it. And last question, sir, if you can give me a sense on any stress that you see in any micro markets or any states that you are worried about right now, any risk you see to this expansion?

Amit Dahanukar: At this point, we are not seeing any stress in any particular markets. Of course, our current focus is fully on operational integration at the current moment and as we had mentioned earlier also, we feel that IB is a slightly underinvested brand for the last 4 - 5 years. We will look at revamping our investments in A&SP across markets.

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Moderator: Thank you. The next question is from the line of Venkatesh from Alpha Investors. Please go ahead.

Venkatesh: Good evening, sir. My question is regarding the NSR for IB business and for Tilaknagar Industries?

Ameya Deshpande: Basically, the combined business NSR is Rs. 1,242 per case. IB NSR is Rs. 1,306 per case.

Venkatesh: IB is Rs. 1,306, okay.

Ameya Deshpande: Yes. And even ex-IB NSR has expanded from Rs. 1,161 per case in Q3 of FY25 to Rs. 1,209 in this quarter.

Venkatesh: Okay. And another question is regarding the quality of the IB brand. Like comparatively to past like 3-4 years back, the quality was very nice. Right now, the quality of the IB alcohol is like it is not that good compared to the other brands of Allied Blenders or any other comparisons?

Amit Dahanukar: We cannot comment specifically on these observations. I think all I would say is that the IB brand has a 30-year legacy and is the 3rd largest selling whisky in India at the current moment. I think that is an enough testimony that the quality is well appreciated and acknowledged by millions of consumers across India and globally as well.

Venkatesh: Okay. And what will be the growth rate for the IB brand for this year and next year?

Ameya Deshpande: We are guiding towards a combined business. As I mentioned in my opening commentary, for FY27, we are looking at a high single-digit to low double-digit kind of volume growth. And there onwards, you are looking at low double-digit volume growth. The revenue growth would be approximately 150 - 200 bps over and above the volume growth.

Moderator: Thank you. The next question is from the line of Heer Gogri from Choice Equities. Please go ahead.

Heer Gogri: Hello. Thank you for the opportunity. I wanted to know about Prag distilleries to be on track fully operational by this quarter of 2026. Is that so and are we expecting the fully operational 3.6 million cases to start from this quarter or rather the first quarter of FY27?

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Ameya Deshpande: Yes, that would be right. We will commission the project by the end of Q4 and whilst in the first quarter, we may not look at 100% utilization right away. But over the course of the year, sa

fe to assume that we will have almost full utilization of the plant.

Heer Gogri: Okay. Got it. And any license fees pending or CAPEX pending to be paid for this distillery?

Ameya Deshpande: Yes. So there is certain around high single-digit to low double-digit kind of in crore, around Rs. 10-odd crore of investments still to be done.

Amit Dahanukar: The license fees have been fully paid.

Heer Gogri: Okay. Got it. And also, I wanted to know about your views on the Telangana dues faced by the industry, your views on that? And how is Tilaknagar facing the same and what is your outlook on the same?

Amit Dahanukar: We are on par with the industry. Of course, it has been a matter of concern in terms of the increased receivables, which we are having from the government. But as a company and as part of larger industry associations, we are actively in touch with the government authorities to expeditiously clear this overdue.

Heer Gogri: Okay. Got it. And one last question. You mentioned you are looking to revamp the

IB business and invest in A&P. Any guidance for what percent of the revenue are you looking at for A&P?

Ameya Deshpande: Heer, there is an increase in A&P that we will be doing, but we are not guiding towards what that will be. But when we provide a guidance, a wider guidance of 250 - 350 bps increase, that is taking into consideration the increased A&P reinvestment.

Moderator: Thank you. The next question is from the line of Ajay Thakur from Anand Rathi Securities. Please go ahead.

Ajay Thakur: I wanted to understand a bit more on the Maharashtra-made liquor in terms of the brands which have already come through, what kind of impact are we seeing because of the MML brands? Have we seen some kind of faster growth for those brands v/s the IMFL segment? And what kind of impact is that having in terms of both the demand and in terms of the margins on our brands?

Amit Dahanukar: MML has been introduced in Maharashtra in August. And of course, that segment is currently evolving, but it has certainly had an impact in the relevant category for Imperial Blue, which is a prestige category, where we have seen the segment as a

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whole has de-grown by 25%-odd. But I think as of now, currently, Imperial Blue is maintaining its market share in that relevant segment.

But of course, there has been a volume decline in view of this new category of MML, which has been introduced. I must also add that the introduction of MML has been or rather is being contested by certain industry associations as I am given to understand, and the matter is sub-judice.

Ajay Thakur: Understood. Sir, just want to get a bit more colour. Are we still seeing that MML is kind of ramping it up? And has it kind of stabilized now? Or is it still kind of ramping in terms of the numbers?

Ameya Deshpande: Ajay, our understanding is that MML is doing anywhere between 5 - 6 lakh cases per month. Right now, not really sure whether this is the peak or there is still growth to come, it is still pretty evolving in terms of nascency in terms of the segment. Having said that, we will just wait and watch and frankly, take it as it comes.

Moderator: Thank you. The next question is from the line of Vikrant Joshi, an Individual Investor. Please go ahead.

Vikrant Joshi: Hello good evening, sir. I am joining this first time. I am a very long-term investor in Tilaknagar Industries, started from small investment and now like I invested a good amount in Tilaknagar. Sir, I am a little bit unhappy with this stock because see, you have done a very great job like acquiring Imperial Blue. And then the opportunity got created for, let us say, by the preferential shareholders and then the warrants. But retail investors did not get a chance, let us say, through rights issue or something like that. So that was one thing.

Second thing is, if you see the volatility in the stock price, sir, even this quarter, like the

revenue has been increased like a huge jump. But then if you see profit margin, that one-time adjustment, the profit is in negative, sir. How can that be improved, sir? Because the stock price is directly proportionate with the profits, right? So, as a retail investor, I am not getting dividends and now because of the negative profits, so I am not sure like how that stock will now respond to that. How that can be improved profitability? That is my question, sir?

Ameya Deshpande: Vikrant, I think I will not comment upon the performance from a stock market perspective, what we can speak about is the operational and business performance. And from that perspective, I think the very reason that most of these transitional costs are a part of the exceptional items is to provide that colour to the investors and

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shareholders on the actual operating performance of the company. And I think that is the way you should look at it.

The business has done well. Within the first month of Imperial Blue coming in, I think we have done a reasonable job despite all the challenges of integration, achieving 1.8 million cases is by no means a small task.

Again, I am not going to talk about the stock market performance over here, but business depending on what we are looking at right now, we do see that the margins are going to expand. I have guided towards that as well and hopefully, that will show through in the numbers as well going forward.

Vikrant Joshi: Right, sir. The only request is like how can we put more focus on improving the profit margin? Because even if you, let us say, exclude that item, Rs. 169 crore, the profits are, if you compared to last quarter, I feel even the results are uploaded, let us say, 1 minute before this call, right?

I am not really sure because as an individual investor, our confidence also matters, right, in the company performance, right? I do not see any individual investor joining

the call. But I am really, really long-term investor and I am really concerned about the profit margin?

Amit Dahanukar: We appreciate your support as a long-term investor. And if you have been a long-term investor, you would have seen that over the 5-6 years, the company would have delivered a very good return for shareholders who have stayed invested with the company for a horizon, 5 - 7 years. And we also believe that to remain invested for another 3 - 5 years, we could see similar returns going forward.

The company and its management is committed in delivering value for the stakeholders. And all the decisions which we have taken in terms of the inorganic acquisition through Imperial Blue, raising more than Rs. 2,000 crore through a preferential allotment, judiciously managing the balance sheet while going through this acquisition, I think that is all keeping in mind the long-term interest of all our stakeholders.

Vikrant Joshi: Right. The only request was like how can we create opportunity for individual like the retail investor as well, if you could have, let us say, like done the rights issue as well because other companies, if you see like a lot of companies going through the rights issue, right? So that benefits the retail. So maybe in future, I know like and I appreciate your vision and the efforts that you have put in because acquiring of behemoth was not easy and you have done the great job.

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Amit Dahanukar: So just to complete my narrative, I think during the fundraise, the Board contemplated various fundraising measures and in its wisdom, it decided to go ahead with a preferential allotment, which was duly approved by Board and then by shareholders as well.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments.

Amit Dahanukar: Thank you, everyone, for your continued trust and participation. Q3 FY26 marks a defining milestone in Tilakna

gar Industries journey with the successful acquisition and initial integration of Imperial Blue, significantly enhancing our scale, reach and category presence. While the integration phase will remain a key focus over the coming quarters, we are confident that the combined strength of our portfolio, expanded distribution network, and disciplined financial approach will enable us to drive sustainable growth, improve margins and steadily deleverage the balance sheet. We remain committed to building a truly pan-India premium-focused alcobev company. Thank you once again for your time and continued support today. We look forward to staying closely engaged with you in the coming quarters.

Disclaimer: This is a transcription and may contain transcription errors. The document has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to maintain a high level of accuracy.

Call: Jun 2026

June 02, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001
Scrip Code : 507205 To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block-G,
Bandra-Kurla Complex, Bandra (East),
Mumbai-400 051.
Symbol : TI

Sub: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call held for Q4 & FY26 results

Dear Sir/Madam,

With reference to our letter dated May 26, 2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Saturday, May 30, 2026 to discuss the Q4 & FY26 results.

The same is available on the website of the Company at www.tilind.com.

Kindly take the above on record and acknowledge receipt.

Thanking you,

Yours faithfully,

For Tilaknagar Industries Ltd.

Chemangala Ramachar Ramesh
Whole-Time Director
DIN: 08876738

Encl: a/a

Page 1 of 14

Tilaknagar Industries Limited
Q4 FY26 Earnings Conference Call
May 30, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Tilaknagar Industries Limited's Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Siddharth Rangnekar from CDR India. Thank you, and over to you, sir.

Siddharth Rangnekar: Thank you. Good morning, everyone, and thank you for joining us on Tilaknagar Industries Limited's Q4 and FY26 earnings conference call. We are joined today by Chairman and Managing Director, Mr. Amit Dahanukar; Chief Strategy Officer, Mr. Ameya Deshpande; Chief Financial Officer of the company, Mr. Rajesh Choudhary; and General Manager, Growth and Innovation, Ms. Sanaya Dahanukar.

We shall commence with views from Mr. Dahanukar on the performance and financial highlights, followed by a brief commentary from Mr. Deshpande on the strategy going ahead. This shall be followed by an interactive question-and-answer session.

Before we commence, I would like to state that certain statements made on today's call could be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation that was shared with you earlier and which is also available on the stock exchange websites.

I would now like to request Mr. Dahanukar to make his opening remarks. Over to you, sir.

Amit Dahanukar: Good morning, everyone. Happy to have you all join us on this earnings call to discuss the Q4 FY26 and full year FY26 results. This is the first full quarter where we will report on the performance of Imperial Blue business division. I will provide an update on the current quarter's performance, which will be followed by Ameya taking you through the integration of Imperial Blue.

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Before I begin with the quarterly performance, there are 2 achievements I wanted to highlight. One, we achieved a volume of almost 20 million cases in FY26 with only 4 months of Imperial Blue business under our ownership. Second, Mansion House Brandy crossed the volume benchmark of 10 million cases in FY26, cementing its position as India's largest P&A brandy.

In FY26, our overall volumes increased by 68%. Ex-IB, our volumes increased by 14% to reach 13.6 million cases in sales. During Q4, our overall volumes increased by 135% on a year-on-year basis, crossing 8 million cases, of which IB was 4.6 million cases. Ex-Maharashtra, IB recorded a growth of around 9% versus Q4 FY25. With this impressive performance, TI continues to be la

rgest P&A IMFL player in

Southern India with a market share of close to 40% in Q4 FY26.

On the policy front, we have seen one of the largest states witnessing a progressive change in excise policy, which has reduced the consumer price of our 2 flagship brands, Imperial Blue Whiskey and Mansion House Brandy by INR 20 per nip. Basis what we saw in FY25 with price reductions, we are expecting further growth in the state.

Before I start on the financial performance, I want to touch upon the recent change in presentation / disclosure with respect to revenue recognition. Before the acquisition of the Imperial Blue business, we used to present the selling expenses such as discounts, schemes and similar incentives to customers and distributors under the head of Other Expenses. However, Q4 FY26 and going forward, we will be showing this as a reduction from the gross revenue itself. As the business has now expanded significantly into non-corporation markets as well, management has now taken the view to update the presentation disclosure in line with future prospects and better comparability with peers. This change will have a negative impact on reported revenue and gross margins, but will have a positive impact on EBITDA margins and PAT margins. There will be no impact on absolute EBITDA, PAT or reported EPS.

Now moving over to financial performance. The overall NSR increased by 5.4% to INR 1,177 per case for Q4 FY26 from INR 1,116 per case in Q4 FY25. On an ex-IB basis, the NSR increased by 2.6% in Q4 FY26. For the year ended 31st March, the NSR stood at INR 1,165 per case.

We witnessed a strong growth of 148% year-on-year basis to reach a net revenue of INR 949 crore during the quarter. Adjusted for subsidy, we recorded a growth of 154% to reach INR 941 crore. EBITDA stood at INR 155 crore for Q4 FY26, clocking

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a growth of 97% year-on-year and margin of 16.3%. Adjusted for subsidy, the EBITDA grew by 124% to reach INR 146 crore and a 15.5% margin on the combined business.

For the year ending March-26, our revenues grew by 70% versus FY25 to reach INR 2,346 crore. Adjusted for subsidy, we clocked a growth of 69% to reach INR 2,279 crore. In the same period, EBITDA grew by 64% to reach INR 419 crore. Adjusted for subsidy, the EBITDA was INR 352 crore, a 56% increase versus FY25. We incurred an exceptional expense to the tune of INR 63 crore during Q4 FY26, predominantly on account of TSMA fees and impact of changes in labor code.

I now wanted to reiterate that our focus going forward will be divided into 4 parts.

First, continue our journey to generate and fulfil demand for our brands to deliver

double-digit volume growth. Second, optimize packaging, processes & supply chain and reap benefits of operating leverage & economies of scale to help us achieve an EBITDA margin of 16%-18% on the combined business.

Third, focus on efficient capital deployment, disciplined debt management and working capital investments, facilitating the reduction of net debt-to-EBITDA below 1.0x by FY29. And fourth, ride on the pan-India distribution strength of Imperial Blue and Mansion House to expand TI's luxury and premium portfolio, including Spaceman Spirits Lab.

On the supply front, we have received the government nod for starting operations at our expanded capacity at Prag in Andhra Pradesh, one of the largest states for Tilaknagar Industries. The capacity has now increased from 6 lakh cases per annum to 36 lakh cases per annum. This expansion is a testament to Tilaknagar's push towards safeguarding supplies and demonstrating execution capabilities towards long-term capacity planning. On the back of this expansion, TI expects savings in bottling costs to the tune of INR 10 crore per annum. This expansion entailed an investment of around INR 59 crore, which has been fully invested.

As on 31st March 2026, our gross debt stood at INR 2,295 crore and net debt stood at INR 1

,911 crore. Lastly, the Board of Directors have recommended a dividend of INR 1 per share for FY25-'26 to the members at the ensuing Annual General Meeting.

I will now hand over to Ameya to take you through the integration of Imperial Blue and provide guidance on the future performance.

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Ameya Deshpande: Thank you, and a very warm welcome to everyone joining us today. On the post-acquisition integration front, we are in the midst of a highly operations-heavy transition. Also, as mentioned earlier, we had taken TSMA support services from Pernod Ricard, while the labels under TI name were being registered. In the Q3 earnings call, we had mentioned that TI will exit the TSMA for significant operations by the end of Q4 FY26, and we have delivered on that. 75% of the IB business has exited TSMA till Q4 FY26.

For the states where we have exited TSMA in Q4 FY26, we have already started full-fledged operations at TI units. Now only 3 states remain under TSMA, and we expect to transition them over the course of the next few quarters with an outer date of March-27. After the exit of TSMA in some of the states in Q4, we faced small business disruptions in the first couple of weeks of April. However, the team has done a commendable job in delivering record volumes in the month of May for Imperial Blue under TI ownership.

On the margin front, because of the current ongoing geopolitical scenario, we do expect some pressure on the input costs and margins. To combat this, we have identified and are working on several areas of cost optimizations, which will mitigate the impact of this increase in raw material prices.

With regards to our team readiness for a life post acquisition, during the last few months, we have onboarded several senior leaders as well as built a pan-India team to manage operations. We now have a fully built team to deliver continued success, having increased our workforce from around 350 employees to 850 employees as of March.

Our strategy to lead the premiumization trend is anchored by a dual engine, the strength of our existing portfolio and a robust NPD pipeline. This is further accelerated by our partnership with Spaceman Spirits Lab, which positions us to capture the market through targeted luxury launches. I would now like to take some time to provide some guidance on the combined business going forward.

For FY27, we expect to achieve a high-single digit to low-double digit volume growth for the combined business, which will be followed by a double-digit volume growth over the next couple of years. We expect a double digit volume CAGR over the next 3 years.

In terms of margins, we expect the consolidated EBITDA margins to reach 16%-18% for the combined business over the next 24 to 36 months. The positive change in guidance also includes the change in the presentation and disclosure of selling

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expenses, which Mr. Dahanukar had spoken about earlier. As guided in the past as well, we expect the net debt-to-EBITDA ratio to go below 1.0x by FY29.

With that, I would now request the operator to open the call for Q&A.

Moderator: Thank you, sir. We will now begin the question-and-answer session. The first

question comes from the line of Chetan Mahadik with Systematix Group. Please go ahead.

Chetan Mahadik: Thank you for the opportunity. A few questions. Firstly, I wanted to understand what led to the flattish volume growth in Q4 for our ex-IB business? And for Imperial Blue, if you can tell us about the seasonality in the business, like which are the strongest quarters, which are the weak ones for IB?

Amit Dahanukar: So one of the reasons is that Q4 last year in Andhra Pradesh was very high because the route to market has just recently changed in October / November of 2024. The route to market change led to sales of Andhra Pradesh being very high in Q4 FY25.

So that was predominantly the reason. But on a secondary basis, if you

see our

existing business - it has grown by around 5%.

Chetan Mahadik: Okay. And on the Imperial Blue front, if you can highlight about the seasonality in the business, like which are the strong quarters for you?

Ameya Deshpande: So Chetan, unlike the TI business where Q1 is significantly weaker, and that is very visible in the numbers, IB is slightly more equally distributed among the quarters.

Having said so, H2 does form around 52% of the volumes. So you will see some seasonality coming in for IB as well.

Chetan Mahadik: Okay. Got it. And my last question is on margins. So say, we are expecting around 250 to 400 basis points in margin expansion on the acquired business in the next 2 years. So how much of this should be from the custom duty reduction on scotch imports and say, how much from the operational or strategic initiatives?

Ameya Deshpande: Any reduction in custom duty, will reduce the scotch prices and consequently provide a positive impact on the gross margin levels. However, this will be majorly towards Imperial Blue business. It will not have any major impact on the Ex-IB portfolio of Tilaknagar. On the combined business basis, the margin benefit will be to the tune of 60-100 bps.*

Apart from the India-UK FTA benefit, there are multiple cost optimization benefits and potential price increases which will have a positive impact on the margins.

Telangana is one of the potential states where we are expecting a price increase,

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but obviously, timelines are not known on that front. But given how large Telangana is for us as a state, it will have a reasonable impact on margins.

Chetan Mahadik: Okay. Got it. Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Mehul Desai with JM Financial. Please go ahead.

Mehul Desai: Thanks for taking my question. Firstly, just wanted to understand on how are you looking at run rate for Imperial Blue given that there is the Maharashtra impact, which might continue for 1 or 2 quarters and Karnataka, there is a benefit that can come, right? So some guidance on how do you look at IB volume growth? And how do you look at base business volume growth in your overall guidance of high-single digit to low-double digit kind of volume growth for FY27?

Ameya Deshpande: Yes. So, I think in terms of IB, Maharashtra, a great part of it is already set in the base of FY26. Going forward, we do expect to grow at a similar clip, if not better than the combined business. Between the 2, which is the erstwhile TI business and the IB business, you are looking at somewhat similar levels of growth. IB business potentially will grow slightly faster than the erstwhile business, probably on account of a lower base of FY26.

Mehul Desai: Got it. And can you help me with what was the NSR for IB in this quarter because there is a change in treatment? You had given the number of some INR 1,300 in last in Q3. Can you give this number for 4Q?

Ameya Deshpande: To be very frank, we are not giving an NSR segregation on a brand-wise basis. This was given in Q3 more from the perspective of giving visibility on modeling out the business plan. But we are not giving a separate number as such. But if you actually look at it, you are looking at somewhere around, let us say, under the new net of selling expenses, you can consider it to be approximately INR 20 to INR 30 above your existing combined NSR that we have reported.

Mehul Desai: And lastly, how should one look at gross debt and capex over FY27-'28?

Amit Dahanukar: So capex, I think, will be maintenance capex for both the years. I do not think capex will be large. Approximately, we can take INR 25 crore in each of the years.

Mehul Desai: Okay. And on gross debt?

Ameya Deshpande: And on the debt side, see, the way I would look at this is, as we mentioned earlier as well, that we have a moratorium of 2 years. So gross debt may not be the best way

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o look at this. Maybe net debt is the way that you should look at it. By the end of March-27, you are looking at a net debt of approximately INR 1,700 crore or thereabouts. So you will see a reduction in the net debt with an upside bias to some extent.

Mehul Desai: Got it. And this TSMA charges, I think only 25% of this business is left to be exited. What are the timelines where you think this can also go for full transition?

Ameya Deshpande: So see, we have mentioned 3 states which are under TSMA right now. In all likelihood, there will be only 1 state which will continue in TSMA into the second half of this financial year, right? It is something that we have guided earlier as well. But basically, you can consider TSMA fees to be decreasing quarter-on-quarter with a full year impact of, let us call it, anywhere between INR 55 crore to INR 60 crore.

Mehul Desai: For the entire year. And just, obviously, given that you did highlight that you have invested behind building the team, this Q4 run rate of INR 43 crore of staff cost, is this more a steady-state run rate that one can look at from a staff cost perspective?

Amit Dahanukar: Yes, that would be correct.

Mehul Desai: Thanks, Amit. This is really helpful.

Moderator: Thank you. The next question comes from the line of Heer Gogri with Choice Equities. Please go ahead.

Heer Gogri: Hello. Thank you for the opportunity. I wanted to understand, are we going to incur any further costs related to Imperial Blue? Do we have any plans there? Or are we all settled?

Ameya Deshpande: So Heer, there, as we mentioned in the earlier presentations as well, after 4 years of the acquisition, there will be a deferred consideration. There is a deferred consideration of EUR 28 million that we need to pay to Pernod Ricard. But apart from that, there are no other costs that are to be incurred.

Heer Gogri: And also on the portfolio front, I think we are looking at new P&A launches as well. Any highlights that you can give on that?

Ameya Deshpande: I think its a little premature for that one. For the moment, our focus very much lies in transitioning IB business into TI as a whole. We see tremendous potential for the combined business as it stands today. Having said so, yes, we have an NPD pipeline in place. And hopefully, we will be in a position to speak a bit more about that in the quarters to come.

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We also have the luxury business which is something of immense importance for us. We have built a team very recently for that. Sanaya looks at that part of the business and leads that from TI's perspective as well. So frankly, loads of ambitions over there as well. But like I mentioned earlier, we will give further details on that as time progresses.

Heer Gogri: And one last question from my side would be any comments on the Telangana dues?

Amit Dahanukar: So Telangana dues from January onwards, they have been stable in terms of number of days. There has been no deterioration in the situation since January, but we are actively working with the government authorities to try and reduce the number of days of outstanding.

Heer Gogri: Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Vipin Mittal with JSL Ventures. Please go ahead.

Vipin Mittal: Thank you for giving me the opportunity. My question is with premium vodka gaining traction in India, does the company have any plans to launch a new vodka brand or expand its existing vodka portfolio?

Ameya Deshpande: So as a part of our future strategic initiatives in terms of new launches as well, there are certain categories that we are looking at. But as it stands, I would refrain from talking about any new brands that we launched. But having said so, we do have a brand in the form of Amara Vodka, which is a part of the SSL portfolio. And we do see tremendous value in that portfolio as well. And with our usership arrangement kicking in towards the

latter part of last year, you should be seeing some level of traction coming out of that into our books as well.

Vipin Mittal: Okay. Thank you so much. One more question. What are the 3 states remaining under the TSMA?

Ameya Deshpande: We will not disclose that.

Moderator: The next question comes from the line of Karan Kamdar with Choice Institutional Equities. Please go ahead.

Karan Kamdar: We did about 4.6 million cases in Q4, right? So given that into 4 and the current

realization of INR 1,300, we would do about INR 2,400 crore of revenue on an annual basis. Is that a correct run rate to pitch IB business at for the next like, let us say, 1 year until this full integration is complete?

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Ameya Deshpande: Yes. So the only thing is, as I mentioned, the NSR now with the change in the accounting needs to be adjusted accordingly, right? And you are on the right track. Just that you need to change the NSR per case assumption.

Karan Kamdar: Okay, NSR that would be on the higher side, right? Because if you exclude discounts, it will come a little bit lower, right, maybe 5%, 10-odd percent.

Ameya Deshpande: That is right. Yes.

Karan Kamdar: So when are we expecting like this full integration to complete '28 onwards? Or will it be likely to get delayed from that? What would be the challenge like it to get delayed?

Ameya Deshpande: Yes. So I do not think it will go into '28. We would be transitioned by end of FY27 itself. I do not see any reason for any kind of delays on that front.

Karan Kamdar: On the qualification that we have been receiving, so my understanding was that that is related to the Prag distillery. Is that not correct? Like when we do the investment that we did this year, will that not resolve it? Or is it about some other distillery?

Ameya Deshpande: So this relates to the Shrirampur distillery. It is not the Prag Distillery. This relates to the ENA distillery that we have in Shrirampur.

Karan Kamdar And any plans on when we would be doing this investment this year, next year?

Ameya Deshpande: So it is under consideration. We will take a call at the appropriate time in terms of recommissioning of the distillery.

Karan Kamdar: One last question I have is on the synergies between 2 businesses. So when do you expect those to kick in? Like when can we expect Samsara to sort of benefit from this IB merger and nationwide presence say '27-'28, how do you see that kind of synergy picture?

Ameya Deshpande: So see, the SSL synergies have already kicked in. So we have already started the usership arrangement and so on and so forth. And as and when that takes further shape, you will see a good amount of cross linkages in terms of our TI organic luxury portfolio and super premium portfolio along with the SSL portfolio. But the bigger synergies also lie in the Imperial Blue acquisition, right, and the post stage of that. Now what we have already started seeing is that from day 1 of acquisition itself, you have seen optimizations taking place on the employee cost front, given that we already had a team for the southern part of the country, a little bit of East and

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Northeast and obviously, on the corporate side. Along with that, there will be multiple optimization initiatives that we are running on the supply chain side as well, whether it is to do with bottling.

Let us remember that IB was a Pernod brand and Pernod had bottling units, which, to a great extent, many a times were dedicated for themselves, right, where all kinds of brands used to get done. So you will see kind of benefits coming out of bottling charges. You will also see other supply chain benefits on account of packaging as well as other general and admin overheads, which would be at a much lower end at TI.

Along with that, you will also have revenue synergies that will start kicking in FY27 onwards in the form of erstwhile TI brands as well as new brands getting launched in sta

tes where we were not present to begin with. And for that matter, even IB being launched in states where they were not present in, especially a couple of regions, right? So multiple revenue synergies to also kick in, in FY27.

Karan Kamdar: If I can squeeze in one last question on margins. Very ambitious margins and 16% to 18% guidance. Can you sort of give us a path to that number from current, let us say, 14%, 15%?

Ameya Deshpande: Yes. So as you would see in Q4, we have already done 15.5%. For the whole of FY26, we have done 15.5%. So I do not see a reason to start at a base of 14% firstly.

I would use 15.5% as the base for our guidance. Now with regards to how is it that we are achieving this, obviously, on the lower end of our range of the guidance, you are looking at a 50 basis points improvement. This has purely been kept from the perspective of the current geopolitical tensions that exist, right?

So any kind of inflationary impact is going to be taken care of at the lower range of our guidance. As we go towards the higher end, obviously, everything that I have spoken about earlier on this call as well as in our past interactions will come to fruition, whether it is in the form of cost optimizations, whether it is in the form of just

operating leverage, right, on account of growth as well as certain other factors like price increases.

Karan Kamdar: Thank you, and all the best.

Moderator: The next question comes from the line of Mehul Desai with JM Financial.

Mehul Desai: Just on this margin thing, you said 15.5% for the lower end of the guidance. I mean, even in the case of RM inflation or the current crisis, you will be able to at least

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sustain the lower end of your guidance, right, as a base for maybe FY27. Is that a correct understanding?

Ameya Deshpande: So Mehul, from a full year perspective, yes. However, if we start talking about quarter-on-quarter basis, see, we are already into almost the third month of the quarter, right? And we have faced certain input cost inflations in Q1. So in Q1, I mean it will be incorrect of me to say that we will expand on these margins. You may see some level of short-term impact. But in a full year perspective and going forward, you should go with the guidance that we have provided.

Mehul Desai: Right. And this guidance includes UK FTA benefit, right?

Ameya Deshpande: Yes. The upper end of the guidance, Mehul, includes UK FTA benefit.

Mehul Desai: And the upper end also includes anything from Telangana price hike?

Ameya Deshpande: To some extent, it does. But I would like to surprise you with a higher margin.

Mehul Desai: Great. That is good to hear. Thank you so much. Sorry, one last question. On working capital, how should one look at inventory days and receivable days? I mean just some guidance on working capital given that FY27 will be a full year with both IB and base business being there.

Ameya Deshpande: Yes. So I think on an ongoing basis, Mehul, we can look at the working capital cycle in the range of 53 to 55 days of gross revenue. So that is the way I would look at it.

Mehul Desai: Great. Thanks, Ameya. Thank you so much.

Ameya Deshpande: Thanks.

Moderator: The next question comes from the line of Chetan Mahadik with Systematix Group.

Chetan Mahadik: Thank you for the follow-up opportunity. Just wanted to ask on the Nigeria subsidiary where we will be doing an investment of up to INR 30 crore. So like what is the strategic rationale behind this? And if you can highlight what is the addressable volume opportunity we are looking out there?

Rajesh Choudhary: Okay. So we have an existing business in Nigeria for around 2.5 lakh cases, and that is what we see the opportunity there.

Chetan Mahadik: Okay. Good.

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Rajesh Choudhary: It is a fairly decent business there. And Pernod had invested over a couple of years, and it is a sustainable business in Nigeria.

Chetan Mahadik: Okay, got it.

Moderator: The next question comes from the line of Raghav Rathi with Quadrrun Holdings.

Please go ahead.

Raghav Rathi: Good morning, and thank you for taking my question. So we have earlier indicated that Imperial Blue will do around INR 2,200 crore of business. But when we had taken it over, it was doing around INR 3,300 crore. So when will we reach that normalcy in the Imperial Blue business? And when can we see a consolidated business of INR 5,000 crore plus along with our brandy and Imperial Blue inclusive?

Ameya Deshpande: So, I think, let me just clarify. In terms of our FY27 numbers, right, I think you will see us exceeding what we acquired the business at in FY25. I think there is some issue with the calculation because the Imperial Blue business would have done approximately on a pro forma basis, somewhere around 21 million to 21.5 million cases for this. So you are arriving at a much higher number than the INR 2,000 crore that you are referring to. But needless to say, just reiterating that FY27 will be a bigger business than what we acquired the business at in terms of FY25 being the base.

Raghav Rathi: So we should be able to do a revenue of more than INR 5,000 crore, including our brandy business?

Ameya Deshpande: Again, it comes down to the change in the accounting, right? Had we stuck on with the original accounting of not deducting the selling costs, right? Yes, we would have.

But now that we are deducting it, it will be lesser than INR 5,000 crore.

Raghav Rathi: And what does the selling cost come to in percentage?

Ameya Deshpande: So see, the thing is that we are not explicitly sharing that number. Having said so, you will be able to calculate it on the back of Q3 numbers since we have in the past given a Q3 grossed up number as well. Basis that number, you will arrive at a

percentage of anywhere between 6% to 6.5% of grossed up revenue.

Raghav Rathi: Okay. Thank you so much.

Moderator: Thank you. The next question comes from the line of Venkatesh D with Alpha Trade. Please go ahead.

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Venkatesh D: Hello, good morning. My question is regarding the recent policy changes in Karnataka. What will be that effect to the IB brand and for Tilaknagar Industries?

Amit Dahanukar: So as I had mentioned in my opening remarks, we expect an MRP reduction of approximately INR 20 on both the flagship brands, Imperial Blue and Mansion House, on the 180 ml pack size. So with the reduction in the MRP, we may expect a further uptake in the volumes going forward.

Ameya Deshpande: And just to give some kind of reference point, right, in terms of growth and all, the last time that a price reduction took place in Karnataka, wherein we saw similar kind of a price reduction for our portfolio from INR 257 a nip to INR 235 a nip, which was around INR 22, we saw significant growth in that state, right? So our growth in that state is beyond just high teens.

Venkatesh D: Okay. And regarding the brandy market for overall India, can you give me some outlook on that? And how we will be growing on this?

Ameya Deshpande: So see, brandy market, what is relevant for us is the Prestige and Above brandy market. So I will just speak about that for the moment. Now Prestige and Above brandy market is to a great extent driven by TI performance on the back of Mansion House and Courrier Napoleon brandy performance. So from that perspective, you can assume that brandy P&A will grow at a similar clip as what we would be growing at. So you can go with the guidance that I have already provided.

Venkatesh D: Okay. Thank you. That is all from my side.

Moderator: Thank you. The next question comes from the line of Anand S with Avendus Spark. Please go ahead.

Anand S: Just a couple of questions. Firstly, in terms of taking our brandy to beyond South markets, your North and West, how many touch points we would have reached so far, let us say, in Q1? And what is the target we are looking

for the current year? That

is in terms of brandy penetration in the non-South market?

The second one is in terms of the TSMA costs that we are calling out for an exceptional item, right? There is no proportion of, let us say, a portion of operational expense that is a part of this TSMA cost? Or is it not going to reflect as our operational cost once the transition happens 100% towards Tilak-oriented entities? So how should we look at it? Just these couple of questions.

Ameya Deshpande: Understood. So as it stands, we have not launched brandy in the northern markets. But having said so, we are in the process of doing that in FY27. This is true not only

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for the mass and the semi-prestige or mass and the mid-prestige portfolio, but even for our luxury portfolio in the form of Monarch. That is the first point. With regards to the TSMA fees, if I understand correctly, your question is whether any part of these fees will start showing up in operating expenses. Is that what you were asking?

Anand S: Yes.

Ameya Deshpande: No. So these are all significantly, what do you say, extraordinary items itself. And thereby, they will not show up at a future point in time in our operating expenses apart from a really small component of maybe 5% of the cost.

Anand S: Sure. That was helpful. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for their closing comments.

Amit Dahanukar: Thank you all for joining today's call and for your continued interest in our progress.

FY26 has been a landmark year for us. And as we look ahead, we are incredibly excited about opportunities that lie before us in the coming quarters and years.

While we fully recognize that the path ahead will present challenges, we are confident that we have identified the critical areas, both short term and long term that will drive our success. We are equally excited to have you with us on this journey as we work towards building a truly pan-India premium-focused alcobev company.

Thank you once again for your time and support. We look forward to reconnecting with you soon. Thank you.

Moderator: Thank you. On behalf of Tilaknagar Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

* The transcript has been updated for a factual inaccuracy in response during the call.

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an effort has been made to maintain a high level of accuracy. The document has been edited for clarity.